Based on more than 1,000 White Shark Media AdWords Client experiences

THE PROVEN ADWORDS STRATEGY

The A - Z Guide to Managing Successful AdWords Campaigns for Beginners and Intermediates

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Table of Contents

Introduction: Success with AdWords 8

Don't Make Google Look Stupid 9

For Whom Is This Book Written? 10

Quality Score Defines Your Success 11

What Quality Score Is and Why You Should Care about It 12

How High Should Your Quality Score Be? 13

Google Lets the Users Rank Your Ads by Looking at Your Clickthrough Rate 16

The Yellow/Pink Top Three Position in Google AdWords 16

How You Can Find Out the Quality Score of Your Keywords 17

How You Can Ensure a High Quality Score 18

Do You Have to Delete Keywords with a Low Quality Score? 18

Do You Have to Move Keywords with a Low Quality Score? 19

Newest Landing Page Quality Score Guidelines 20

Do You Want to Learn More about Quality Score and the Google AdWords Auction? 20

The Google AdWords Universe 21

Google Search 22

Google Search Partners 22

Google Display Network 24

Explaining the Settings in Google AdWords (Search) 26

Locations and Languages 28

Networks and Devices 33

Bidding and Budget 35

Delivery Method (Advanced) 40

Ad Extensions 41

Location Extension Example 42

Call Extension Example 43

Advanced Settings 46

Ad Delivery: Ad Rotation, Frequency Capping 49

Experiment 50

The Best Settings for Any Google AdWords Search Campaign! 52

Language 52

Networks 53

Bidding and Budget 53

Ad Extensions 53

Advanced Settings 54

Account and Campaign Structure 55

Building the Account 56

Keyword Grouping 60

Remember Ad Site Links! 66

Do You Have Only One Campaign? 67

Keywords 68

Broad Match Keywords 69

Broad Match Modifier 73

Phrase Match 76

Exact Match 77

Keyword Research 79

Quick Tip on Creating the Best AdWords Keyword Lists 86

Let Google Work for You 87

Negative Keywords 89

How Do Negative Keywords Work? 90

Sculpt Your Campaigns with Negative Keywords 93

Building a Great Negative Keyword List 95

How Do You Add Negative Keywords? 97

The Ads in Google AdWords 98

Trial and Error—Test Everything! 104

Effective Adjectives for Your AdWords Ads 105

Google AdWords Campaign Tracking 108

Google AdWords Conversion Tracking 108

Linking with Google Analytics 116

Importing Goals from Google Analytics 118

AdWords Search Funnel 118

Bid Management and Your Daily Budget 121

How to Set the Right Bid the First Time 121

The AdWords Auction 122

Determining Your Daily Budget 123

Is There a Link Between Your Daily Budget and Your Cost per Click? 124

Small Trick for Campaigns That Are Already Performing Well 125

Ad Group Level vs. Keyword Level Bid Management 126

24-Hour Bid Management Optimization 127

Landing Pages—The Google AdWords Extension 128

Test Your Current Landing Pages 128

Replicate Successful Ads and Their Wording 129

General Landing Page Advice 130

When Should You Link to Your Home Page and When Should You Deep Link? 131

When Do You Need to Create Specially Designed Landing Pages? 132

Watch Out for Slow Loading Websites! 132

Remember Your Quality Score 133

Want to Know More about Landing Pages and Landing Page Optimization? 134

Optimizing Your AdWords Campaigns 135

It's All One Big A/B Test 136

How Much Time Do You Need? 136

Ad Optimization 137

Bid Management 140

See Search Terms 141

Expanding Your Keyword List 142

Negative Keywords 142

Include Current Offers and Promotions 143

Quality Score Optimization 144

Profitable AdWords Campaigns? Add 10% to Your Daily Budget 145

AdWords Campaign Experiment (ACE) 146

Without Using AdWords Conversion Tracking, How Do You Optimize Your Campaigns? 147

The Segment Feature 148

The AdWords Interface 149

Networks 150

Ad Extensions 150

Dimensions 150

Which Metrics Do You Need in Your AdWords Interface? 151

Features in the AdWords Interface 153

Tools in Google AdWords 157

Keyword Tool 158

IP Exclusion 158

Traffic Estimator 159

Insights for Search 159

Ads Diagnostics Tool 159

AdWords Billing 163

Prepay 163

Post-pay 164

Recommendation regarding Choice of Billing Method 164

Monthly Invoicing 165

AdWords Editor 166

Make Time for Familiarization 167

My Client Center (MCC) Account in Google AdWords 168

How Do You Get an MCC Account? 169

Frequently Asked Questions about Google AdWords 170

Should You Be Using Google AdWords If You Have High Organic Rankings? 170

Typical Errors Made by New AdWords Advertisers 177

Too Few Ads per Ad Group 177

Wrong Campaign Settings 177

Too Many Keywords per Ad Group 178

Choosing the Wrong Landing Page 178

Tracking Only Through AdWords Conversion Tracking 178

Not Using All Four Match Types 179

Having Search and Display Networks in the Same Campaign 179

Not Placing Keywords in the Appropriate Ad Groups 180

Not Enough Ad Groups 180

Don't Check See Search Terms 180

Not Using Google Analytics 181

Not Using Location Targeting 181

Not Optimally Using Ad Extensions 181

Having to Be in the Top Three Position 181

Ads Are Too Generic 182

Round Up 183

Acknowledgments 184

Introduction: Success with AdWords

AdWords is one of the simplest marketing platforms in the world right now, but as you go deeper and deeper into the AdWords universe you will come to understand how advanced it actually is.

As easy as it is to create an AdWords campaign, it's just as hard to master the world of Google AdWords for maximum profitability.

One of the things all AdWords advertisers need to understand is that there isn't one golden rule that will ensure profits.

To dominate AdWords you need to be familiar with every inch of the platform. Only when you've optimized every inch of your campaigns will you realize how much money there is to be made from the entire AdWords universe.

You won't get superb AdWords results if you:

- ✓ Create superb ads but don't follow through with great account structure
- ✓ Have a great account structure but don't follow through with the right keyword set for the products/services you're advertising.
- ✓ Have the best keywords in your industry but don't optimize your cost per click (CPC) bids according to how the single keyword is performing.
- ✓ Have the most optimized CPC bids but don't have well-written ads to convey the right message for the right audience.

This list goes on and on, but these few items show how important it is to be knowledgeable about every area of AdWords to generate the most profit. I will guide you through the entire process in this book.

AdWords Profits is neither an epic bestseller nor an overnight express in becoming an AdWords expert. The book will guide you into all aspects of successful AdWords search campaigns and teach you how to set up, maintain, and optimize campaigns for maximum profit.

This book is not meant to be a humorous read or even an enjoyable read for that matter. If you proactively use the guidelines in this book, you'll become much more convinced that the methods presented here work.

You need to actively use the guidelines in this book because only when you see the results will you be truly committed to reading the whole book again and again to squeeze out every last trick.

I once read this quote, but can to this day not remember where. It sums up this chapter beautifully though:

> *"More belief in these ideas won't put cash in your pockets. Belief alone won't put food on your table, clothes on your back, or a new car in your driveway. Instead, I want you to experience the results of the techniques I share with you. Experience how your bank account grows. Experience the thrill of having an ever-increasing number of people hand you cash, write you checks, debit their credit cards, and pump up your PayPal account. How? By putting these principles into action."*

I can only tell you so much. Your own results will take you the rest of the way!

Don't Make Google Look Stupid

This saying has been around the world several times, but it is so true when talking about AdWords that I've included it in the Introduction to *AdWords Profits.*

The primary goal of Google has always been to become the best search engine in the world. To do this Google needs to provide relevant search results when a query has been entered. Google wants to provide the best search results in the organic listings as well as in the sponsored links to gain the maximum trust it can from people using the search engine.

Therefore it's important that you always think about not making Google "look stupid" when you're combining an ad with a keyword. If the ad and the keyword are completely unrelated, Google will look like it's broken and will lose the massive trust that users have in it.

One of the things that Google has introduced to ensure that AdWords ads are relevant to the search query is the Quality Score, which ensures that if you make Google look stupid you won't be able to advertise on its search engine.

So get a cup of coffee, sit down, and read this book cover to cover to find out how you can create AdWords campaigns that you'll profit from and Google will love you for! And when Google loves you, you'll be able to lower your costs of doing business with it.

Once you've read the entire book, start creating or re-creating your campaigns while revisiting each chapter. This way you'll be able to get the complete overview of AdWords while still working intensively with different parts of AdWords advertising.

For Whom Is This Book Written?

AdWords Profits is written for intermediate-level AdWords advertisers. It's not for the complete beginner or for the AdWords professional, but for everyone in between.

If you don't know how to add a keyword, then you probably won't be able to follow these guidelines. If you have vast experience with AdWords, then you will probably be bored with most of the book.

I recommend that complete beginners visit the AdWords Help Center and Online Classroom. Google has custom made this section of its website to guide new advertisers into AdWords.

Once you've mastered the basics, you can revisit *AdWords Profits* and truly gain from reading it.

Quality Score Defines Your Success

Quality Score is such an elementary part of Google AdWords that I believe it's the first thing every Google advertiser should learn and study in depth. If you want to be successful with Google AdWords you need to know how Quality Score works and how it affects your campaigns.

Google AdWords worked as an ordinary auction for many years but suddenly changed its basic structure to include the Quality Score in 2005. The introduction of the Quality Score marked the end of Google AdWords as we knew it and caused big concerns throughout the advertising industry.

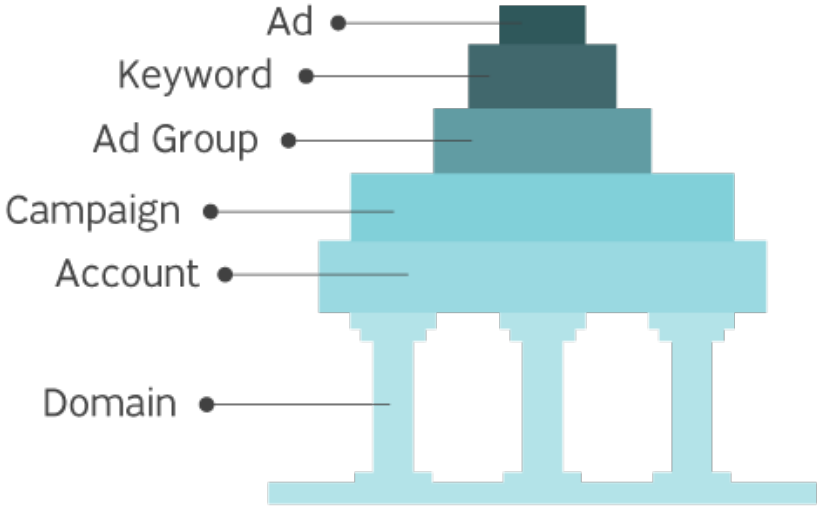
Many of us can't remember how it was before the introduction of Quality Score, and personally I'm very pleased with the concept. Quality Score means that even if you have a big wallet you can't produce poor ads and continue to advertise on Google AdWords. You need to think about more than just setting a high bid to gain exposure for your ads in AdWords.

The primary reason Google introduced the Quality Score was to increase the relevance between ads and keywords, which would not only enhance the search engine's usability but also increase Google's profits from AdWords.

Quality Score has been a huge success in my opinion. AdWords has been Google's golden egg for more than seven years now, and for the past four to five years AdWords has been the primary marketing vehicle for many online businesses.

Furthermore Google has an extensive lead in the number of people using its search engine, leaving its competitors in the dust.

Quality Score is calculated on these levels within your AdWords account:



Even though a separate Quality Score is calculated for each element/level, you can see only the keyword-level Quality Score.

What Quality Score Is and Why You Should Care about It

To fully understand how important Quality Score is, I'll begin with the point at which users enter a search query on Google. This is when the Quality Score is actually used.

The Quality Score for a specific keyword is also calculated every time a user enters a search query on Google.

To show the most relevant ads for a search query, Google uses the Quality Score as a factor in determining where your ad will be shown (its position). The result of the calculation using your bid and your Quality Score is called Ad Rank. Ad Rank is the actual number Google uses to determine in what position your ad will be shown.

The calculation is:

$$\textit{Quality Score} \times \textit{Bid} = \textit{Ad Rank}$$

The Quality Score provides an opportunity for an advertiser who bids less than another advertiser to actually obtain a higher position. Let's take an example using real numbers:

Advertiser A has a Quality Score of 10/10 and a bid of $1 per click.

Advertiser B has a Quality Score of 5/10 and a bid of $1.5 per click.

The calculation to determine the Ad Rank looks like this:

$$10 \times 1 = 10$$

$$5 \times 1.5 = 7.5$$

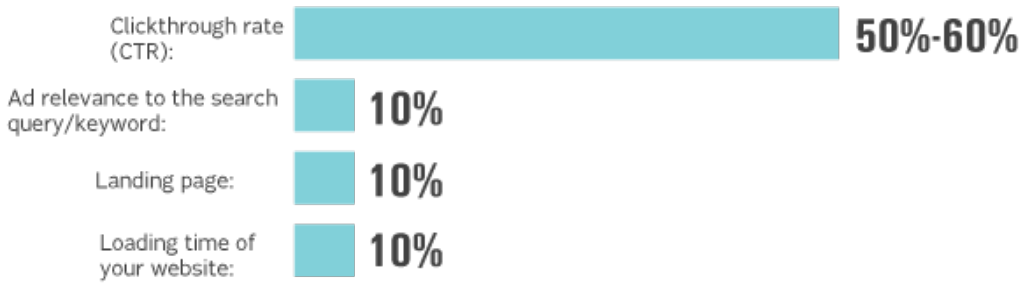
Advertiser A will therefore be in a higher position than advertiser B even though advertiser B has a higher bid.

Now you understand how important it is to achieve a high Quality Score in your AdWords account.

How High Should Your Quality Score Be?

You should always target a 10/10 Quality Score. This score will ensure that you're paying the bare minimum for your clicks and will enhance the profitability of your campaigns.

Unfortunately it's not always possible to achieve a 10/10 Quality Score. You might have to be satisfied with a lower score, but an alarm inside your head should go off when you reach a Quality Score of 6/10. This score indicates that something is wrong with your campaign setup and you should check the various factors that determine your Quality Score. Some of the most important factors follow (percentages are meant to be indicative of importance):



The following factors are harder to prioritize, but all are important:

- Geographic performance
- Historical account performance
- Historical domain performance
- Historical campaign performance
- Historical Ad Group performance

Remember that the percentages above are meant only to be indicative of the importance of the various factors that make up your Quality Score when you're investigating why it is low.

In most cases a low Quality Score is the result of multiple factors, large and small. For example a perfect landing page won't save your Quality Score if your CTR is very low compared to your competitors'.

Ad Relevance: Ad relevance is measured through the appearance of the keyword in your ad text. This is very similar to SEO.

To obtain the highest ad relevance you'll need to include the keyword in your ad title and once in your ad description.

Landing Page: You need to create a relevant landing page. The page should contain the main keyword a couple of times in the text and preferably also in other places on the website. Furthermore you'll get the highest landing page Quality Score if you link to and out from your chosen landing page.

Stand-alone landing pages and landing pages with pop-ups tend to have a low Quality Score.

Loading Time: If the loading time on your website is slow, you'll most likely be hit with a low Quality Score. A slow loading time can be a real killer of campaign performance.

Geographic Performance: Google takes note of how your ads are performing in different geographic areas. If your ads are having a very low CTR in Houston, your Quality Score for search queries from Houston will decrease.

Historical Performance: Accounts that have been active for a long period of time will be affected by the historical performance of the account. This performance will both positively and negatively affect future campaigns created in this account.

Historical Domain Performance: Your domain is also given a Quality Score. If you consistently achieve high Quality Scores on keywords with a certain domain, you'll be more likely to automatically get high Quality Scores on newly added keywords.

This also means that you can't just open a new account and get a clean slate. Your low Quality Score will follow your domain around until you achieve some good results in AdWords.

Myth

Your conversion rate has no influence on your Quality Score. This is because Google has no way of knowing what an actual conversion means for your website. You could basically put the AdWords Conversion Tracking on every single website, ensuring a 100% conversion rate.

Advertiser B could put the goal of a successful conversion on his Contact Us page while advertiser A could put the goal on the page that equals the buy of a $50,000 tractor.

These will achieve completely different conversion rates even though both advertisers are probably relevant on the specific search query.

Google Lets the Users Rank Your Ads by Looking at Your Clickthrough Rate

The main reason that the clickthrough rate (CTR) has such a big influence on how high a Quality Score you're given is based on the fact that clicking on an ad is the only time users can actually cast their votes on which ads are best for their given search queries.

If you see several clicks on an ad for *cheap coffee machines* when the keyword *cheap coffee machines* is used, it has to mean that the ad is relevant for this keyword. Remember that Google wants to produce the best search results and AdWords is one part of this goal. Therefore Google prefers the ads that have a high CTR.

This is also the way Google earns the greatest amount of money. If Google shows the ads with the highest CTRs on top, then more people will use AdWords, which will equal more money in Google's bank account every time a user clicks on an AdWords ad.

The Yellow/Pink Top Three Position in Google AdWords

If you are able to reach the top three position within the pink area in Google AdWords, you will often see large CTRs and of course a greater amount of traffic to your site.

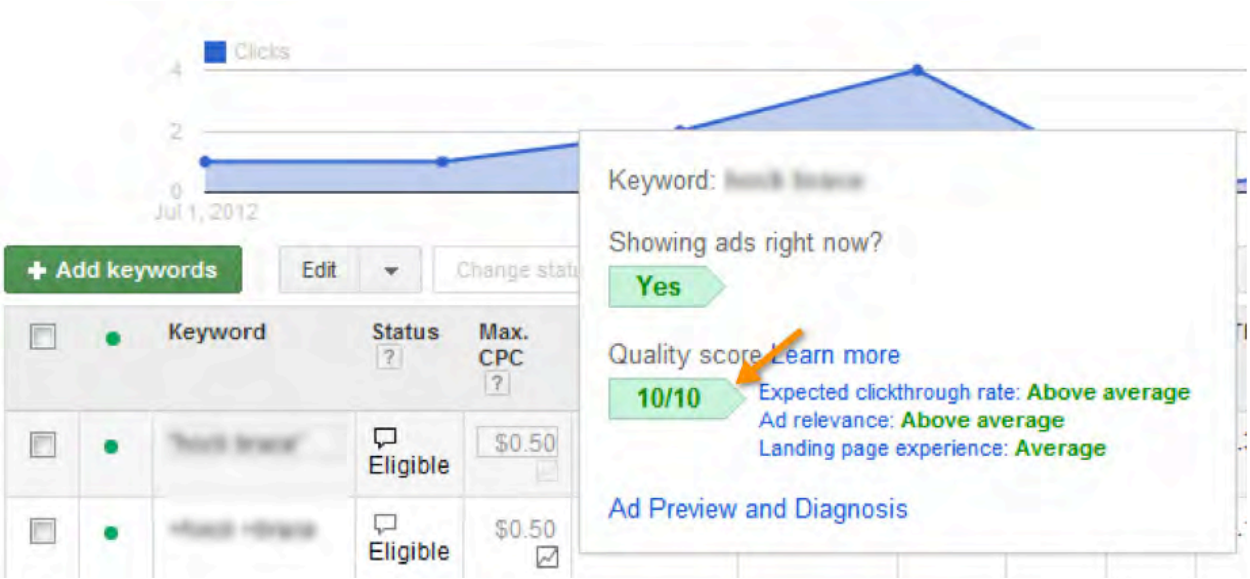
Please be aware that being in the top 3 position doesn't always equal the yellow part of the Google search results. To end up in the yellow are you need a high relevance and Quality Score.

Google hasn't told us how high a Quality Score we actually need to reach the pink area, but my experience has shown me that you will need a minimum of 7/10, no matter how high your bids are.

How You Can Find Out the Quality Score of Your Keywords

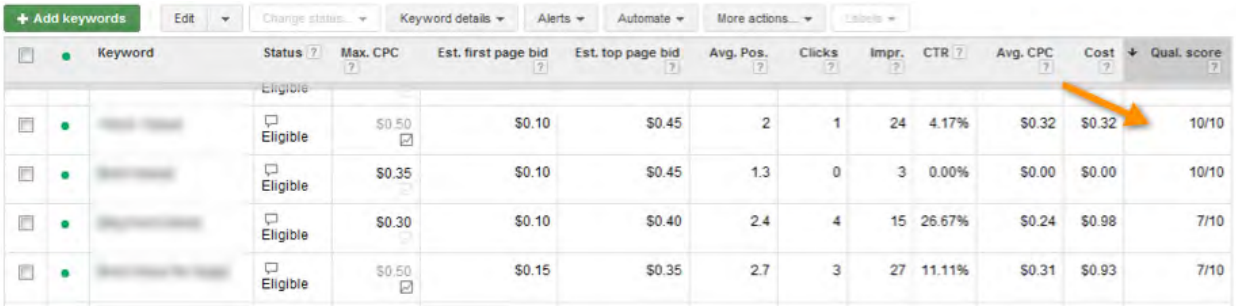
To find out how the Quality Score for your keywords, you can do one of two things:

1. Hover your mouse over the diagnostics tool in the keyword row:



While using the Diagnostics Tool you'll also be able to identify whether a specific factor of your Quality Score is influenced negatively.

2. Make sure you have set the correct AdWords interface, and you'll be able to see the Quality Score right there on the screen:



Learn more in the chapter titled AdWords Interface.

How You Can Ensure a High Quality Score

First you need to read the rest of this book. With this book you'll learn how to build and maintain an AdWords campaign according to best practices, which will automatically provide you with a high Quality Score.

But I do have a few quick tips on how to ensure a high Quality Score:

- Make sure you're using only relevant keywords.
- Write catchy ads that will generate high CTRs.
- Organize relevant keywords together so they get the maximum ad relevance (see more about this in the chapter titled Account and Campaign Structure).
- Use negative keywords.
- Pause keywords with low CTRs or move them to another ad group. (Remember the historical Ad Group performance factor?)

It's important that you have and maintain a high CTR on your keywords. You will usually reach a high CTR, which is the largest factor determining your Quality Score, when you utilize the tips mentioned above.

I want to underline that there isn't a single Quality Score factor that can stand alone. To reach a 10/10 Quality Score you need to perfect all factors.

Do You Have to Delete Keywords with a Low Quality Score?

There are many good reasons you should remove or try to optimize a keyword with a low Quality Score.

Before you completely remove the keyword you need to ask yourself: Is the keyword important?

If you're dealing with an important keyword, trying to identify why you're experiencing a low Quality Score might be worth the effort. You can try the following:

- Put the keyword in its own Ad Group where you'll be able to write very specific ads.

- Create a dedicated landing page for the keyword to achieve a higher landing page Quality Score.
- Do a more thorough negative keyword research to find negative keywords you've missed.

It's worth mentioning that it can be really hard to obtain a high Quality Score on certain keyword types. Some of these keywords can be competitors' names or keywords that are similar to your product but not relevant enough to be included in your ad or on your landing page.

If this is the case, you need to determine whether it's worth the extra cost of having the keyword in your campaigns (Hint: Use Google Analytics).

Do You Have to Move Keywords with a Low Quality Score?

As mentioned before, a Quality Score is also given on an Ad Group level. Therefore you need to pay attention when you're grouping your keywords. Often you can improve your campaign performance by moving keywords with low Quality Scores to their own separate Ad Groups.

Moving them will not only help to improve the Quality Score but will also ensure that the "bad" keywords aren't influencing your "good" keywords in a negative way.

I'm not a big fan of using this approach without working with the keywords and trying to optimize the Quality Score. It doesn't help the bad keywords just to move them; you need to work with them and try to improve the Quality Score.

What you need to do when you're experiencing bad Quality Scores is:

- Work more intensively with negative keywords for that specific keyword.
- Consider moving the keyword into its own Ad Group to increase the ad and landing page relevance. This will often be the most beneficial move.

Newest Landing Page Quality Score Guidelines

In October 2011 Google launched a new set of rules regarding landing page relevancy and how it affects your Quality Score.

Previously, Google used your landing page only to negatively influence your Quality Score: a good landing page would not increase your Quality Score, but a bad landing page would decrease it.

This situation has changed with the latest revisions to the landing page Quality Score. You are now able to see an increase in your Quality Score if you have a very good landing page.

Do You Want to Learn More about Quality Score and the Google AdWords Auction?

Now that you've read my chapter regarding Quality Score, I highly recommend watching Hal Varian's video about the subject.

The video is by far the best of its kind, and you'll be much more knowledgeable about the subject after you've seen the short video.

It shows incredibly well how Quality Score directly affects your cost per click and which factors you need to be focusing on.

I thought about creating my own video about Quality Score, but that would be like copying the iPhone: it can be done, but it won't be quite the same. Watch it! It's my biggest recommendation in the entire book:

www.whitesharkmedia.com/blog/adwords-quality-score/

This review of the Quality Score is also very helpful for a broader view of how the Quality Score interacts with a successful campaign:

www.wordstream.com/articles/ultimate-quality-score-guide

The Google AdWords Universe

Google AdWords is not restricted to the search engine itself. Google AdWords reaches out further than you can imagine. You need to learn the different areas of AdWords advertising before you will be able to master it.

One of the main advantages with Google AdWords is the enormous reach you're able to achieve. You can reach most Internet users today if you strategically use AdWords.

Google has developed a vast network going way beyond its own search engine to offer options to target online users in different levels of the buying cycle, ages, interests, and so on.

Once you've optimized your regular search campaigns in Google AdWords, you will need to expand your reach by using some of the networks that Google offers. If you don't utilize some of these networks, you will miss out on a huge amount of potentially profitable traffic.

Most AdWords advertisers are familiar with the regular ads on Google.com when they type a search query. These regular ads are defined as Google search campaigns.

You have three different platforms in the Google AdWords universe:

I'm sure that many of you know about Google Search and some of you are also familiar with the Google Display Network. But I bet my left eye that many of you have never heard of Google Search Partners before. Am I right?

I'll go through the different search platforms here:

Google Search

This is the well-known part of AdWords. Google Search campaigns are usually what you think of when somebody mentions AdWords advertising, the main subject of this book. Google Search campaigns are basically advertising on the Google search engine.

Google Search Partners

It gets a little more interesting when we begin talking about Google Search Partners. Actually very few people know what Google Search Partners is, and an even smaller group of people actively try to find out how Google Search Partners is performing.

Basically Google Search Partners comprises websites that are using the Google search engine on their own websites. These websites will show both organic and sponsored listings from Google.

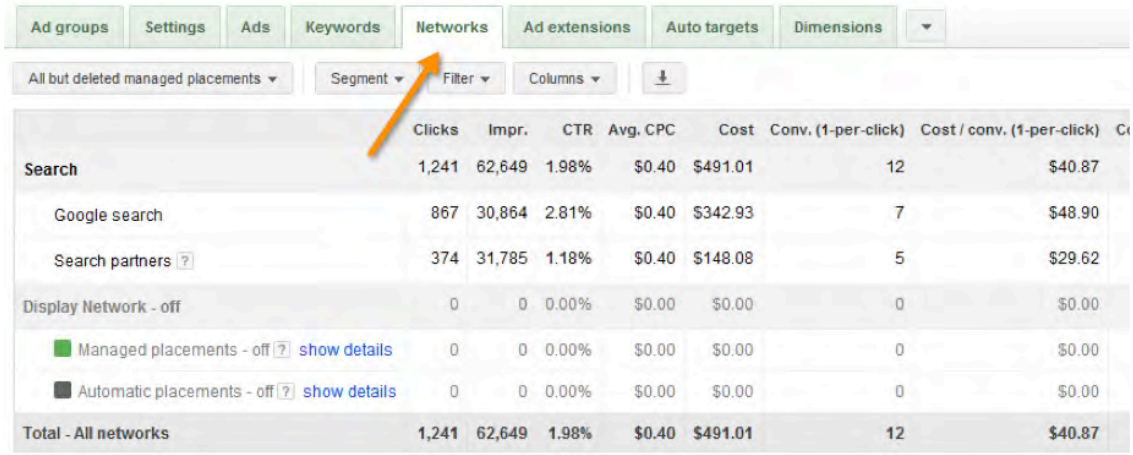
In the United States one of the largest Google Search Partners is AOL.com, a pretty big brand with a huge amount of search queries every day. AOL can add extra revenue to any campaign.

But there are also many smaller websites using Google's search engine that produce pretty big numbers when they're all combined.

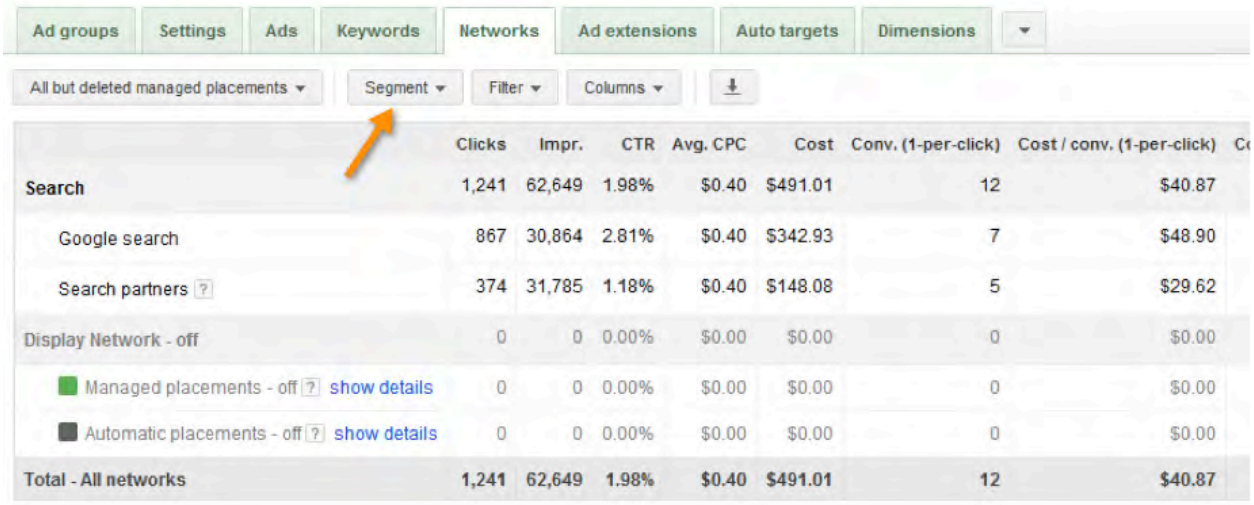
How Do You Track Campaigns on Google Search Partners?

It's very important that you track the results from Google Search Partners. I've seen campaigns in which Google Search Partners has performed incredibly well but also many in which Google Search Partners has destroyed the profitability of the whole campaign.

One of the easiest ways of finding out how your campaigns are performing on Google Search Partners is to go into the tab Networks:



	Clicks	Impr.	CTR	Avg. CPC	Cost	Conv. (1-per-click)	Cost / conv. (1-per-click)
Search	1,241	62,649	1.98%	$0.40	$491.01	12	$40.87
Google search	867	30,864	2.81%	$0.40	$342.93	7	$48.90
Search partners	374	31,785	1.18%	$0.40	$148.08	5	$29.62
Display Network - off	0	0	0.00%	$0.00	$0.00	0	$0.00
Managed placements - off show details	0	0	0.00%	$0.00	$0.00	0	$0.00
Automatic placements - off show details	0	0	0.00%	$0.00	$0.00	0	$0.00
Total - All networks	1,241	62,649	1.98%	$0.40	$491.01	12	$40.87



	Clicks	Impr.	CTR	Avg. CPC	Cost	Conv. (1-per-click)	Cost / conv. (1-per-click)
Search	1,241	62,649	1.98%	$0.40	$491.01	12	$40.87
Google search	867	30,864	2.81%	$0.40	$342.93	7	$48.90
Search partners	374	31,785	1.18%	$0.40	$148.08	5	$29.62
Display Network - off	0	0	0.00%	$0.00	$0.00	0	$0.00
Managed placements - off show details	0	0	0.00%	$0.00	$0.00	0	$0.00
Automatic placements - off show details	0	0	0.00%	$0.00	$0.00	0	$0.00
Total - All networks	1,241	62,649	1.98%	$0.40	$491.01	12	$40.87

You probably recognize several of the columns from your traditional AdWords interface, but in Networks you can see data from your chosen campaign: how many clicks you're getting from Google Search Partners, what the price is, and how well Search Partners are converting.

If your cost per conversion is acceptable you can go further by using the Segment feature. Clicking on the Ad Groups tab will allow you to see the Segment feature just above the Ad Groups.

If you choose Network and then Search Partners you'll be able to see how the individual Ad Group is performing on Google Search Partners.

I don't recommend optimizing for Google Search Partners. This is due to the fact that you can't target the search partners in a separate campaign. You'll always need to opt in Google Search to advertise on search partners, which makes it hard to optimize for Google Search Partners. If the Search Partners network is converting, take it as a gift and be happy.

Should You Opt Out of Google Search Partners from the Beginning?

It's my experience that you can generate a nice little bit of extra revenue with Google Search Partners. But it is very hard to predict how Google Search Partners will perform, and therefore I always recommend that you opt in to Google Search Partners and keep track of the performance.

You're already opted in to Google Search Partners when you create a new campaign.

If you paid attention in the last chapter about Quality Score, you should be a little worried that a low CTR on Google Search Partners will ruin your Quality Score. Luckily Google tracks Quality Score differently on the three different platforms, and you'll not be punished for low quality in Google Search Partners.

You can find out how to opt out of Google Search Partners in the chapter titled the Best Settings for Any Google AdWords Search Campaign.

Google Display Network

Google Display Network was formerly known as Google Content Network. The name was changed to Display Network to entice more banner ads on the network. Google Display Network comprises advertisements on Google's partner sites that use the ad delivery system called Google AdSense.

This book is dedicated to Google search campaigns, so I will not go into depth regarding Display Network.

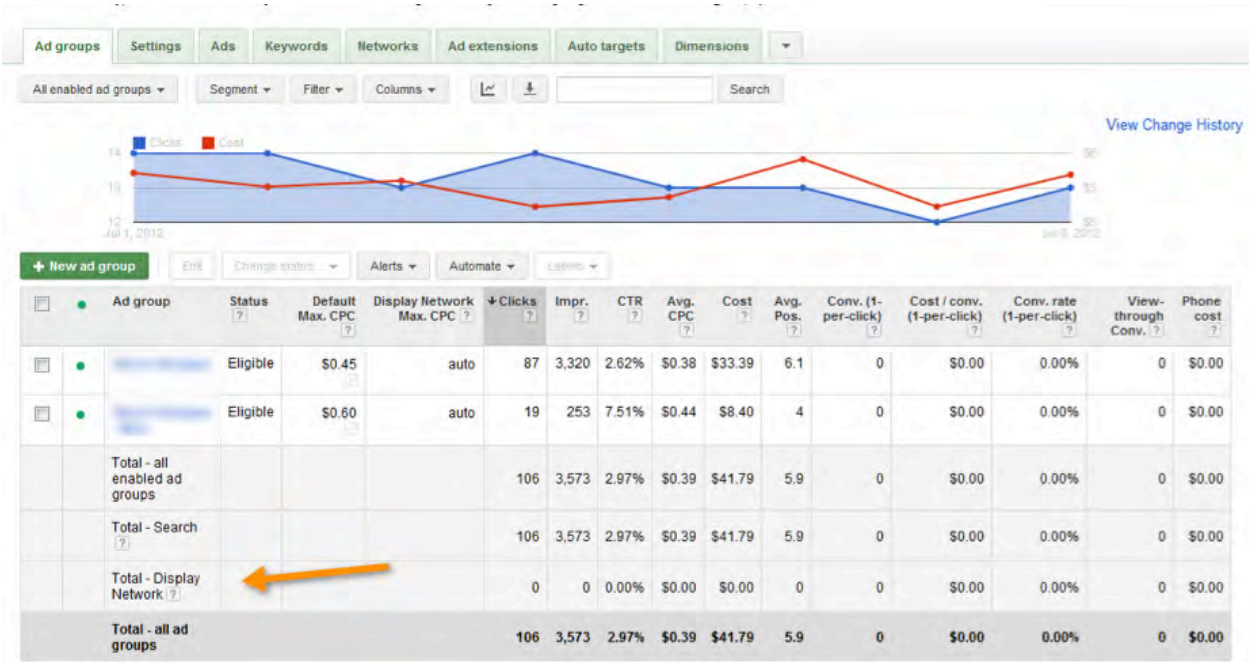
I will say this though: you should always create separate campaigns for Google Search and Display Network.

A completely different approach and setup are necessary to benefit from advertising on Google Display Network than are necessary to advertise solely on the search engine.

I've seen campaigns with Display Network opted in that didn't generate one conversion despite the owner's spending a couple thousand dollars a month.

If you are already running AdWords campaigns when you're reading this section, I recommend that you check whether you have the search engine and Display Network opted in in the same campaign.

You can check how the Display Network is performing by looking at the bottom of your AdWords account when you're in the Campaigns tab:



Ad group	Status	Default Max. CPC	Display Network Max. CPC	Clicks	Impr.	CTR	Avg. CPC	Cost	Avg. Pos.	Conv. (1-per-click)	Cost / conv. (1-per-click)	Conv. rate (1-per-click)	View-through Conv.	Phone cost
	Eligible	$0.45	auto	87	3,320	2.62%	$0.38	$33.39	6.1	0	$0.00	0.00%	0	$0.00
	Eligible	$0.60	auto	19	253	7.51%	$0.44	$8.40	4	0	$0.00	0.00%	0	$0.00
Total - all enabled ad groups				106	3,573	2.97%	$0.39	$41.79	5.9	0	$0.00	0.00%	0	$0.00
Total - Search				106	3,573	2.97%	$0.39	$41.79	5.9	0	$0.00	0.00%	0	$0.00
Total - Display Network				0	0	0.00%	$0.00	$0.00	0	0	$0.00	0.00%	0	$0.00
Total - all ad groups				**106**	**3,573**	**2.97%**	**$0.39**	**$41.79**	**5.9**	**0**	**$0.00**	**0.00%**	**0**	**$0.00**

I'll follow this book with a book about Display Network, but it'll have to wait awhile.

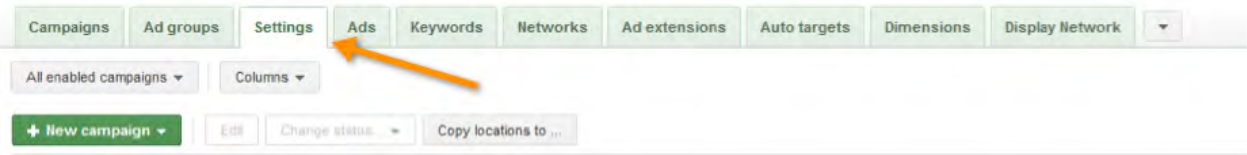
Explaining the Settings in Google AdWords (Search)

Interesting, pointless, irrelevant, ingenious, *and* essential *are just some of the adjectives that have been used to describe the settings within Google AdWords. Some of the settings are more important than others, but they all serve a purpose.*

If you want to create AdWords campaigns with the greatest amount of success, then you need to be familiar with all the settings within AdWords and know how and when to use them.

For the most part, though, you'll be able to choose the same set of settings again and again to produce the best campaigns. I'll show you these settings in the next chapter. I recommend that you read this chapter as well because it'll make it clearer how the AdWords system actually works.

You're able to see the settings mentioned in this chapter by clicking into an AdWords campaign and clicking on the Setting*s* tab:



I'll go through the settings using the same order as shown inside AdWords to make it easier for you to find the specific setting.

Note: ***Please be aware that the settings interface is in constant change. The names of the settings might change, but the basic philosophy and best practices still apply.***

Without further ado:

All online campaigns >

Campaign: [illegible]

Enabled | Type: Search Network only - All features | Budget: $67.50/day | Targeting: All devices | English; Spanish | United States

Ad groups | Settings | Ads | Keywords | Networks | Ad extensions | Auto targets | Dimensions

Campaign settings

General

Campaign name [illegible] Edit

Type ? Search Network only - All features Edit

Networks

Networks ? Search Edit

Desktops & laptops, mobile devices and tablets

Devices ? All Edit

Locations

Locations ? Targeted locations:
- United States (country)

Edit

Location options (advanced)

Target ? People in my targeted location Edit

Exclude ? People in my excluded location Edit

Languages

Languages ? What languages do your customers speak?
English; Spanish Edit

Bidding and budget

Bidding option ? Focus on clicks, manual maximum CPC bidding Edit

Budget ? $67.50/day Edit

Delivery method (advanced)

Delivery method ? Accelerated: Show ads as quickly as reasonably possible Edit

Ad extensions

Use this option to show relevant business information with your text ads. You can create and manage your extensions from the Ad extensions tab. Take a tour

Advanced settings

Schedule: Start date, end date, ad scheduling

Start date Jan 27, 2012

End date None Edit

Ad scheduling ? Only show ads at selected times Edit
Scheduled to run: 63%

Ad delivery: Ad rotation, frequency capping

Ad rotation ? Rotate evenly: Show ads more evenly for 90 days, then optimize for clicks Edit

Frequency capping ? No cap on impressions
Display Network only Your campaign must be opted in to the Display Network to use this feature

Keyword matching options

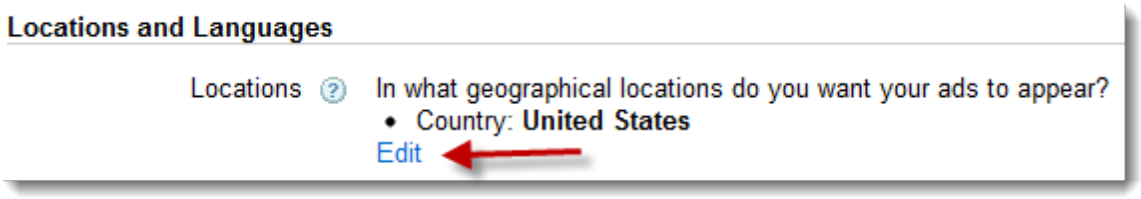
Experiment BETA

IP exclusions

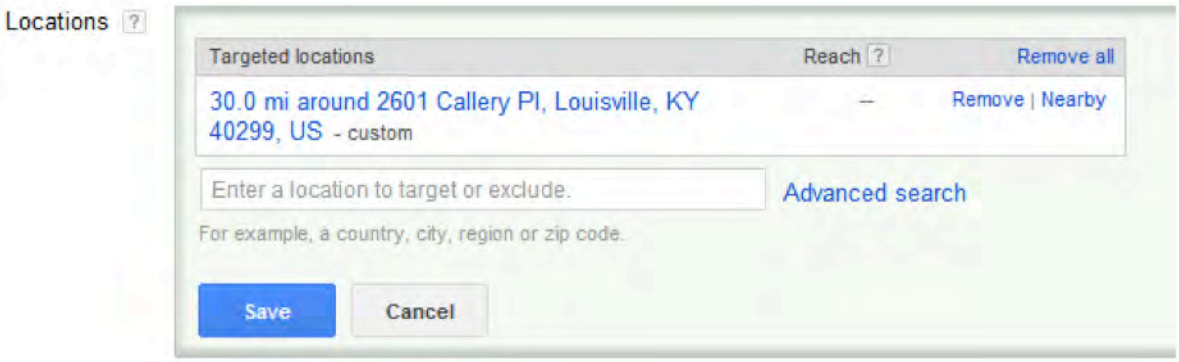
Locations and Languages

Locations

This is the place where you specify the geographic locations of your campaigns. Clicking on Edit enables you to add and remove specific locations in which your ads will be shown:



The default setting is the country in which your IP address is located. Watch out for this if you're located in a country other than the one you're creating campaigns for!



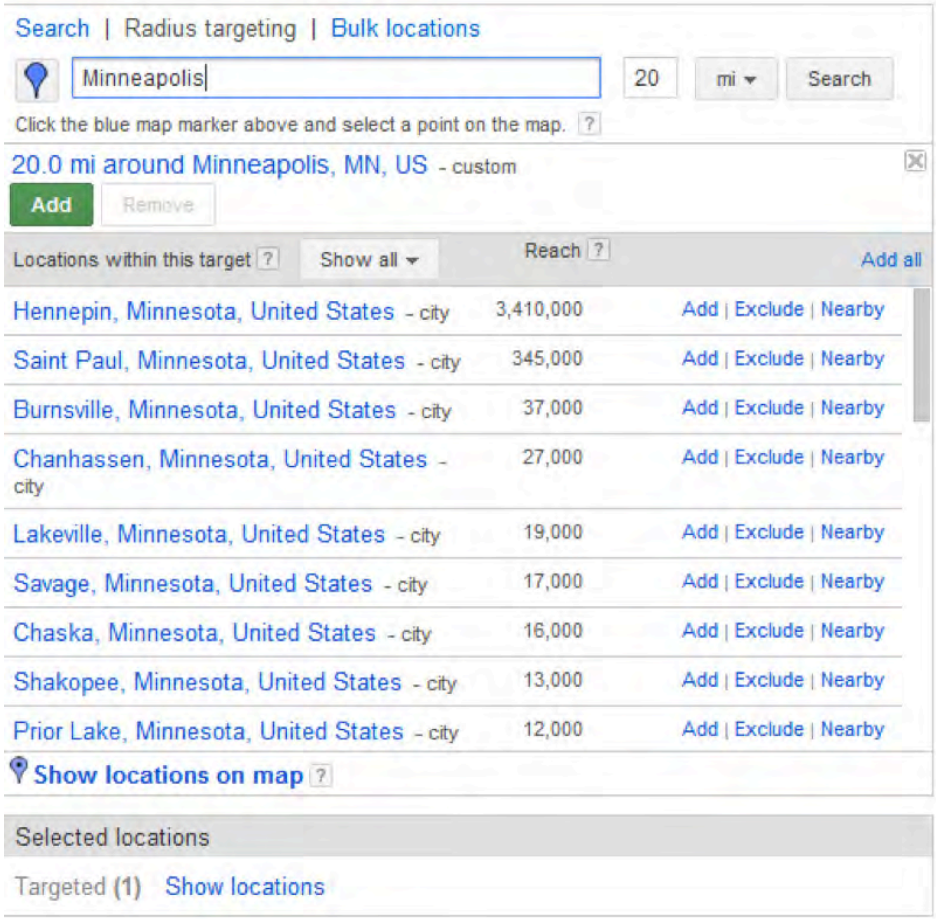
Simple version

You can now type in the city, state, or country in which you want your ads to show. This is an easy and simple way of adding the served areas.

Detailed version

Clicking on Advanced Search then Radius Targeting will enable you to target a radius instead of entering all the different cities.

Once you choose a radius and click Map you will be able to see all the cities that are located inside the radius. You can choose to include the cities or just choose the radius without specifying the cities:



Recommendation

Most e-commerce sites shouldn't limit their campaigns geographically. You could limit your campaigns initially to test how much your campaigns are converting before you roll out the big bucks and go national.

A golden rule: If you can service all clients with your product, you should advertise for all clients.

You should always use the location settings within AdWords for brick and mortar businesses. Using location settings is very important to eliminate impressions/clicks from users who have no interest in or aren't able to use your products.

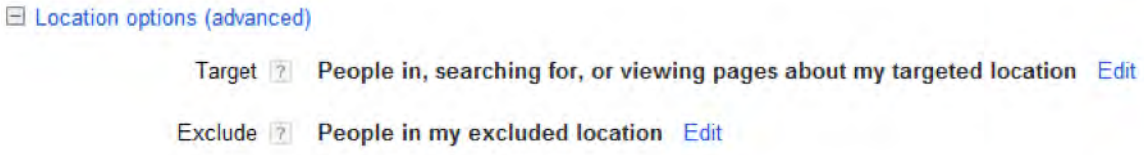
Facts

When searching locally (combining keywords with zip codes or city names) you'll be shown ads that are covering that area even though you're not physically located in that area!

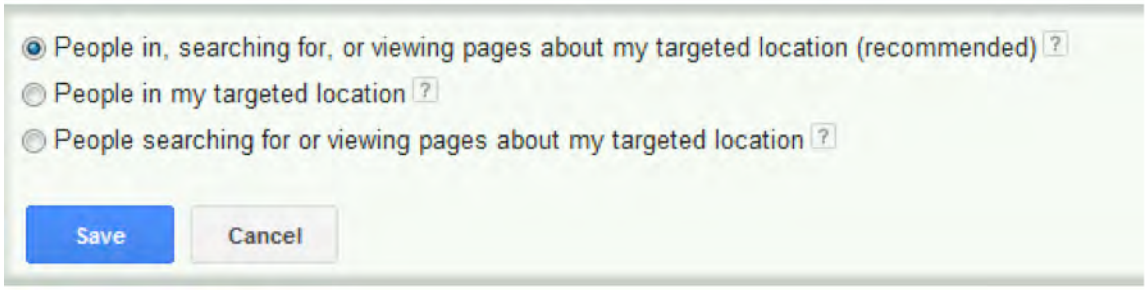
Languages

The language setting determines on which Google domain you're advertising. Choosing English only won't show you whether people search on Google.es while located in the United States.

Advanced Location Options



Choosing the Target location option enables access to three advanced settings:



Target using physical location: Device-based location signals

With this approach, you will target the users who are located only in the area you have chosen. This target is based solely on the IP address of the device the users are using while searching on Google.

Target using search intent: Location terms in user queries

With this approach, you will target only the users who actively use some part of the area you are targeting in their search string.

For example, if you have chosen to target Houston, the user needs to type in keyword *Houston* for your ad to show. It is not enough that the user is already located in Houston to trigger your ad.

The user can be located in Chicago, and your ad will be shown when the user searches for keyword *Houston*.

Target using either physical location or search intent (recommended)

This is the standard setting and the one I generally recommend. With this approach you will be able to target both users who actively specify the area in which they want ads to show and those who are physically located in the targeted area.

Besides targeting users, you also have the option to **exclude users** that you definitely do not want clicking on your ads even though they are located in your targeted area.

Excluding users can be efficient if local difficulties make it hard for you to deliver your services in that area, such as having to drive through the inner city or having to pay a high sales tax.

You can exclude users based on the following:

Exclude by physical location only (recommended)

With this approach you can block your ads from showing in the areas you have excluded. This will work only if the user is located in the excluded area.

Exclude by physical location and search intent

You can also choose to exclude users more aggressively. With this approach you not only exclude users based on their locations but also on their search intent.

Even though the users might be located in your targeted area, they will not see your ad if they include a city name from an area you have excluded.

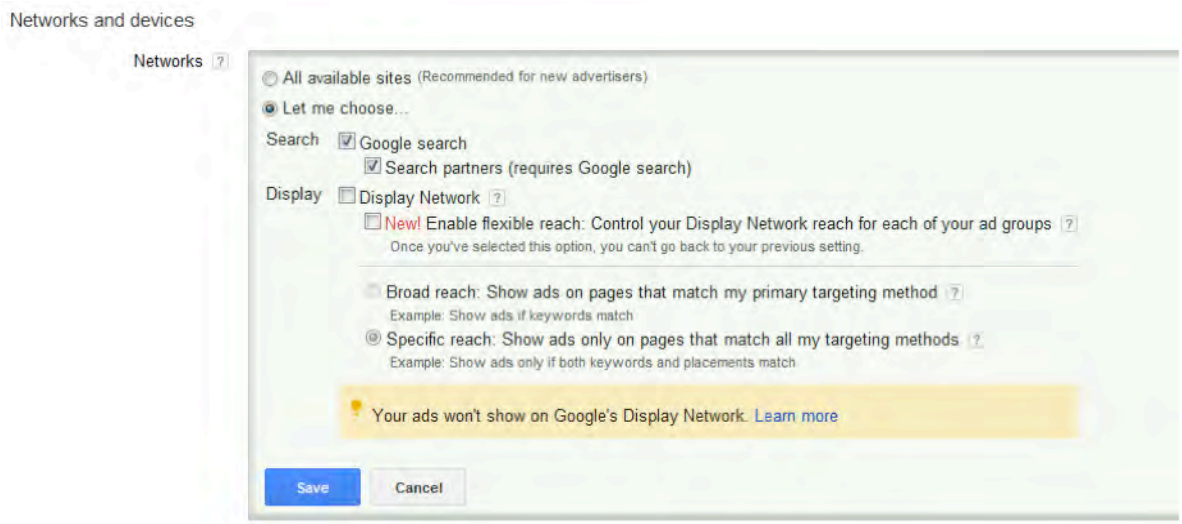
Networks and Devices

Networks

Networks is where you can choose on which networks/platform your campaigns should be active. I discussed this subject earlier in the chapter titled The Google AdWords Universe.

In Networks you're able to choose from:

- Google Search
- Google Search Partners (requires Google Search)
- Google Display Network



Recommendation

Even though Google recommends it to most advertisers, you should never opt in to Google Search and Display Network in the same campaign.

If you want to advertise on Google.com, choose Google Search and maybe Google Search Partners. If you want to advertise on Display Network, choose only Display Network. For the best advertising results, never include any other platform with Display Network in one campaign.

Devices

This feature enables you to choose which physical devices you want your ads to show on. At the time of writing, these devices are divided into three categories:

- Desktop and laptop computers
- iPhones and other mobile devices with full Internet browsers (further divided into carriers)
- Tablets with full browsers

Recommendation

Mobile search is such a big thing right now that you should consider creating separate campaigns solely for mobile devices. Mobile devices require another message and keywords, and can be very lucrative.

Short keywords tend to perform better on mobile devices seeing that the user is not trying to find a lot of information. The user is trying to find something to suit his needs now, and the best way to do it is through short keywords.

Creating a campaign for mobile devices depends on how much you're spending on Google AdWords and your level of profits. You shouldn't begin a campaign for mobile devices if you're spending less than $3,000 a month on AdWords because it probably wouldn't be a lucrative move.

One other very important thing to consider is having a designated website for mobile use because most websites on mobiles with full browsers will not be user friendly. The text, links, and images tend to be very small and hard to read, making it necessary for mobile searchers to zoom in to read the text. Google's Howtogomo.com website has excellent recommendations for creating a successful mobile site, resources, and a tool that will let you test your own site to see how it looks on a mobile device. You'll be surprised at the results!

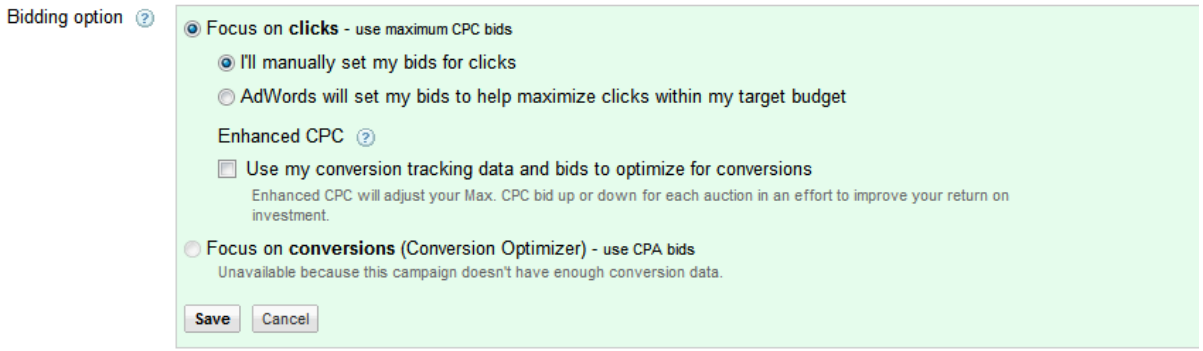
If you don't divide your campaigns, I would recommend your keeping all devices opted in to your search campaign. The mobile searches usually convert very well and should not be overlooked. But again, it all depends on the advertiser; you should track the AdWords performance to determine whether to include it or not.

Bidding and Budget

Bidding

Within the bidding settings, you have two options:

- Pay Per Click (CPC)
- Pay Per Acquisition (CPA)



Often this is a confusing area for many advertisers. If you don't really know the AdWords system, you might have a hard time choosing which bidding method you should use.

Let's go through them here:

Focus on clicks

Within this method, you have three different ways of bidding:

- I'll manually set my bids for clicks
- AdWords will set my bids to help maximize clicks within my target budget
- Enhanced CPC

Enhanced CPC is a relatively new way of bidding compared to the time the other two have been around.

Manual Bidding is the most commonly used way of bidding. With manual bidding you can manually set your bids on the keyword and Ad Group level without any interference from

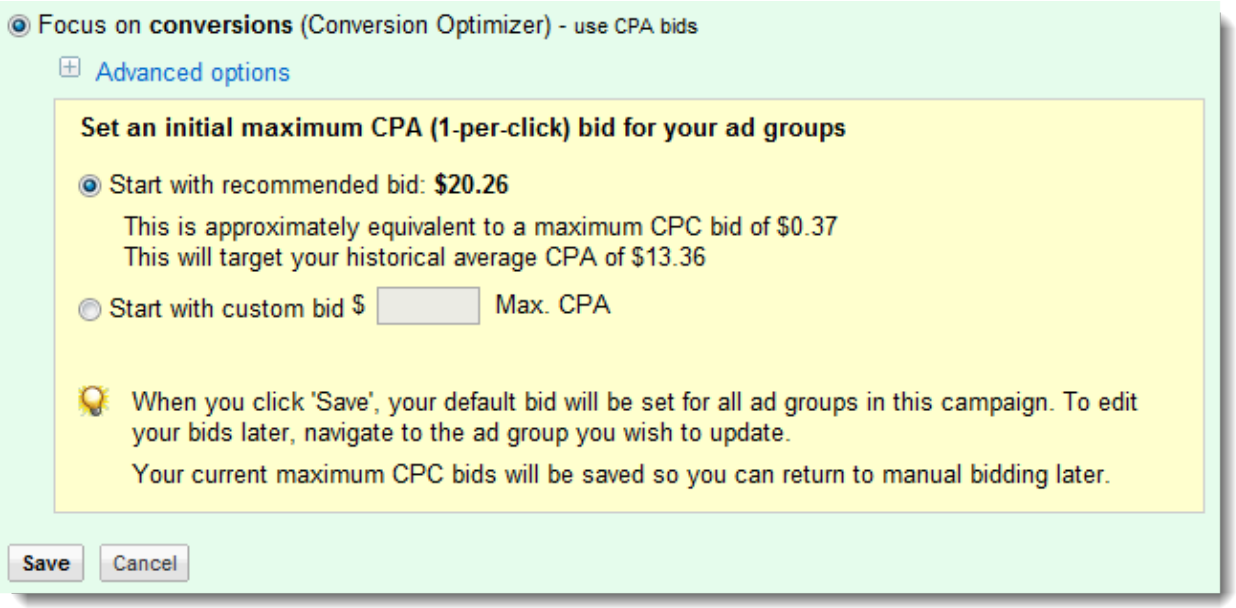
Google. It's totally up to you how much to bid, and if your bid is too high or too low it's just too bad. You're totally in control.

Automatic Bidding is a feature within Google AdWords in which you give Google the power to pick your cost per click. This option is meant to give you the maximum number of clicks within a set budget. You also have the option to choose a maximum CPC that ensures that Google won't bid $10 on a product that costs $8.

Enhanced CPC is a combination of manual bidding and CPA bidding. With Enhanced CPC, Google adjusts your bids up to 30% according to your historical conversion rate on the specific keyword.

You will therefore most likely experience variations of how much you're paying per click.

Focus on conversions



Choosing to focus on conversions disallows you to pick your own bids per click. Google will determine your bids according to the historical conversion rate for the campaign, Ad Group, and keyword.

Before you can choose to focus on conversions, you need to have 15 conversions for the past 30 days within the campaign you wish to use CPA bidding on.

Google will then adjust your CPCs according to how the keyword/ad combination is converting and what you've entered as the targeted CPA.

You can choose from two different CPAs:

- Max. CPA Bid
- Targeted CPA Bid

When choosing Max. CPA bidding, you're giving Google a limit on how much you want to pay per conversion.

Choosing Targeted CPA bidding, enables you tell Google that it's OK to get conversions that are more expensive than the entered CPA but that this amount should level out when looking at the 30-day statistics and comparing all keywords within a campaign.

Myth

It's a hard-headed myth that you don't pay anything if you don't make any sales with CPA bidding. It's not in any way guaranteed that Google will be able to stay within the given limits.

Recommendation

I'll start out with a little saying:

"Don't let the fox guard your hens."

Using the same idea you shouldn't let Google run your AdWords campaigns. Even though Google wants to please all its advertisers, Google tends to have a different value set when considering advertising.

Google adds value to the number of clicks/impressions you receive and is less focused on providing sales than you would be.

You should always try to manage your own bids by using Manual Bidding. Depending on your skill set, this option will always produce the best results, and you'll get a much better hands-on feel for the campaigns.

You could consider using CPA bidding when you're in these situations:

1. You've had AdWords campaigns for awhile, and you are having a hard time trying to keep them updated and optimized. If you don't want to find a Pay-Per-Click (PPC) agency, then you could try activating the CPA bidding.
2. If you're managing very large campaigns that have a couple thousand keywords, then you could consider using CPA bidding.

In both cases I would consider buying third-party software to manage bids. To this day I haven't tried CPA bidding and seen anywhere near the results I do with manual bidding.

Automatic rules are however another subject, which can be highly profitable if utilized correctly. Look out for articles in the official White Shark Media blog about the subject.

Budget

Here is where you set your daily **budget**. It's very important to realize that this amount is not a constant or set in stone; this amount simply sets a budget to make sure you're not spending more on your AdWords than you can handle.

Your daily expenses might exceed your set budget, but seen over 30 days the expense amount should level out and not exceed your daily budget.

The reason a daily budget can be exceeded is because of the time delay AdWords has in receiving data. It takes approximately 30 minutes for your AdWords account to register a click. If your budget is reached at 9:00 p.m., then you have an additional 30 minutes' worth of clicks, or until 9:30 p.m., before the system registers that your daily budget has been met.

Recommendations

The recommendations vary a great deal depending on your level of expertise. Therefore I've divided the recommendations into two groups:

Beginner Recommendation

When you're starting out with AdWords it can be hard to know how much of an expense the various keywords are and how much of a profit you can expect. That's one of the reasons it's smart to set the daily budget to the amount you actually want to use.

If you're planning on spending $10,000 a month, then you should set a daily budget of around $330.

Just be careful that your campaigns aren't meeting their assigned budgets too early in the day. Your budget should be met at 11:59 p.m. each day to be perfect!

This subject is also covered in the chapter titled Bid Management and Your Daily Budget.

Intermediate Recommendation

If you feel confident using Google AdWords and have a decent feeling about how your campaigns are performing, it's time to ramp up your budget.

You should set a symbolic daily budget that is around your breaking point. At this point you know that for every $5 you spend on AdWords, you receive $2 in profit. When you know your profit margin it's important to make sure that you receive all the clicks that you can each day.

To make sure that you receive the maximum clicks per day you need to be confident that your campaigns aren't hitting the daily budget.

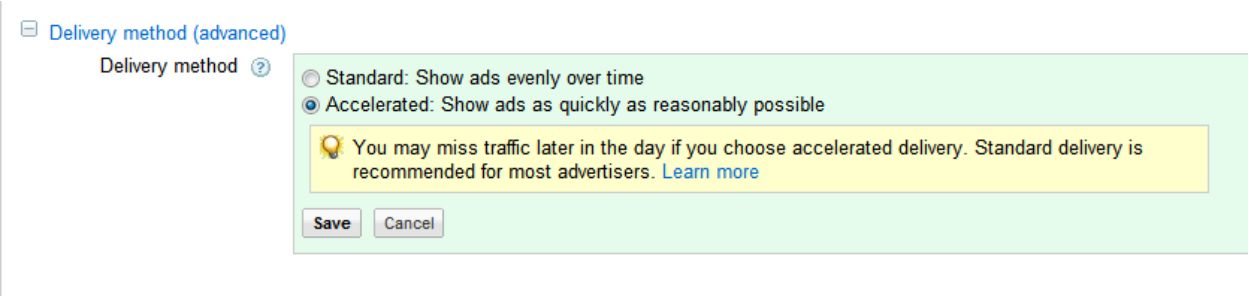
Every time your daily budget is met, it means that you're losing out on impressions → clicks → sales → profits. Therefore it's important that you set a high enough daily budget that you don't reach this limit on bad-weather days during which people tend to be indoors surfing the Web.

All in all your daily expenses on AdWords should be a result of how you manage your bids, not on what you enter as a daily budget.

Read more about this subject in the chapter titled Bid Management and Your Daily Budget.

Delivery Method (Advanced)

This area is a bit more complicated than the other areas, but nontheless it is an area you need to be familiar with if you want to be successful in AdWords.



Delivery Method

The feature Delivery method is often overlooked when new advertisers are setting up their campaigns. Within this option you can choose:

- The standard delivery method
- The accelerated delivery method

With the standard delivery method your ads will be shown evenly throughout the day, which is a small advantage when you're just starting out in AdWords.

The standard delivery method uses the historical data from the campaign to determine how often your ads should be shown. If your budget was exceeded a couple of days in a row, you'll start seeing your ads showing up with only every second, third, or fourth search query for your keyword. This happens to make sure that your daily budget isn't exceeded at 8:00 p.m.

By choosing the accelerated delivery method, your ads will be shown every single time a search query matches your keywords, no matter how your campaigns have performed during the previous period.

With the accelerated delivery method you are more in charge of your campaign and can make the necessary adjustments to ensure that your daily budget isn't being met too early in the day.

Recommendation

You should always try to use the accelerated delivery method, ensuring that you will receive every single impression throughout the day.

If you are just starting out in AdWords, you should start with the standard delivery method, which will ensure that you don't empty out your daily budget at 6:00 p.m. every day.

You should be aware that if your ads start to be shown with every second or third search query, you'll need to lower your bid.

The magic happens when you meet your budget with the last click at 11:59 p.m.

Ad Extensions

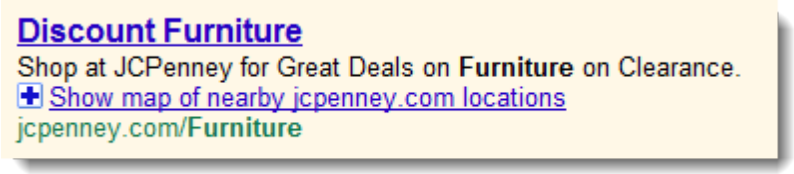
Ad extensions have been a part of AdWords for awhile now but not until recently did Google create a designated Ad Extensions tab within the Google AdWords interface.

Ad extensions are exactly what the name indicates: extensions of your AdWords ads, which you set up on the campaign level.

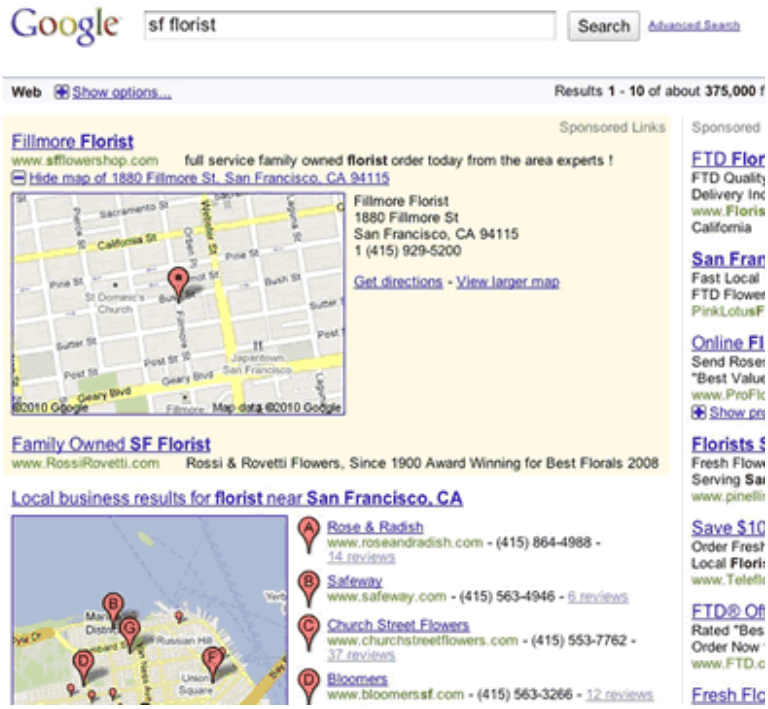
At this time Google has five extensions available, but Google keeps developing new extensions, so you might see more at the time you're reading this book.

- Location Extensions
- Call Extensions
- Site Links Extensions
- Product Extensions
- Social Extensions

Location Extension Example



Expanded



A location extension is an easy way to show users where your business is located without using the limited ad text. This gives you the opportunity to focus your ad text on the actual product.

This extension is used mainly for products/services that have a limited geographic area in which they are provided.

If you don't have any limitations regarding the locations in which you can provide your services/products, then the Ad Site Links extension might be a better choice.

Setup

When you want to set up the local extension you can use your Google Places account details. If you've already created a Google Maps account, you can just extract the information from that account and use it in your AdWords interface.

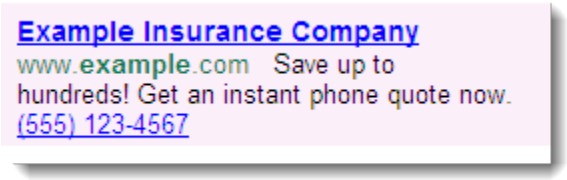
This will also make it easier to update new business information because you will only need to do it one time.

I recommend that you test the performance of ads with the local extension because I've seen positive and negative results when using it. You should test it and find out whether it makes your conversion or CTR higher or lower.

When you've had the local extension activated in your campaign for awhile, you can see how many times the specific extension has been shown. The CTRs and conversion rates from when the extension has been shown can then be compared to the regular statistics.

If the CTRs or conversion rates are higher with the extensions shown, then of course keep using it. If not, deactivate it and try the Ad Site Links extension instead.

Call Extension Example



The phone extension is currently available only for mobile devices. This extension works by your setting up a phone number; then when users see your ad in Google Search, they can click on the call link, and the mobile will start calling the number.

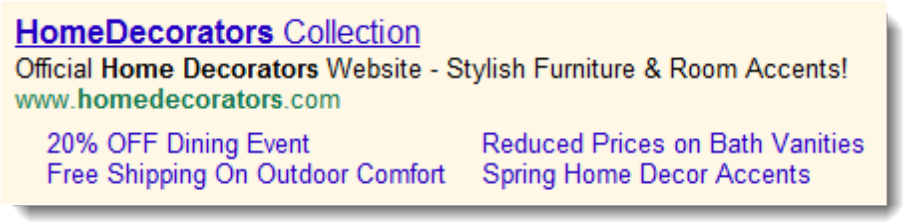
Clicking on the phone extension link will cost you as much as clicking on the original ad.

I recommend that you always set up the phone extension if:

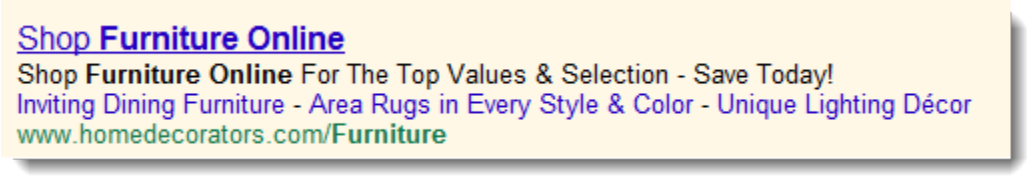
- You have more to gain from your visitors calling you
- You are targeting only mobile devices with your AdWords campaign

Ad Site Links Extension Example

Two-row Ad Site Links



Single-row Ad Site Links



Ad Site Links is one the best of the current extensions. It can provide a huge CTR boost when comparing ads with and without the Ad Site Links.

Depending on how many characters you're using, you can have up to four active links at a time when Ad Site Links are triggered.

Your ads can trigger two different types of Ad Site Links:

- Two-row Ad Site Links
- One-row Ad Site Links

For the two-row Ad Site Links to be triggered, the search query needs to be 100% identical to your keyword, ad, and landing page. Said in another way, Google needs to be confident that your ad is without a doubt the best ad for the used search query.

Two-row Ad Site Links are usually seen with brand searches, such as AOL, Zappos, Amazon, and so on.

One-row Ad Site Links are much easier to achieve, and they can result in a huge boost in your advertising performance when triggered.

To get one-row Ad Site Links you need to be in the top three pink/yellow position and have the Ad Site Links extension activated.

Besides giving your ads a huge boost in CTR, you will be able to direct your visitors to the correct part of your website more easily. Ad Sitelinks are especially useful when very generic searches are made. The search could be for such things as *suitcases*, *bags*, and *travel to Europe*. These searches are not specific enough for you to choose one landing page as the best. With the invention of Ad Site Links you're able to have up to five links from which the users pick, making it easier to provide the correct information within the first click on the AdWords ad.

How do you optimally use Ad Site Links?

How you should use Ad Site Links depends a great deal on what kind of business you are, the season, your competitors, and the like.

You've read and will read more about how it's important to stand out and be different from your competitors to get the highest amount of sales from AdWords.

Therefore you should experiment using only one long site link instead of four small ones. This longer link could include a promotion or a special offer that you think would be luring for future customers.

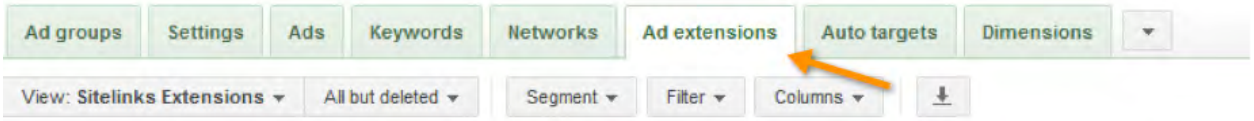
Often you'll be able to find out which parts of your website to use with Ad Site Links from your Analytics.

Another good way of using Ad Site Links is to promote a part of the website that is important but for some reason doesn't receive the amount of traffic you'd hoped for. With an extra Ad Site Link, you can promote this website without having to think about Quality Score, Relevance, and so on. A great use for Ad Sitelinks are new products or brands within your e-commerce site.

I always recommend that you activate Ad Site Links utilizing some of the methods mentioned above. It's very important for your AdWords performance that you use Ad Site Links and use them properly.

How Do You Set Up an Ad Extension?

To set up an ad extension you need to navigate to the Ad extensions tab after choosing a campaign:

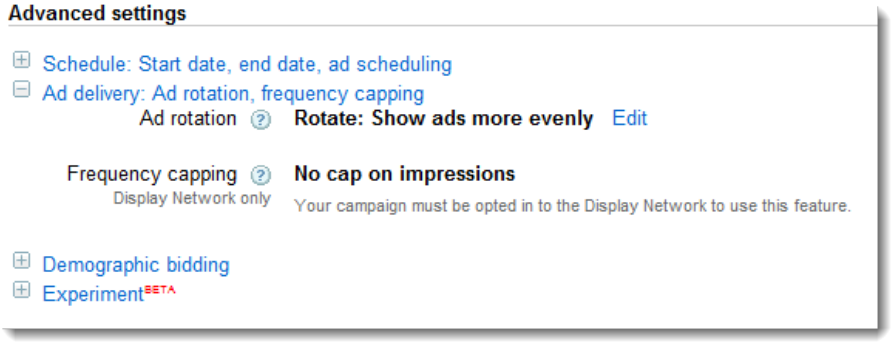


From there you can navigate the different ad extensions and set up the one(s) that you find best for your advertising:

You can also do set up ad extensions when you initially set up the campaign settings in a new campaign.

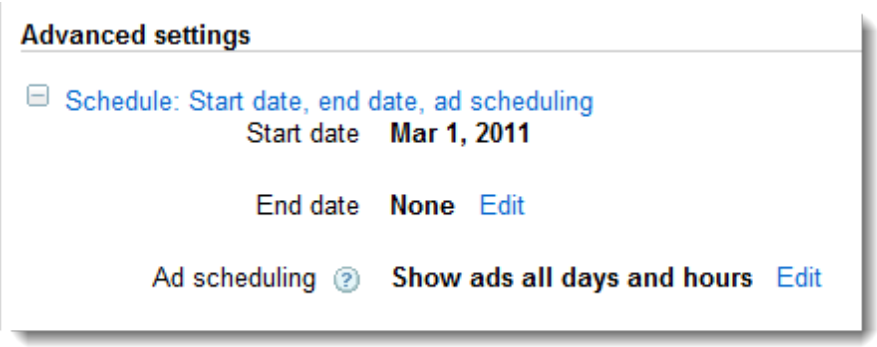
Advanced Settings

The advanced settings are meant mainly for experienced AdWords advertisers, but you'll need to know at least one of the settings to be successful with your AdWords campaigns.



You shouldn't spend too much time in the advanced settings part of AdWords if you're just starting. But you should know one particular setting within the advanced settings: Ad Delivery, Ad Rotation.

Schedule: Start Date, End Date, Ad Scheduling



Within the advanced settings, choose the time period in which your campaign should be activated. The standard setting is to begin your campaign on the date you set it up and run it all day, every day until the year 2038.

There are both advantages and disadvantages with changing these settings.

Start date – End date

Some AdWords campaigns are meant to be active only during a limited period of time. These campaigns can be set up with the end date in the initial campaign settings.

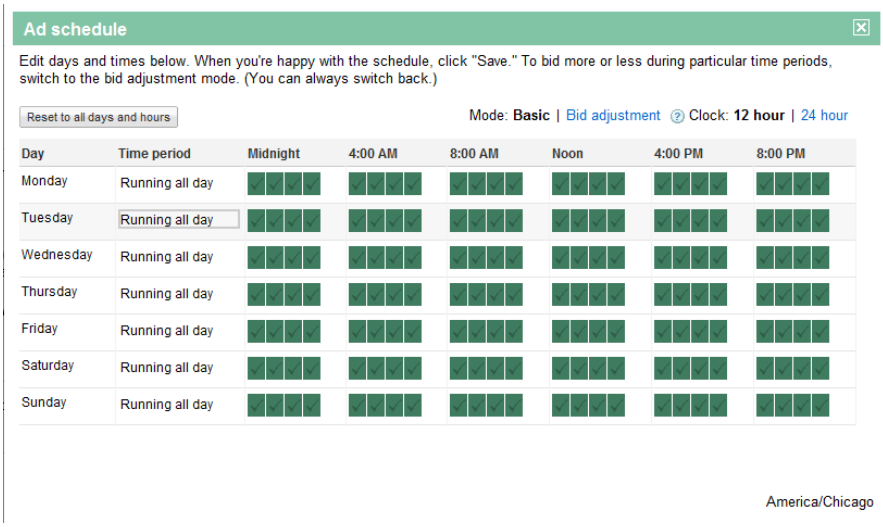
If you are not using AdWords for a limited period of time or you have other reasons for not setting an end date, you should just ignore this setting.

Ad Scheduling

Google AdWords gets a lot more complicated when we start looking at the Ad Scheduling feature. This feature is used to specify during which parts of the day your campaigns are active.

In addition to scheduling your campaigns, you can also specify that during certain parts of the day, you want to lower your CPC bids by a percentage because you consistently

convert fewer clicks during these parts of the day. This process is called day parting. You're limited to six intervals each day.



Recommendation

When working with the Ad Scheduling settings, you need to be 100% sure that you're limiting your campaigns in areas that you should. You need to be confident that the parts of the day that you're lowering your bid or pausing the campaign are times in which you're losing money if you don't.

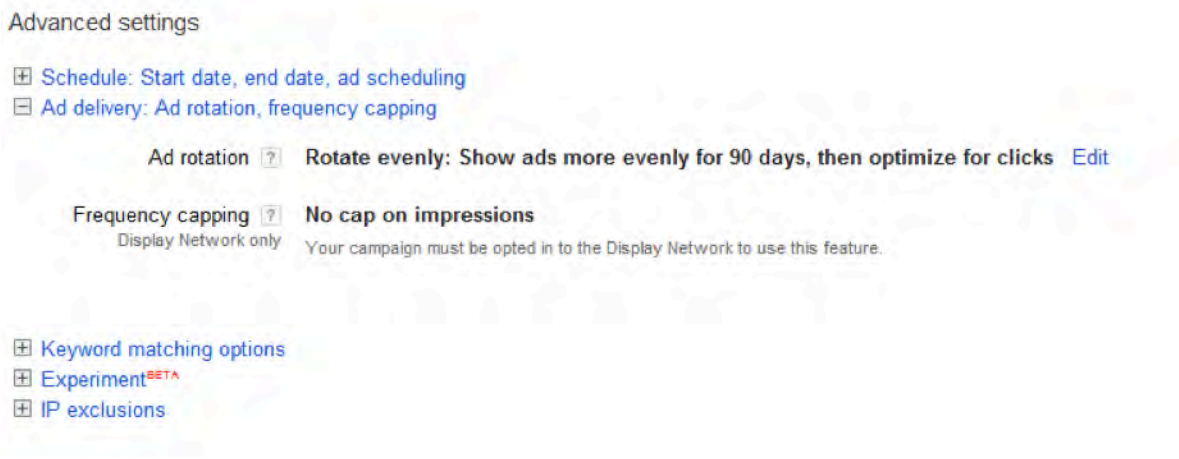
Don't just *think* you're losing money in that period of time; ***know*** you're losing money in that period of time. If you wrongly deactivate your campaign for a part of the day, you're potentially losing prospects/sales. Let's say that you're deactivating your campaign between 8:00 a.m. and 2:00 p.m. because most people are at their jobs and not buying anything.

People love searching for stuff when they're at their jobs. These people might mail a link of something they've found during the day to themselves to look it over during their off time. Their search will not show up as a conversion from AdWords but instead show as direct traffic.

This is just one example of how incorrect ad scheduling of your campaign can be devastating for the overall results of an AdWords campaign.

That's why you need to be 100% sure before deactivating your campaign during various parts of the day or week.

Ad Delivery: Ad Rotation, Frequency Capping



Ad Rotation

The default Ad Rotation setting is Optimize for clicks: Show ads executed to provide more clicks. You want the better performing ads to show more often, which this option enables, but Google's interpretation of which ads are the better performing ones might be different from yours.

Google determines which ads are the most effective by looking at the CTR, and it gets paid only when somebody clicks on an ad. Because of this Google defines ads that have the highest CRTs as the ones that are most efficient.

You can also choose Optimize for conversions. This is the same thing as optimize for clicks, but instead of counting your click through rate, Google will optimize based on your conversion rate.

As an advertiser you look at such factors as value per sale, conversion rate, and cost per sale to determine which ads are the most efficient. Furthermore it's important that you personally determine which ads have the highest CTR and why.

If you choose the *Optimize: Show better performing ads more often*-option, Google will automatically show the ad with the highest clicks, or conversions, more often.

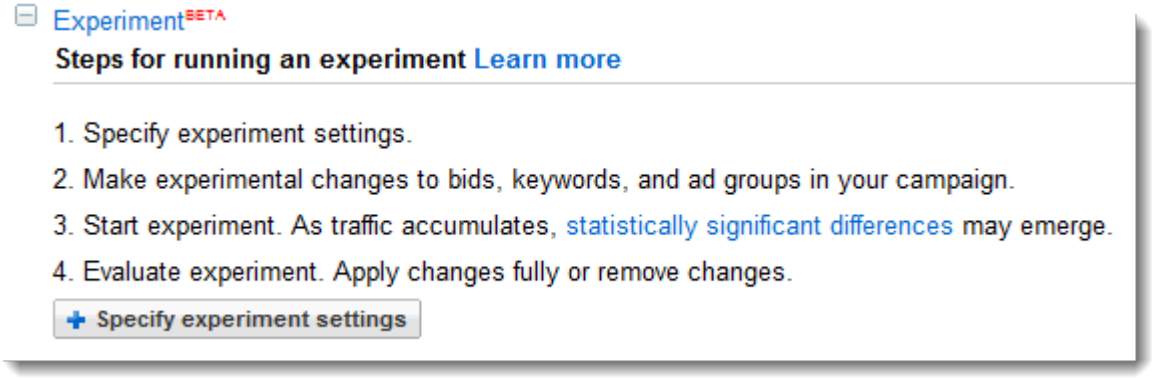
Choosing the *Rotate: Show ads more evenly* -option allows Google to show each ad equally. With this option you're able to decide for yourself which ads are generating the highest revenue or amount of conversions.

You should always use the *Rotate: Show ads more evenly* setting.

Frequency Capping

Frequency capping is the setting you would use to limit the number of times a user sees your ad on Display Network. Because this setting is used only in Display Network, it is not covered in this book.

Experiment



Google AdWords Campaign Experiment (ACE) is a relatively new feature within AdWords, and I'm very happy to be able to cover it in this book!

Because AdWords campaigns can fluctuate a great deal from week to week, it has been difficult in the past for you to determine whether changes in results could be directly attributed to changes you made, such as lowering or raising a bid, adding new keywords, or changing a campaign's structure.

You could never quite be sure that your changes produced the better results or whether the improvement would have happened without the changes. With the new ACE feature this element of uncertainty is now gone.

ACE works by dividing your traffic into two halves. One half of the traffic is the control and goes to the old setup.

But the other half of the traffic/clicks becomes self-determined and will be influenced by the changes you've made. In this way you're able to determine whether your keywords will double in conversions with just a small increase in CPC or whether an increase won't make any difference in your conversions.

With ACE, you can now more easily determine how well your changes to an AdWords campaign are working to improve your results.

Those of us who work with AdWords every day haven't been this happy about a new AdWords feature in a long time.

ACE is an advanced feature, and advertisers just starting out with AdWords might have some difficulty using it.

I recommend that new advertisers wait awhile before venturing into the world of ACE, at least until your campaigns start turning a profit. Then you can try out ACE in some of the areas of your campaign.

The Best Settings for Any Google AdWords Search Campaign!

When creating a new AdWords campaign, there is a group of settings that you should always set the same way, every time. No matter your strategy or your background with AdWords, this group of settings will work every time.

To maximize your return on investment (ROI) with Google AdWords ads, you need to continually optimize your campaigns because your industry changes all the time and so do your competitors in response to these changes.

If you are always reacting to what the industry does or your competitors do, you will constantly be two steps behind. That's why it's important to optimize or enhance your AdWords campaigns before they stop working. The only way to do this is to have the proper campaign settings.

That's why I've chosen to give you **my formula** for proven campaign settings, which will help you when you optimize your campaigns in the future. These settings can be used by all advertisers, no matter their goals or their service/product.

I've chosen not to include descriptions of the various settings and features below because all the information explaining the features and settings within an AdWords campaign is contained in the prior chapter.

Language

If you're advertising in the United States, you should at least choose English and Spanish as the main languages.

Why?

Choosing English and Spanish will ensure that your campaigns are shown on Google.com and Google.es but only in the geographic area you've chosen.

Networks

Opt out of Display Network.

Click on *Edit* and then *Let me choose*.

Why?

Display Network can be a very powerful platform for getting extra conversions for your business, but it requires a completely different set up than do search campaigns.

Bidding and Budget

Click on the plus sign (+) next to *Position Preference, Delivery Method (Advanced)*. Go to *Delivery Method* and choose *Accelerated: Show ads as quickly as possible.*

Why?

These settings will ensure that your ads are shown every single time a keyword matches a search query in Google, but this might mean that your campaign budget is being maxed out too early in the day.

Maxing out your budget too early in the day means you've set bids too high for your budget. Lower your bids to ensure that your campaign budget is being maxed out at 11:59 p.m. every day, ensuring that you pay the lowest amount of money per click.

Ad Extensions

Every Google AdWords advertiser should make use of ad extensions. These extensions are an effective way to enhance the visibility of your ad and get a higher CTR.

You might be more inclined to use the *Local Extension* if you offer offline services. This extension works well with Google Maps and shows your address and sometimes a map with your AdWords search listing.

This can be a great way to quickly show where your business is located without using valuable ad space describing your location.

Most businesses will be better off using the Ad Site Links extension instead. This extension offers extra ad space in order to direct visitors to specific parts of your site or to enhance the visibility of a relevant promotion.

Tips for writing Ad Site Links:

- You should fill out only four Ad Site Links and use one or two words. Doing this will make it easier to control which Ad Site Links are triggered.
- Keep them short and self-explanatory.
- Think like a customer when deciding which Ad Site Links to include.

Advanced Settings

Click on the plus sign (+) next to *Ad Delivery: Ad Rotation, Frequency Capping* and click on *Edit* next to *Ad Rotation*. Choose *Rotate: Show ads more evenly*.

Why?

You want to run only the ads that are giving you the highest return on your investment. If you do not rotate your ads, Google will show the ads with the highest CTR more often, which might not be the ads with the best ROI for your business.

This is a good example of why you shouldn't let Google decide anything for you within your AdWords campaigns.

Now you're ready to create the rest of your campaign!

Account and Campaign Structure

Many advertisers have AdWords accounts and campaigns that are very badly structured, from which performance suffers. If you structure your account and campaigns the right way, you will not only increase your campaign performance significantly but also save time optimizing your campaigns. In this chapter I'll teach you how!

Throughout the years I've opened many AdWords accounts in which I've instantly been able to see that I could improve the performance of the campaigns by 50% through restructuring them.

That's a 50% improvement using the same keywords, ads, negative keywords, settings, and so on. That's how important the right structure is for a campaign!

The way I structure campaigns is explained in detail in this chapter. If you find yourself reading this chapter and realizing that your own campaigns are built in a completely different manner, you might be looking at an easy 25% to 50% increase in campaign performance!

When I talk about AdWords account and campaign structure, I actually mean these areas:

- How to divide keywords in Ad Groups
- How to divide Ad Groups in campaigns
- How to divide campaigns in accounts

There are several advantages to structuring your AdWords campaigns in the way I'm going to show you in this chapter. Some of these advantages follow:

Let's start out by explaining how you should build your account structure.

Building the Account

From the beginning it's important that you make it easy for yourself to work with the account and continually optimize your campaigns.

If you organize your Google AdWords account in such a way that it's hard to find the different keywords or Ad Groups, you will have to spend a great deal of time with each optimization.

One of the best ways to organize an account is to replicate the structure of your website. For instance you'll have a much easier time finding your way around the account because you already know how to maneuver the website.

This assumes you have a well-organized website, but in most cases the best approach is to mimic the website structure when organizing your AdWords campaigns.

An example of a website that could use its own structure is LuggageOnline.com:

The website structure is very well thought out, and you would be stupid not to replicate that structure in your AdWords account structure.

Because of the many keywords it would take to cover the whole site, I'd prefer to organize the keywords like this:

- Own Brand Campaign
- Brands Campaign
- Luggage Campaign
- Duffels Campaign
- Backpacks Campaign
- Laptop Bags Campaign
- Others

With this approach, I can easily cover each part of the website inside a campaign.

In the luggage campaign you'll find keywords such as *trolley* and *garment bags*. The keywords themselves have no direct connection to the keyword *luggage*, but they're in the same category on the website, so therefore you put them in the same campaign.

This should not be misread as a recommendation to put the above-mentioned keywords in the same *Ad Group*. That's a huge no-no, which I'll explain more about in the section titled Keyword Grouping below.

Organize Your Keywords by Conversion Rates

Another way to group your keywords is by how well they convert. This process is slightly more advanced but nonetheless it's an effective way to organize your account to easily identify low-performing keywords.

Let me mention an example from an actual client who sells pet food online.

The guy managing the account wasn't an AdWords buff, and he actually didn't like doing the job at all. Because he didn't like the AdWords job, he decided that he could merely log in once a week and take a look at how well the campaigns were converting.

When he looked at the campaigns, he saw an average cost per conversion of about $20 in all the campaigns, a bit expensive but still low enough for him to turn a decent profit.

Suddenly one day he gets inspired and wants to become more involved in the daily processes of his campaigns. For the first time since he created the campaigns, he actually looks at them in depth. Now he sees that 80% of his Ad Groups are getting several clicks but are not selling at all. All the sales are originating from the Ad Groups in which he has his brand keywords.

He deactivated the nonperforming Ad Groups; a few weeks later he had increased his profits by 400% from half an hour of work.

Could this have been done much sooner? Yes, of course it could have. If he had divided his keywords into three different kinds of campaigns, he would have been able to notice the problem much faster.

In addition to organizing your Ad Groups/keywords like they are organized on your website, it's also a good idea to divide them into how likely they are to convert:

- Company campaign (eBay, ebay.com eBay com)
- Brand campaign (Samsonite luggage, Gucci bags, Nike running shoes)
- Generic keywords (Luggage, bags, running shoes, office chairs)

That way you're able to see when some of the Ad Groups or campaigns suddenly perform worse or much better than usual.

If you have your company name or brand keywords in the same campaign as the generic keywords are in, you have a tendency to add them all together and say that the campaign as a whole is doing well.

But you should always look at the individual keyword, ad, and Ad Group when determining how well your AdWords is performing.

Always Create a Separate Campaign for Your Brand

It's important that you create a separate campaign for your own brand/company name. By creating a brand campaign for White Shark Media, the keywords would look something like this:

- White Shark Media
- whitesharkmedia
- white shark media com
- whitesharkmedia.com
- Andrew Lolk

These types of keywords have a tendency to convert particularly well, and you don't want the statistics for these keywords mixed up with those for your other keywords.

Furthermore these keywords are much more likely to gain the two-line Ad Site Links, which can be used to protect searches for your brand. Ad Sitelinks will make sure that users have no doubt about where they should click when searching for your company name.

Keyword Grouping

When you've decided how you want to organize your AdWords account, it's time to look at the next step—how to best group your keywords.

Keywords are grouped or placed in Ad Groups. Read this part again. Keywords are grouped in ***Ad*** Groups. These groups are not called *keyword* groups but *Ad* Groups.

Once you understand this point, it'll become much easier for you to group your keywords. The most important part of keyword grouping is that the keyword itself is relevant for the ad that it's grouped with.

Fact

You can use a keyword only once per match type per advertised domain and account.

How Do You Determine How Relevant a Keyword Is for a Certain Ad?

It's crucial for your AdWords success that your keywords and ads are grouped in such a way that the ad is 100% relevant for the chosen keyword. To attract and convert the most visitors, you must be as targeted as you can be.

To find out which keywords you can put together in an Ad Group, you need to ask yourself some basic questions. If you can't answer yes to all the questions, then you need to put the keyword in its own Ad Group.

Don't worry. Only in the beginning do you need to ask yourself these questions. As you become more experienced with Google AdWords, you'll be able to look at two keywords and know whether they can work together.

Ask yourself these questions before grouping two keywords:

- Will both keywords be highlighted in the ad headline?
- Can both keywords be linked to the same landing page?

- Is it possible to use the same message on both keywords?
- How important is the keyword for your business?

Let me explain the different questions:

Will both keywords be highlighted in the ad headline?

When a search query matches a word in your ad, this word will become highlighted in bold. It's a known fact that you will receive a higher CTR if your ad headline is highlighted.

Furthermore when you add the keyword to your headline, you ensure a higher ad relevancy, which is a factor when determining your Quality Score.

Can both keywords be linked to the same landing page?

If you got two different landing pages for two keywords, it's almost always best to put the keywords in two different Ad Groups.

Is it possible to use the same message on both keywords?

If you can use the same message for both keywords in the ad, then it might be a good idea to initially put them in the same Ad Group.

A good example is an office supply store that sells expensive office chairs and discount office chairs. The keywords are almost identical, but the messages you need to use for the keywords are totally different for each to convert at the highest level.

How important is the keyword for your business?

Let's say that you're a carpet cleaning business in Houston. You need to initially put the keyword *Carpet Cleaning Houston* in its own Ad Group.

Make sure that you put your most important keywords in their own Ad Group, but don't go overboard. Most offline businesses have only 10 to 20 crucial keywords in their campaign.

Online businesses can have many more so-called bread and butter keywords.

One Keyword = One Ad Group Is the Best Case Scenario

To ensure the highest ad-to-keyword relevance, the best case scenario would be to put every single keyword in its own Ad Group.

If you had someone working for you creating and maintaining your AdWords campaigns, this would be a perfect approach to Google AdWords advertising. But nobody can afford that.

You could create the campaign with the one-keyword-per-Ad-Group approach, but the problem with that kind of campaign is the amount of time it would take to optimize.

Remember that you need to optimize all campaigns/Ad Groups two to four times a month! If you have 200 Ad Groups, you would spend most of your time doing nothing but optimizing.

Instead I recommend that you create Ad Groups with one to 15 keywords each. The main thing about the Ad Groups is that they need to be single themed.

Create Ad Groups that revolve around a single theme so all the keywords within that Ad Group will adhere to the ads in that group.

Of course every rule has its exceptions. I've seen campaigns that in no way adhered to the rules about the number of keywords per Ad Group, and they were doing extremely well.

Just make sure that you think it through and create the necessary Ad Groups for your campaigns to perform like you want them to. Don't let your own laziness rob you of the greatest amount of money to be made from Google.

The most important thing when you group keywords is to make sure that the keyword is 100% relevant to the ads in the Ad Group.

Create *Very* Tight Ad Groups for Main Keywords

Your main keywords should be worked on more intensively and you should easily be able to determine their performance. Dedicate more time to optimize and tweak your main keywords instead of spending equal time for all keywords.

I will therefore always recommend that you take your main keywords and create their own Ad Groups without any other variations: only the main term and nothing else. Examples of this can be seen in the next pages.

Work Smarter, Not Harder

I'm a big fan of working smarter instead of working 18-hour days. I like spending time with my friends and family while I produce great results at work.

I mentioned earlier that if you have an AdWords specialist at your disposal 24/7, you should create an Ad Group per keyword.

Most likely you don't, so it's important that you group your keywords based on how you're expecting them to perform and how important they are to your business. Initially, you will have to guess which keywords are the high volume keywords.

If you're unsure about whether to put the keyword *backpack with a blue handle* into its own Ad Group, simply put it into the most relevant Ad Group until you ***know*** that the keyword has many searches.

This way you won't spend time creating Ad Groups for keywords that have very few or no searches at all.

Tip

In almost all of my larger AdWords campaigns, I have an Ad Group called Volume Test.

I put keywords into this Ad Group when I'm uncertain about the number of daily searches. The ad in this Ad Group is built with the dynamic keyword insertion feature and uses the keyword level linking option.

After a week I go back to the Ad Group and look at how many impressions that particular keyword has and act accordingly.

Note that this approach should be used only if there are no other Ad Groups that are relevant for the keyword.

Some examples of how to group your keywords

Campaign: Generic Keywords

Ad Group: Kids Clothes

- Kids clothes
- Clothes for kids

Ad Group: Kids Clothes—Misc.

- Buy kids clothes
- Order kids clothes
- Compare kids clothes prices
- Kids clothes review
- Kids clothes store
- Kids clothes shop

Ad Group: Children Clothes

- Children clothes
- Buy children clothes
- Order children clothes
- Compare children clothes prices
- children clothes review
- children clothes store
- children clothes shop

Ad Group: Children Clothes— Misc.

- Buy children clothes
- Order children clothes
- Compare children clothes prices
- children clothes review
- children clothes store
- children clothes shop

Ad Group: Cheap Children Clothes

- Cheap children clothes
- Cheap clothes for children
- Cheapest children clothes

Ad Group: Clothes for Boys

- Clothes for boys
- Boys clothes
- Cheap clothes for boys
- Order boy clothes
- Boy clothes prices
- Boy clothes online

Ad Group: Clothes for Girls

- Clothes for girls
- Girls clothes
- Cheap clothes for girls
- Order girls clothes
- Girls clothes prices
- Girls clothes online

Ad Group: Children Clothes Online

- Children clothes online

Ad Group: Children Clothes Sale

- Sale on children clothes
- Children clothes sale
- Children clothes sales

The words in blue are the ones that would be shown in bold if I used the Ad Group name in the title. Notice how I've grouped the keywords so that they will convert at the highest level.

Something important to note is to avoid duplicate keywords within the campaign and within the same Ad Group. A duplicate keyword would also include keywords in Broad Match And Broad Match Modifier that are set in a different order. For example: *kids clothes, clothes kids.*

Some of the keywords will in time probably be moved to their own Ad Group so I can write an even more specific ad.

Let's say that there are many searches for *buy kids clothes.* It would make sense to create a new Ad Group just for this keyword and to write a very specific ad:

Want to Buy Kids Clothes?
Buy your kids clothes from our huge selection – Daily delivery!
www.KidsClothesOnline.com

Watch how much the ad revolves around the keyword: *buy kids clothes*. Including the exact search query will in most cases enhance the visibility of the ad and the relevancy, which will enhance the Quality Score of the keyword and thereby lower your click prices.

Remember Ad Site Links!

When you're creating the structure of your campaigns it's important to think about the ad extensions Ad Site Links.

If used correctly Ad Site Links can significantly increase your traffic and should be integrated into every single campaign you create.

At the moment you specify the Ad Site Links on the campaign level, which means that you need to think about the Ad Site Links extensions when you're creating campaigns. It's important that you split up campaigns if the attached keywords can't share Ad Sitelinks.

Sometimes you might have to split up a campaign before you can get the most out of the Ad Site Links extension. It's not optimal if you sell backpacks, toiletries, mobile cases, and suitcases in the same campaign because the users searching specifically for mobile cases will receive the same Ad Site Links as the users searching for toiletries.

Take the time to think about the Ad Site Links extension when you create your campaigns to more efficiently use them.

Note

You can have up to 25 active campaigns in the same AdWords account. If you need more active campaigns than that, read the chapter titled My Client Center (MCC) in Google AdWords.

Do You Have Only One Campaign?

Not all AdWords advertisers need to create multiple campaigns to get the most out of AdWords. Many small businesses can get incredible results by just creating a single campaign.

Typical advertisers that tend to do well with a single campaign are brick and mortar businesses and simple online businesses.

Very few e-commerce sites get the best results by using only one campaign. So, if you have an e-commerce site and only one campaign, you should consider that with only one campaign, you're missing out on clicks because of limitations in your keyword lists.

Keywords

Keywords are the foundation in your AdWords account, and they work much differently than what many people think. After you've read this chapter you'll be amazed that you could ever have advertised on Google without knowing these things, and you'll be capable of creating a very effective keyword list.

To get an extensive and effective keyword list, you must invest the time needed to do the research. It won't happen overnight or within the initial setup.

The first setup is exactly what it is—just the first setup. With the first setup you set up your account and campaign structure. When your campaign has been running for two to four weeks, then you can start expanding your keyword list and create a powerhouse of a campaign.

It's not possible to get all keywords in a campaign when you do the initial setup, but you have to make sure that you're not missing out on potential sales by not including obvious keywords.

But before we get into keyword research it's important that you understand how the different keyword match types work in Google AdWords. By knowing how they work you'll be able to get the match type to work for you, and you'll know when to use the different match types.

Google AdWords has five different keyword match types:

> Broad Match	keyword
> Phrase Match	"keyword"
> Exact Match	[keyword]
> Broad Match Modifier	keyword +keyword2/+keyword +keyword2
> Negative Keyword	-keyword

You'll find the first four match types in the regular Google AdWords keyword lists. The negative keywords are found in another list within your account.

I've dedicated an entire chapter to negative keywords, which follows this chapter.

Broad Match Keywords

Broad Match is the default match type when you add a keyword in Google AdWords. Some of the biggest myths and misunderstandings about Google AdWords concern Broad Match keywords.

Using Broad Match doesn't automatically mean that you:

- Get more expensive click prices
- Experience lower conversion rates
- Are an amateur

A skilled AdWords manager will use all four match types and will know the advantages and disadvantages of each one.

How Do Broad Match Keywords Work?

Broad Match is the most complex of the four match types because keywords in Broad Match work in many different ways. Broad Match keywords will be triggered in many more search queries than what you might expect.

Broad Match keywords will be triggered when people search for:

- The actual keywords
- Misspellings of the keyword
- Different word orders
- Other relevant search queries (called keyword expansions)
- Session based related search queries

From this list you can see that Broad Match keywords will be triggered more often than just from the searches for the keyword that you've added in your AdWords campaign. Let me explain more about Broad Match and give you examples of search queries your ads will be shown on.

Let's say you have the keyword *broadband promotions* in Broad Match. Your ad will now be shown on the following searches:

- Broadband promotion, broad band promotions
- Broadband promotion, broadband promotion etc.
- Promotion broadband, promotions on broadband
- Cheap broadband, cheapest broadband, broadband special
- Fast internet, best internet provider, changing broadband provider

The first one is easy to see because it's just the actual keyword and the keyword in plural, but let me explain the rest of them more thoroughly:

Misspellings: *Broadband promotion, broadband promotion etc.*

With Broad Match Google automatically includes the different misspellings of a keyword. The myth that you need to add thousands of misspellings per keyword is therefore not true and will only clutter your campaigns.

Different word orders: *Promotion broadband, promotions on broadband*

Google's algorithm knows that when users are searching for *broadband promotion* that they will benefit from being shown the results as if they were searching for *promotion broadband*. It's the same basic search; therefore your ad will be shown in both searches even though you haven't included the keyword in different word orders.

Keyword expansions: *Cheap broadband, cheapest broadband, broadband special*

This is when it starts getting really interesting. Broad Match will not only include misspellings or different word orders, it will also trigger your ad when a search query is completely different from the actual keyword you have included in your campaign.

That's right. Keywords will be expanded to other keywords through the Google algorithm.

Does this mean that if you include the keyword *broadband* in a campaign and somebody searches for *Internet* that your ads will be shown? It's probable but highly unlikely. Although Google expands your keywords to include keywords different from those in your campaigns, it still uses Ad Rank to determine how high a position your ad is shown.

If your keyword expansions don't have a high enough Ad Rank for a search, your ads naturally won't be shown. You need to consider keyword expansions when you are creating and optimizing AdWords campaigns, but know they can be insanely annoying. Because of keyword expansions you might need to use negative keywords to sculpt Ad Groups that are closely related.

In other words, you might need to include the negative keyword *children* in an Ad Group containing the keyword *kids clothes* in Broad Match. Otherwise the kid's clothes ad will show when users search for children's clothes, which will have a lower CTR and conversion rate than the ad about kid's clothes.

Keyword expansions can be challenging, but their advantages are much greater than their disadvantages. They are just another thing you need to be aware of to get the most out of your Google AdWords campaigns.

Keyword expansions can be controlled efficiently with the correct use of negative keywords. Negative keywords are covered in the chapter titled Negative Keywords.

Session Based Related Search Queries: *Fast internet, best internet provider, changing broadband provider*

This feature is fairly new but very interesting to say the least. Session based related search queries are based on the users' search patterns.

Let's say a user is starting his search with the following searches:

1. digital tv channels
2. best cable tv supplier
3. how to watch ESPN

. . . and other keywords revolving around his wish for getting a new cable TV company.

After having performed these searches, he now searches for *cheap tv*. He might actually be looking for a cheap television. But it's more likely that this search is just another chain in his

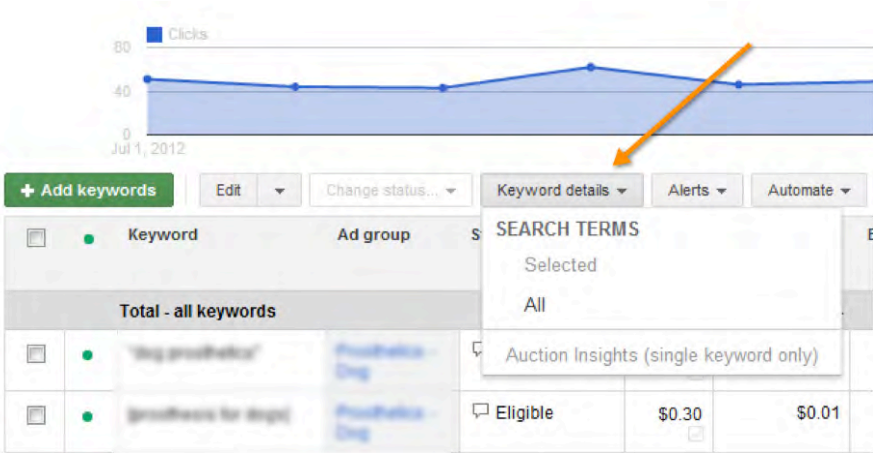
search for a new cable TV provider, and Google recognizes that and shows your ads on this search as well because Google believes they will be relevant to the user.

I've seen some pretty amazing results using Session Based Related Search Queries, and I hope that soon Google will allow this to be a match type. Some searches would not be profitable on their own (for instance *cheap tv*), but if it follows other relevant

How Do You See the Actual Search Term That Generated a Click?

Luckily, this is easy to determine. I use the following two methods:

1. When you're in the Keyword tab, click on *Keyword details* and then on *All*. The list that now shows represents the actual searches that triggered your ad.



These searches can be seen on the account level, campaign level, and keyword level. By clicking in the box to the left of the keyword and then clicking on *See Search Terms → Selected*, you're able to see which searches that exact keyword triggered.

2. If you've linked your AdWords and Analytics accounts, you'll be able to see the actual search terms used. The "keywords" shown in Analytics under PPC traffic sources are the actual searches and not the keywords that you have in your AdWords account.

Broad Match: Pros and Cons

Pros

- You can cover a lot of misspellings and keyword variations with a single keyword.
- You'll discover high-converting long tail keywords that you'd never thought of before.
- Broad Match keywords receive many more impressions/clicks than any other match type.
- It can be extremely effective!

Cons

- Many searches/clicks = High costs
- High risk of losing money to irrelevant searches
- Hard to control, especially with single-worded keywords

Broad Match Modifier

Broad Match Modifier is the latest match type to be launched and was officially rolled out worldwide in 2011. This was a very sought after match type.

It combines the flexibility of Broad Match with the Phrase Match's ability to increase your relevancy, and the result is a powerful match type not to be ignored.

Many of the new features and functions Google launches can be ignored, and you would never know the difference. That is not the case with Broad Match Modifier though. If you don't start using it from day one, you'll immediately lose ground to your competitors—fast!

How Does Broad Match Modifier Work?

Broad Match Modifier works by adding a plus sign (+) in front of a keyword without a space between:

+keyword

Adding the plus sign in front of a keyword means that this keyword has to be part of the search phrase to trigger your ad.

Staying with the broadband example, examples follow:

Keyword: broadband +offer

Results:

- Broadband offer
- Offer for broadband
- Offers for broadband
- Broadband prices
- April broadband offer
- Broadband offers
- Broadband offer Ohio
- Best broad band offer
- Internet offers
- Internet offer

As you can see, every time a search has the exact word *offer* in the search phrase, your ads will appear. But as soon as the exact word *offer* isn't included, your ads won't be shown.

You can streamline your ad groups and campaigns with the use of this feature. This feature also allows you to define words and phrases that you really can't afford to have expanded into other searches, but you still have the flexibility to include reversed word orders and additional keywords. This is very powerful to say the least.

Let me show you another example in which Broad Match Modifier is used on both keywords:

Keyword: +broadband +offer

Results:

- Broadband offer
- Offer broadband
- Offer for broadband
- Offers for broadband
- Broadband prices
- April broadband offer
- Broadband offers
- Broadband offer Ohio
- Best broad band offer

Notice the small change. Your ads no longer appear on a search for *internet offer* This is similar to Phrase Match, but you still have the ability to add more adjectives or different word orders to the search phrases on which you want your ads to appear.

All this combined makes it possible for your ads to appear on more searches than if you used only Phrase Match and is still more specific than if you used only Broad Match.

Is There an Easy Way to Create Broad Match Modifier Keywords?

At the moment, unfortunately, there is no easy way to change keywords into Broad Match Modifier keywords with AdWords Editor. If you used AdWords Editor or Excel to keep track of your keyword lists, the search and replace feature can be effective for creating Broad Match Modifier keyword lists.

MergeWords.com can also be used to create BMM keywords. Simply click on extra options under the first box and you can select + as the separator.

Pros:

- Much better control of which searches you want your ads to appear on
- Very good for finding new long tail keywords

- Your ads will still appear although the search phrase has an extra word or different word order
- Catches misspellings

Cons

- Lower search volume than with Broad Match
- Can still be expanded to seemingly irrelevant searches
- No easy way to create keywords in Broad Match Modifier

Phrase Match

Phrase Match is much more user friendly than broad match. With Phrase Match you have much more control over which searches your keywords actually trigger. You still need to pay attention to the search term report though.

In Phrase Match, as opposed to Broad Match, you must define the keywords when adding them to your campaign or afterward through AdWords Editor.

You put a keyword in Phrase Match by adding quotation marks around the keyword or phrase:

"broadband offer" or "broadband"

Alternatively, you can select the phrase match type in AdWords Editor after you've added the keyword in your keyword list. Please note that you can't write " " around a keyword in AdWords Editor. You have to select the match type from a drop down.

How Does Phrase Match Work?

With Phrase Match you have much more control than with broad match Having more control means that the keyword or keyword phrase has to appear in the user's search phrase for the ad to be shown.

Phrase Match excludes your ad from being shown when users have typed in different word orders, misspellings, or the famous AdWords keyword expansion that I mentioned in the Broad Match section.

Let's use the previous example again with broadband offers. Your ad will appear with the following searches:

- Broadband offers
- Broadband offers March
- New broadband offers
- Cheap broadband offers

As you can see from the list, the keyword maintains its word position at all times. It might be expanded with additional keywords on either of the selected keyword phrases.

This match type however is not limited to sentences. You can benefit from using it for keywords you don't want expanded or where a typo means something else. You can also use Broad Match Modifier for these situations.

Pros

- Greater control on what queries you'll be shown
- Very effective for sentences
- Effective for avoiding greater expansions, for example, broadband deals → cheap broadband

Cons

- Reduced volume
- Doesn't capture misspellings or different word orders

Exact Match

The Exact Match type is also one you must define yourself. To add a keyword in Exact Match, you must put brackets around the keyword: [*keyword*]

As the name suggests, a keyword in Exact Match appears only on searches that are 100% identical with the selected keywords.

As an example, your ad will appear on only this search:

- Broadband deals

Please note that Exact Match keywords are not case sensitive.

Exact Match is the perfect tool when you have keywords with high volume or when you have identified search terms that convert very well.

Keywords that convert as well in either Broad Match, Broad Match Modifier, or Phrase Match, or search terms found in *See Search Terms* should always be added as Exact Match keywords to gain more control over the ROI of that exact search phrase.

Pros

- You know exactly what search is used
- Perfect for controlling high-converting keywords
- What you see is what you get

Cons

- Much less volume
- Does not catch typos, inverted word order, etc.
- You can't discover new keyword variations or long tail keywords
- You miss "one time searches"

Which Match Type Should You Use?

When you first set up your campaign you should use all match types except Broad Match.

That's right—three match types should be added to determine how they perform. Once you know the performance of each match type, you can then make an informed decision about which one to keep.

As I mentioned earlier, there are exceptions. If you add keywords, such as *the great adventures of Gilligan 1965*, it's unnecessary to use both Phrase Match and Exact Match.

Use your common sense. If you don't think there are many searches for that keyword, start out by just adding it in Broad Match.

If the keyword subsequently extends to strange wordings or more searches than predicted, then you can put it in a different match type.

As a note, I would recommend that you add all *one-worded keywords* in Phrase Match and Exact Match with your first setup.

Two-worded keywords should be added in Broad Match Modifier, Phrase Match, and Exact Match from the beginning.

Three-worded keywords can be initially added to Broad Match Modifier. I would strongly advise against the use of Broad Match for your initial campaign set up. You consider using Broad Match when it's time to expand your keyword lists.

As you can see in my review of the three match types, each one catches different users; therefore you should use them all in an effective AdWords campaign.

Gradually, as your campaign gathers statistics, you might find that some of the match types for a particular keyword are not profitable, but others are.

Note

If you stop Exact Match, but leave Broad Match/Phrase Match active, the Phrase Match keyword will be shown for the exact match of that keyword as well. If Exact Match is not profitable, you must add the Exact Match as a negative keyword. This must be a negative Exact Match keyword. Read more in the chapter titled Negative Keywords.

Keyword Research

A good keyword list is the foundation of your AdWords campaign. I will give you my method for building effective keyword lists, without having to do much unnecessary work.

It's important to point out that a keyword list is never finished and you should continue developing your list until you end your advertising on Google.

I usually create a keyword list using either Excel or Notepad. Using either of these programs allows me to add, remove, and duplicate keywords as needed while always having a great overview.

I do not recommend that you create keyword lists directly in the AdWords interface. There's too much delay associated with jumping from one Ad Group or campaign to another.

Method for Keyword Research

I use the following method and sequence when I need to build a keyword list for a given AdWords campaign:

- Advertiser's website
- Competitors' websites
- Brainstorming
- Search on Google-related searches
- Google AdWords Keyword Tool
- Adding adjectives
- Keyword ideas in AdWords

I'll explain the various stages, but let me make it clear again. The first keyword list you create will not be your final one.

Your campaign structure in AdWords is incredibly important, and therefore it's important to build a good campaign/account structure rather than build endless keyword lists.

Advertiser's website

The first place you obviously need to look is at your own website:

1. You often have to imitate your website structure in the AdWords campaigns.
2. Looking at your website first ensures that you're not forgetting any of your products or services. It sounds weird that you should forget any of your products or services, but it often happens, even for experienced professionals.

Go through your website and enter all the keywords you find in Excel or Notepad. You can choose to either add them in one big, unsorted list or put them in categories/Ad Groups from the beginning.

At first, I recommend that you add only keywords in singular form. This way you can easily handle the various keywords when they are moved into different Ad Groups. You can always develop the various keywords before you add the adjectives.

Competitors' websites

Usually you shouldn't copy what your competitors are doing, but when it comes to keyword research, it can be a treasure to go through your competitors' websites for the various products you share to garner new keywords.

Individuals think differently and often refer to products using very different words. Websites within the same industry give different descriptions about their products, which can provide you with keywords you would never think of on your own.

Swallow your pride and go on your competitors' websites. It does pay off.

Brainstorming

The good old method of brainstorming can be incredibly effective. Not only will it allow you to find keywords that neither you nor your competitors have thought of, but it will also give you the opportunity to think like your customers.

During a brainstorming session, you can allow yourself to go much broader and choose keywords and phrases you would never put on your own website because it would not look professional. You might never put them on your website, but you want to be shown on all the relevant terms that your prospects use to describe your products.

I often extensively search on Google when I brainstorm. Searching on Google gives me a good flow of ideas for keywords, and I often find keywords that I would never have thought of otherwise.

Searches on Google

Use some of the keywords you already have and search them on Google. Read the text ads on AdWords and titles/descriptions in the free/organic rankings, and hop on the various websites that show up on the first page.

Related searches, which can be found at the bottom of the page, can be a good generator for new keywords. Be wary of these, though, because they won't necessarily have a high volume just because Google suggests them.

Google AdWords Keyword Tool

You can find Google's keyword tool here: https://adwords.google.com/select/KeywordToolExternal.

At this point you might think you've found every keyword in the world that could match your product or service, so what can the AdWords Keyword Tool do for you?

Google's algorithms are incredibly advanced and as you read in the section about Broad Match keywords, Google can expand a keyword to an entirely different search because the algorithm finds it relevant.

This is how you can use Google's keyword tool. When you enter your website and one or more keywords, you'll be presented with a large number of similar keywords. Often you'll find some good keywords in there that you might not have thought about.

Note

Don't pay too much attention to the figures you see. The keyword tool is incredibly vague and gives out only conservative estimates. You might find a keyword that has 10,000 searches a month but does not get you anything near that number of views in AdWords.

The same applies with low-volume keywords. The keyword tool has a tendency to completely disregard keywords with low volume and show them with zero searches, whereas they can actually perform very well in your AdWords account.

Adding Adjectives and Plural/Singular Forms (Long Tail Keywords)

By now you should have a very long keyword list. If you have not already done so, I recommend that you split the keywords into relevant Ad Groups.

Remember to keep in mind the factors mentioned in the chapter titled Account and Campaign Structure when you do this.

You should brainstorm adjectives (long tail keywords) before you add them. Some adjectives are exclusive to individual industries, but the common adjectives are:

- Online
- Sales
- Order
- Purchase
- Buy
- Discounted
- Offers
- Cheap
- Affordable

In addition, there is a difference between whether you sell products/services and whether you're advertising an offline business. If you have an offline business you should at least add city names and zip codes that are within a 10-mile radius of your address combined with the keyword. This radius can be adjusted up or down depending on where you are geographically located.

The important thing to remember about adjectives is that you often need to add them even though they are somewhat irrelevant. Google will expand your keywords into other searches, as I previously explained, which is why your ad would be shown when searchers use the adjective anyway.

Example: The keyword "children's clothes." If you don't have a sale on children's clothing, you might not think about adding the keyword *children's clothes sale* or *children's clothing sales*. However, you might want to rethink that.

Often your keywords are expanded to include other keyword variations with different adjectives. To control the position and to achieve greater results, you should always add irrelevant adjectives too. If you don't, you should add them as negative keywords. Never just ignore an adjective!

This way you can easily determine how a keyword combined with a seemingly irrelevant adjective performs. Normally you'll be able to generate quite a few sales from these seemingly irrelevant keywords if you use them combined with the right ad text. The important thing is that you pay attention to adjectives and don't just ignore them.

Another good example is from my own industry AdWords management. The argument could be made that in the AdWords campaign promoting my services, I shouldn't add keywords such as *DIY AdWords, do it yourself AdWords,* etc. Some might even argue that these keywords should be added as negative keywords.

But with the right kind of persuasion these kinds of searches can actually turn into paying clients. The important thing is that you add these keywords to your keyword list for two reasons:

1. You'll be able to see whether the keyword actually produces searches.
2. If the keyword has a proper amount of searches, you can decide to put the it in its own Ad Group with an ad that will better convert searches for this keyword.

An example follows:

DIY AdWords?
Spend your time on what you love. Let WSM manage your AdWords.

Keyword Ideas in AdWords

When adding keywords in AdWords, you'll see a small box next to the box where you insert the keywords. This is the Keyword Suggestion Tool within Google AdWords, which will show various keywords based on Google's algorithms and searches on Google.

Most of the time you should just ignore these keywords, but at times they can be useful. If are completely out of ideas for new keywords and you have some extra time, you can look through these lists.

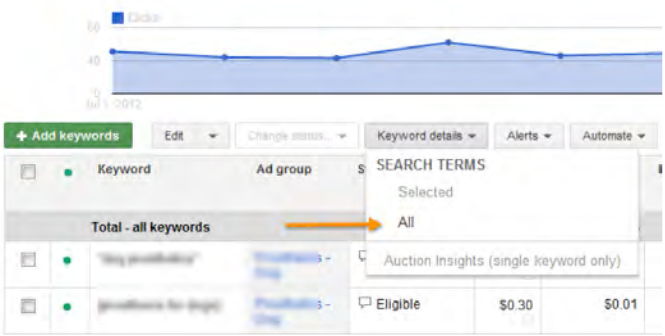
Sometimes the tool reveals keywords that you had forgotten, but more important, the tool enables you to find a wide range of negative keywords. Remember that the keywords in this list are keywords that Google considers relevant to your website/campaign. You can therefore be quite sure that Google will expand your current keywords into the ones in the list.

Therefore it's better to go through them and eliminate searches you know are irrelevant. Be careful you don't add negative keywords that coincide with your keyword lists or that could actually be profitable for you.

Furthermore you should not become lazy at this point! It's very easy to just add a bunch of keywords from the Keyword Suggestion Tool in the Ad Group you're in, but that's a bad idea. Remember you've put a lot of effort into creating a bunch of tightly themed Ad Groups. Don't start ruining this work by adding a bunch of irrelevant keywords into one of the Ad Groups.

Have you used AdWords before or do you have an Analytics account?

If you've been active with AdWords previously you'll often be able to find a gold mine of new, well-performing keywords in the *See Search Terms* feature:



With this feature you're able to see the exact search phrases from which your ads have actually received clicks. Remember that the used keyword doesn't automatically mean that that's the search phrase that the user used.

Looking at your old search history can be a great source of good keywords that you'd normally never have thought of. Additionally you should add keywords from this list into Exact Match that have a high volume of clicks and/or convert well.

In Analytics you'll find many useful keywords as well, keywords you would not have found otherwise.

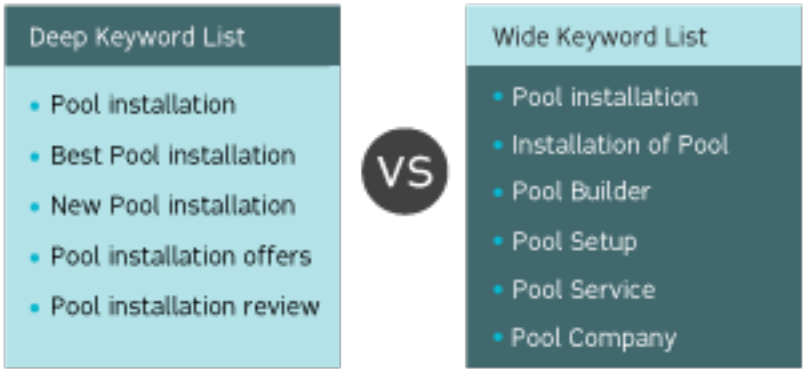
Check the traffic sources page and click on keywords to find the list of keywords for which users have searched when finding your website.

Quick Tip on Creating the Best AdWords Keyword Lists

One of the best things you can do when creating campaigns is to think about going wide instead of focusing **only** on going deep.

Many people get so focused on creating deep keyword lists that they completely forget to go wide.

To explain the two terms, I have provided you with a deep list and a wide list:



Using a combination of deep and wide keyword lists will help you reach the largest audience. If you focus only on the deep keywords, you will greatly limit your campaign and focus only on users who know that specific search term.

The truth is that roughly 20% of searches every month have never been seen before on Google, so it is important that you go as wide as possible while still being relevant.

Disclaimer on Creating Keyword Lists

Google AdWords is an area (like all advertising) in which there are exceptions to every rule. Also when you're creating your own keyword lists, there are times when you shouldn't follow my advice or guidelines meticulously.

The majority of this book is written for advertisers and businesses who want to go far with AdWords fast. Therefore, please be aware that if you start out on a limited budget, you should have that budget in mind before you create a huge keyword list.

If you have a low budget you should start out by focusing on keywords that are known to convert well:

- Brands (dell computers, sears kitchen appliances)
- Two- or three-word keyword (cheap organic medicine, high-end toasters)

Another approach is to add your keywords only in Phrase Match and Exact Match initially. This will limit the risks of your keywords being expanded to irrelevant searches and taking up a large part of your budget fast.

Let Google Work for You

No, I don't mean literally. Although Google can be helpful when it comes to creating your first AdWords campaigns, you should thereafter avoid having Google create your campaigns for you. You know your own business a lot better than them, and can better judge keywords that might be relevant (especially if you read this book!).

To achieve good results with AdWords, continuous optimization is necessary. If Google creates the campaign for you, you'll have a hard time working with it and optimizing it going forward because you won't know the campaign. This is especially true for larger websites and first-time advertisers.

Create the campaign yourself. It will be much easier to manage ongoing.

I have previously mentioned this, but I am a big fan of working smarter, not harder. This concept also applies to building keyword lists. Often you'll find yourself creating huge lists of keywords that in the end receive the Low Search Volume label and are automatically deactivated.

You need to take advantage of the fact that Google actually expands your keywords and covers a lot of searches when you just add one keyword.

Cases for which it's a good idea to hold off creating the big keyword lists with a gazillion adjectives are when:

- You are unsure of the number of searches for a specific keyword.
- You know there are only a few queries.
- You have keywords with long product numbers or general long keywords.

In such situations there is no reason for you to create a bunch of keywords that will end up getting one or two clicks a month each. You'll get shown on the exact same long tail searches if you just add the keyword in Broad Match Modifier and allow Google to expand it to other searches.

If at a later point you find that a keyword actually has more searches or converts well, you can research additional variations of that keyword.

Negative Keywords

Negative keywords are part of the foundation of any successful AdWords campaign, but they're repeatedly ignored by first-time advertisers as well as by seasoned AdWords professionals.

There are so many different methods to successful AdWords advertising, but when it comes to negative keywords they're simply so important that they need to be incorporated into every AdWords campaign.

The entire AdWords universe is about one thing: relevance. Relevance is what Google AdWords Quality Score is all about, and you, as an advertiser, need to pay special attention to this.

Your campaigns must be relevant all the way from Search → Ad → Landing Page.

I have primarily two thoughts to why a comprehensive negative keyword list is a must in every single AdWords campaign:

1. You must exclude keywords that don't convert.
2. You must exclude searches that have very little chances of getting clicks.

Number one can be difficult to predict before you actually start the AdWords campaign. However there are some searches you can be 99.9% sure won't convert into sales:

- Your Keyword + Facebook
- Your Keyword + Video
- Your Keyword + Funny pictures
- Your Keyword + Mp3
- Your Keyword + Jobs

Users searching for your keywords combined with the words above are with a 99.9% certainty not looking to buy your products/services and will most likely not even click your ads.

Now I hope you're thinking back to the chapter titled Quality Score Defines Your Success and remembering the most important factor in determining a keyword's Quality Score. That's right, clickthrough rate. If your keyword keeps raking in impressions on different searches without getting clicks, it will get a low CTR. A low CTR will produce a low Quality Score, which will make it unnecessarily hard for you to compete with other advertisers.

A great negative keyword list will often be the difference between whether an AdWords campaign is profitable or not.

Note

Negative keywords exclude your ads from appearing on Google. Exclude only searches you are 100% sure will not convert properly.

How Do Negative Keywords Work?

Negative keywords are for the most part much easier to understand than other parts of AdWords.

A negative keyword, also called an excluding keyword, will exclude your ads from being shown if the negative keyword is a part of the user's search phrase.

Examples of a Negative Keyword in Wide Format

If you add the negative keyword *free* your ad won't be shown with these searches:

- free hummel children's clothes
- hummel free children's clothes
- hummel children's clothes free

You'll still be shown on these searches though:

- hummel children's clothes
- children clothing
- cheap hummel children's clothes

As with regular keywords, you can add negative keywords in different match types. Depending on the match type you add the negative keyword to, the negative keyword will exclude different kinds of searches.

- Broad Match
- Phrase Match
- Exact Match

Negative keyword match types works similarly as your regular keywords, except that Google doesn't expand your negative keywords in Broad Match. This means that the primary difference between negative keywords in Broad Match and Phrase Match is that in Phrase Match the word order needs to be the same, whereas the order can differ in Broad Match.

Examples of a Negative Keyword in Phrase Match

If you add the negative keyword "*free children's clothes*" (keyword phrase) your ads will not be shown in the following searches:

- Free children's clothes
- Tips for free children's clothes
- Find free children's clothes

But your ads will be shown on these searches:

- Children's clothes free competition
- Free Hummel children's clothes

Example of a Negative Keyword in Exact Match

Adding the negative keyword [*free*] in Exact Match will exclude only the exact search [*free*]:

- Free

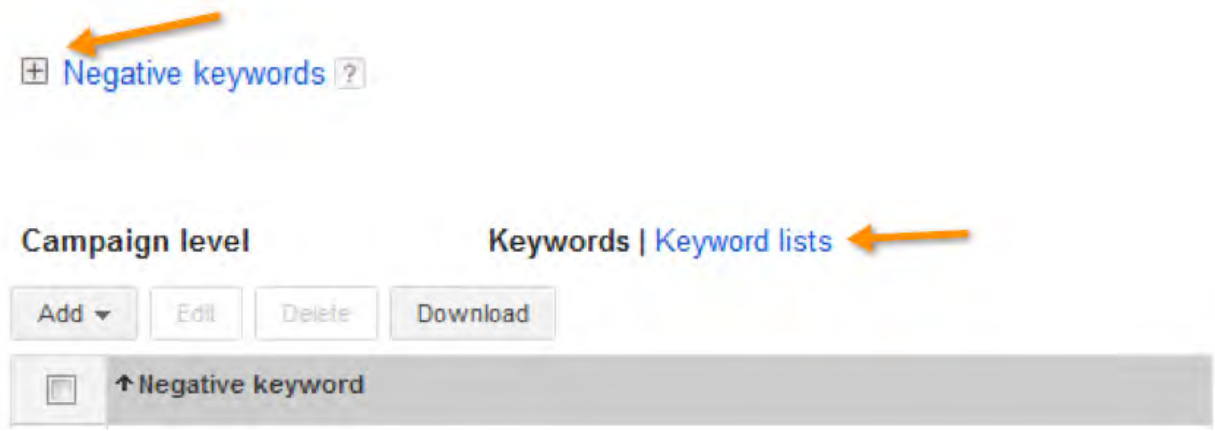
Any other searches will not be excluded.

There are three different levels in which you can add negative keywords:

- Account Level

- Campaign Level
- Ad Group Level

Account Level: Account Level negative keywords are officially known as Keyword Lists. You can insert these keywords by clicking on the *Keywords* tab and scrolling to the bottom:



The account level negative keywords will affect every single campaign, Ad Group, and keyword in your AdWords account and should be used with much of caution. Some negative keywords are well suited to be on the Account Level though, such as:

Job, jobs, CV, resume, internship

Campaign Level: The added negative keywords will affect the whole campaign in which they're inserted but won't affect keywords in other campaigns.

Ad Group Level: The added negative keyword will affect only the keywords within the Ad Group in which the negative keywords are inserted.

Depending on the negative keywords you use, you might want to add them at the Campaign/Account level. That way, you avoid having to add the same negative keyword across Ad Groups or into new Ad Groups.

Hidden Tip

Does your keyword not convert in Exact Match but performs well in Broad Match or Phrase Match?

Add the keyword to Exact Match as a negative keyword. Remember to delete the regular keyword in Exact Match first, ensuring that the exact keyword won't trigger any searches but that you'll still catch all the long tail searches that the Phrase Match and Broad Match trigger.

Sculpt Your Campaigns with Negative Keywords

One of the most important things to remember about Google AdWords is relevance. I have previously touched on the subject, but I can't emphasize this factor enough.

Initially it's important that you group your keywords correctly, but it's equally important to make sure that your ads are triggered by the corresponding relevant searches.

With Google's expansion of Broad Match keywords in mind, it might be a good thing to make extra sure that your keywords will be shown in their respective Ad Groups.

A good example follows (pay extra attention). In this example, you have two Ad Groups in a single campaign:

Ad Group: Children's Clothes

Keywords: *children's clothes, new children's clothes, and children's clothes online*

Ad Group: Children's clothes Sale

Keywords: *children's clothes sale*

After a couple of weeks, you find that the keyword *children's clothes sale* converts poorly. Because the keyword is still converting at some level, you decide to reduce the bid to reduce the cost per click and the corresponding cost per conversion to an acceptable level.

At the same time you can see that the keyword *children's clothes* converts extremely well. Therefore you raise the click price for this keyword.

Think back to the chapter about Quality Score and remember that the Ad Rank determines which ad will appear the highest. You'll probably recognize the following: you have a bid of

$1 for the keyword *children's clothing sales* and a bid of $10 for the keyword *children's clothes.*

Children's clothes sale has a Quality Score of 10/10 and a bid of $1 = Ad Rank of 10.

The keyword *children's clothes* with the bid of $3 has a Quality Score of 7/10 when expanded to *children's clothing sales* due to the less relevant ad = Ad Rank of 21.

The keyword with the highest Ad Rank per account (and domain for that matter) will be the one that will trigger the ad. As a result, the ad in the Children's Clothes Ad Group will be shown when a user searches for *children's clothes sale.*

This is unfortunate because you did not target your ad in this Ad Group toward a sale, but to the more generic search for children's clothes.

Additionally, you had decided to reduce the bidding on the keyword *children's clothes sale* because it wasn't profitable at the former bid. Now you're bidding much more for the same keyword with a much less targeted ad. This will just make your results much less profitable and if you're not careful you might end up pausing the keyword *children's clothes sale* even though it had been profitable when you started.

This challenge can be addressed by sculpting your Ad Groups and campaigns with negative keywords. In this case you should have added the negative keyword *sale* to the Children Clothes Ad Group. This would effectively have excluded the search from triggering your ads.

By sculpting your Ad Groups methodically throughout your campaigns and Ad Groups, you'll be able to sculpt your account very efficiently and make sure that the most relevant ad is shown for any given search, giving you the highest possibility of converting users to actual customers.

Depending on the size of your campaigns, how closely related the Ad Groups are, and your own ability, Ad Group sculpting should be incorporated to the initial campaign setup as well as expanded with almost every optimization.

Building a Great Negative Keyword List

Every fairly competent AdWords agency has a comprehensive list of negative keywords, which they add unchanged to almost all campaigns. These negative keywords will exclude searches that are never intended to click on ads, but look for things in the organic search results.

An extract from my own negative keyword list looks like this:

free
Clip
Photos
image
Video
videos
advice
jobs
work
youtube
facebook
game
games
lyric
lyrics
song
songs
Map
Log
Login
"log in"
Maps
Recipe
recipes
myspace
example
auction
auctions
used
used
animation
information
animations
Wallpaper
404
"mobile games"
powerpoint
birthday greeting
mobile fun
download
Upload
news
news
"cnn"
"cnn.com"
"usatoday"
"usatoday.com"
site
"site:"
link
advertisement
career
salary
CV
internship
guide
how
freeware
role play
win
competition
competitions
guidance
google
Forum
forums
DVD
error
antique
antique
picture
pictures
Software
Hardware
TV
Series
series
Movies
tech
Review
Dictionary
Investor
kaspersky

With a list like this you're assured that your ads won't be triggered on a long list of searches. Obviously a list like the one above needs to be reviewed before being added to an AdWords campaign.

For instance, it would be bad to add the list to a campaign for a shop that sold Microsoft software. The negative keyword *software* would block all searches for *buy Microsoft software.*

Ideas for when to brainstorm negative keywords:

- Exclude the "couch surfers" (competition, funny pictures)
- File extensions (jpg, gif)
- Obvious searches looking for something else (dictionary, jobs)
- Info surfers (information, guidance, counseling, manual, how, do-it-yourself)

To a great extent you can use the same procedure as when researching regular keywords, but I'd just change the priority:

- Searches on Google
- The Keyword Tool
- Brainstorming
- Competitors' websites
- Your own website

I must admit that I rarely find negative keywords on the advertiser's own website, but it does happen.

How Do You Add Negative Keywords?

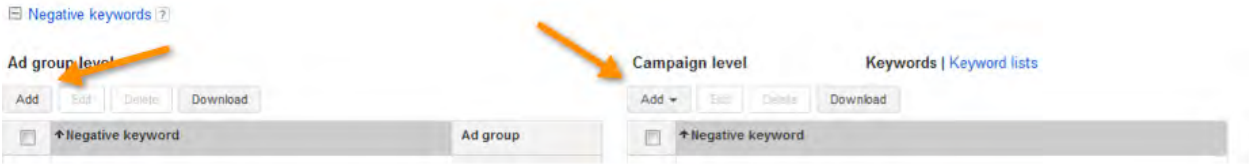
There are two ways to add negative keywords in AdWords interface:

1. You can add a negative keyword in the general box where you add keywords by typing a hyphen (-) before the keyword with no spaces, for example, -*free*.

   If you want to add a negative keyword in a particular match type, you still just type a hyphen (-) before the keyword, for example, -"*free*" or -[*free*].

2. When you're in the Keywords tab you can use the dedicated box to add negative keywords at the bottom of the AdWords interface:

You can then choose whether you want to add them at the Ad Group level or campaign level:



Do yourself a favor and start using negative keywords now rather than later.

When negative keywords are used effectively, they'll help you reach a lower cost per conversion because you're excluding unprofitable searches. But equally important negative keywords will increase your CTR by excluding searches that would've never resulted in a click.

The Ads in Google AdWords

Your underlying campaign structure, keyword lists and negative keywords can be oh so well created, but you will never enjoy success in AdWords if you do not convey the correct message to the targeted user group.

Although Google AdWords is one of the most targeted advertising platforms at the moment, it's actually possible to create ads for a keyword that convert 0%, whereas another ad on the exact same keyword converts 10% of the time.

This is just one example of how great a difference the various ads can make in AdWords. I cannot stress the importance of communicating the best message to your target audience through your ads.

Otherwise you'll never reach the heights of which dreams are built, and yes, AdWords is a dream maker.

Google AdWords is one of the places where I've seen even the slightest difference make a huge impact on the end results of a campaign. Often your ad messages can actually mean the difference between barely breaking even and making a killing off of AdWords.

When you write your ads, it's beneficial to follow the tips below. The procedure will give you a vantage point on how to discover the best ad/keyword combination.

1. Think about what your typical customer is actually looking for.
2. Stand out!
3. Prequalify your traffic.
4. Call to action. Describe the next action.
5. Place your keyword in the title and preferably once in the description.
6. Carefully choose your display URL.
7. Demonstrate the benefits of your product/service.
8. Use dynamic keyword insertion (DKI).
9. Link to the most relevant landing page.

1. **Think about what your typical customer is actually looking for.**

When we as humans have worked with the same task for a long time or want to do something extraordinary, some of the most basic principles fly out the window.

Before you create your ad text, you should define what differentiates your product/service from your competitors' and why the consumer should choose your product/service instead of your competitors'.

Differentiating your product/service from your competitor's will make it much easier to create an interesting and relevant ad text, which brings us to the next point.

2. **Stand out!**

Your ad text has to stand out. If users see three different ads and all three impart the same message and make the same offer, users will pick the ad based on either the domain name or simply by whim.

Don't write exactly what your competitors are writing, but take note of the wording they use and the offers they make. Once you know what your competitors are doing, you can find a way to distinguish yourself from them. Look closely at your competitors. You shouldn't copy them, but you need to know what you're up against. If you're not aware of something, you can't defeat it.

For example, let's say you have created a sale of 20% off a product for the holiday season and you want to include this sale in your ads. But by making a search on the product you are offering on sale, you might see that your competitors are offering a better sale than you are. If you give only a 20% discount and your immediate competitors are giving a 50% discount, you would realize a very low CTR. Price is a very strong attraction online because consumers can browse much easier than they can drive from place to place looking for the best price.

Don't get me wrong. I'm not saying that you need to react by giving the same discount as your competitors. Just don't put a 20% discount benefit in your ads when your competitor is offering a 50% discount because you will lose. In this situation it's better to find another benefit you can highlight in your ads.

3. Prequalify your traffic.

You pay per click; therefore it's important that you prequalify visitors before they click on your ads. It's not about receiving the highest amount of clicks on your ads; it's about receiving the most targeted clicks possible.

For the most part you'll use negative keywords to accomplish this, but there are searches that can have several meanings and for which you can't delineate luxury seekers from discount seekers.

Here's a couple of good ways to prequalify your visitors and make sure they have the right mindset before they click your ads:

- Write a "Starting From" price in your ads.
- Mention shipping prices if high (or low for that matter).
- Focus on using the correct adjectives: quality, handcrafted, exclusive, expert, popular, cheap, discount, used, new, auction, homemade, designer, etc.
- Stress the fact that you sell, buy or you only have information

By knowing whom your customers really are, you can easily create ads that keep visitors not interested in your product from clicking your ads.

There are times when you can ignore prequalifying your visitors. If you have a "superoptimized" sales page with advanced psychology text, the objective can be to get as many clicks as possible because the sales page can convert at a high percentage.

4. Call to Action. Describe the next action.

Be sure to describe what you want your visitors to do after they've clicked your ad. It can be anything from:

- Order
- Purchase
- Read more
- Find
- Read

- Get
- Sign Up
- Receive

. . . and many more.

Please note that the word *click* as a rule is not acceptable in Google AdWords ads. This also applies to other seemingly trivial statements.

5. Use your keyword in the title and preferably once in the description.

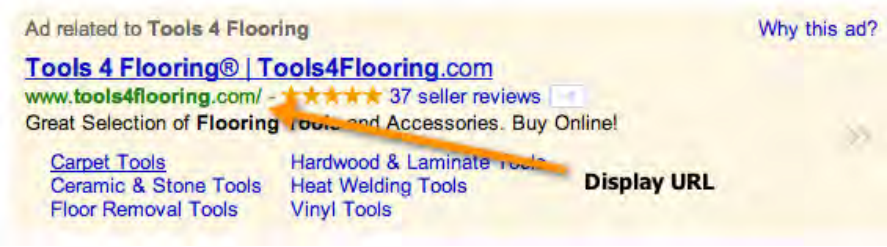
As previously mentioned, it's important that your keyword is found once in the title and preferably once in the description lines as well.

When your keyword is in the ad it will become highlighted when a user searches for that keyword, but it also helps with your ad relevance (Quality Score).

I always perform a couple of searches on Google to check out which keyword variations actually achieve the highlighted effect.

6. Carefully choose your display URL.

This is not a subject often mentioned, but studies have shown that the display URL almost has as much to say about the CTR/CR of an ad as the title itself.



In early 2011 Google launched a new policy prohibiting the use of capital letters in a Display URL.

You should consider using keywords in your display URL as well. You can add a keyword as a subdomain: carpet-tools.toolsforflooring.com, or you can add a keyword as a folder at the end of the domain: toolsforflooring.com/Carpet-Tools. These keywords can be capitalized.

www vs. non-www: As a rule, if your target audience is young people, you will achieve a better CTR by not using www in the display URL and vice versa with older people.

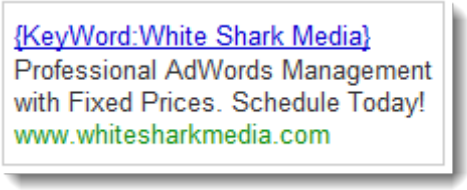
But again, this can be vary greatly from website to website, so do as you always do in AdWords: Test it!

7. Demonstrate the benefits of your product/service.

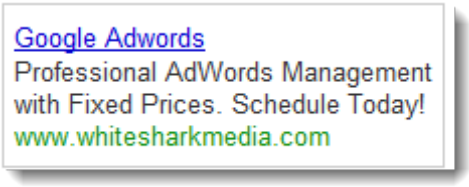
It seems elementary, but it's important to show visitors why they should choose you instead of your competitors. Therefore it's important that you focus on what benefits they get by choosing you. These benefits should preferably be unique and stand out. Don't show the exact same benefits as your competitors.

8. Use dynamic keyword insertion (DKI).

DKI can be very effective for Ad Groups intended to test the search volume for new keywords before spending a lot of time building small ad groups. With DKI you automatically place the keyword that triggers a search instead of {Keyword:White Shark Media}.



If the keyword in my keyword list is *Google AdWords* and somebody searches for *Google AdWords,* my ad would then become:



Depending on how you write {*KeyWord:random*} (bold part) the letters in your ad will vary:

{KeyWord:Google AdWords) – Google AdWords
{keyword:Google AdWords) google adwords
{KeyWord:Google AdWords) Google AdWords

Key defines the first word and *word* defines the remaining words.

You can even write {KEYWORD: Google AdWords} → GOOGLE ADWORDS, but with Google's strict guidelines regarding which words can be capitalized, you'll get very few ads approved.

This part *{KeyWord:**Google AdWords**}* shows when your keyword is too long to be shown in the ad title. Remember you can use only 25 characters.

DKI can be used in the title, description, and display URL.

Notes about DKI

You'll often experience very high CTRs by using this method. However, in my experience, it's a lazy person's tool. I have previously mentioned that you should create Ad Groups bt focusing on how keywords are related to your ads.

If you use DKI, all keywords will somehow apply to the ad. An old advertising saying goes like this:

> ***"When you target everybody, you'll end up targeting no one."***
>
> ***This especially applies to AdWords ads. You'll often get a high CTR by using DKI, but often the conversion rates will be low.***
>
> ***Again there are exceptions, and I've seen many Ad Groups that make use of DKI with great success. You should think it through and make sure that all the keywords in your Ad Group will make sense as a title before you use dynamic keyword insertion.***

One of the most common errors committed when using DKI is when you have a keyword in the Ad Group that should never have appeared on the ad.

Take for instance an ad for iPhone games. This keyword can be very profitable for vendors that sell iPhones or iPhone accessories, but that keyword will never work if they use the title *iPhone Games* in their ads.

An ad like that certainly gets a high CTR, but I doubt that many buy something after clicking on such an ad, because they were expecting something else.

9. **Link to the most relevant landing page.**

It's important that you link your visitors to the part of your site that has the highest relevance to the search they used and the ad they clicked.

Linking to the most relevant landing page is important not only to increase your Quality Score but also to ensure that users find what they want fast. I am shocked when I still find AdWords advertisers who link a search to a particular brand on the front page of their shop.

Doing that is a no-no in the same way as buying a pair of shoes without shoestrings! Oh yes, exaggeration promotes understanding, but I never want to see someone who has read this book link to his or her front page unless he or she has thought it through (yes, there can in fact be situations in which you're better off linking to your front page).

If you personally searched for a particular keyword, what would you be looking for? And what subpage offers the shortest route to the product you are looking for? Linking directly to the product page is obviously the shortest route!

I discuss landing pages in more depth in the chapter titled Landing Pages—The Google AdWords Extension.

Trial and Error—Test Everything!

You've selected the best AdWords campaign settings mentioned earlier in this book, so you have all the possibilities in the world to try all kinds of different ads and track their effects.

Experiment with various ads and grades. Often you'll be surprised what actually converts best.

Often I have written poetic, funny, sophisticated, complex, deep, and accurate ads that I have been very proud of, only to watch them be surpassed by a simple *"Fast Shipping, Best Prices – Buy Here"* ad.

Sometimes less is actually more on AdWords. Try out ad variations to find the best way to target your audience.

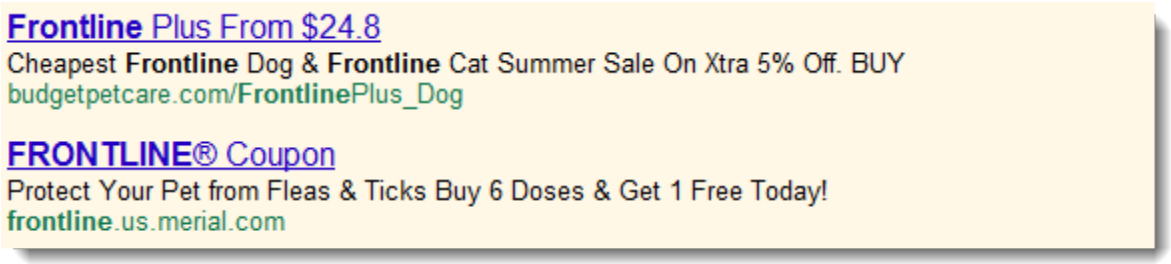
Effective Adjectives for Your AdWords Ads

Here are some phrases that often produce good results:

- Fast delivery
- Save X%
- Cheap shipping
- Lowest prices
- Only with us
- As seen on TV
- Cheapest with us
- Industry leading
- Largest selection
- Big selection
- Free
- Free shipping
- Popular brands
- Bestsellers
- Sale
- Offers
- Save $xxx

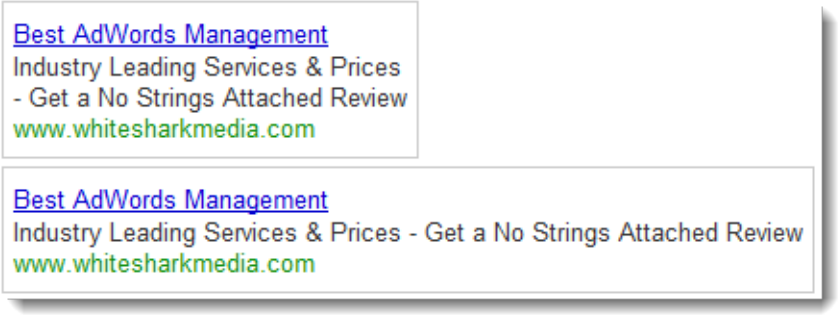
Tip: Be Aware of Your Position

Depending on your position, your ad may change from four to two lines. Be aware of this when you create your ads:



Use proper punctuation and grammar and be aware that your description might not always divide into two lines. If this ad were on two lines, it would still look good, but without a line break the two sentences turn into one and then it makes no sense.

If you don't have space for a comma, then consider using a hyphen in line two:

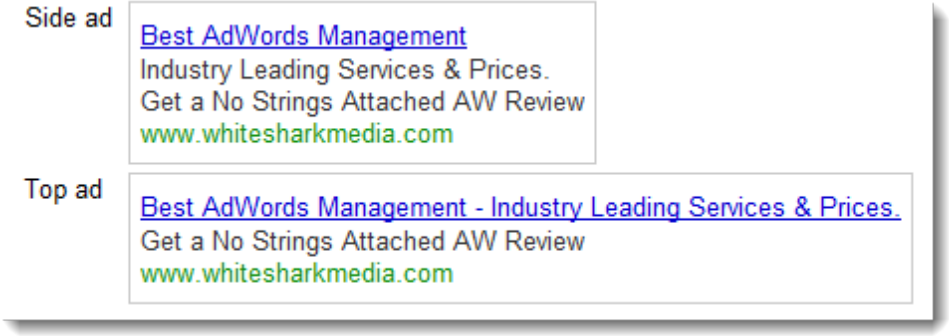


This way you're assured that your ad makes sense when you reach the golden positions (no pun intended).

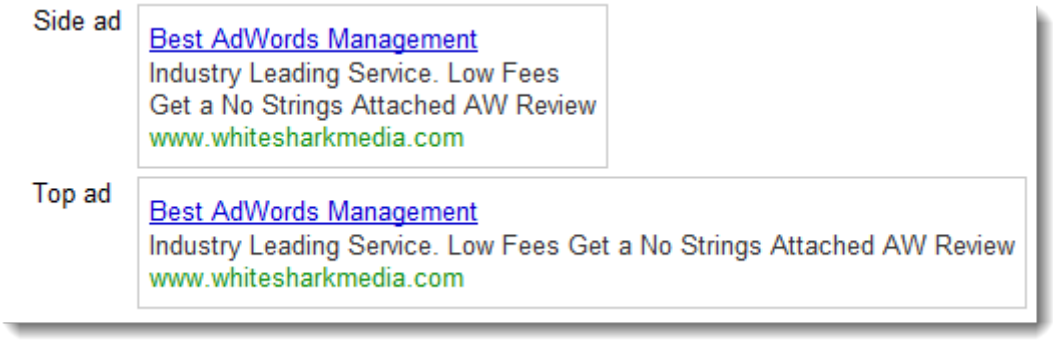
Side Ads vs. Top Ads

During the last quarter of 2010 and into 2011, Google became very active, rolling out one new feature after another in AdWords. One of these features was the new Double-Lined Title ad, which started appearing in early 2011.

Google has since launched a way for advertisers to check how their ads will appear when their first description line moves up to the headline:



The description line will appear only in the headline when you use a dot, an exclamation mark, or a question mark at the end of the first description line. Furthermore if you write something after the dot, exclamation mark, or question mark, your description line won't be turned into part of the headline:



Google AdWords Campaign Tracking

If you don't Track your Google AdWords campaigns, you might as well stop your advertising. These are hard words, but with the opportunities you have for tracking, it's necessary to track everything you possibly can!

It has become increasingly rare that I open an AdWords account for a new e-commerce client and they don't use Google AdWords conversion tracking.

Nevertheless, it's important that you understand the different principles of how to track your Google AdWords advertising, down to the smallest detail.

Tracking will not only make it easier for you to find out how profitable your AdWords advertising actually is, but it will also make the task of optimizing your advertising much easier.

There are different stages of AdWords tracking. They are all important, and you should use all of them.

These stages range from the basic tracking for how many sales your AdWords are providing to how high the ROI is on each keyword.

Google AdWords Conversion Tracking

Google AdWords has a built-in feature to track your campaigns at the most basic level called conversion tracking.

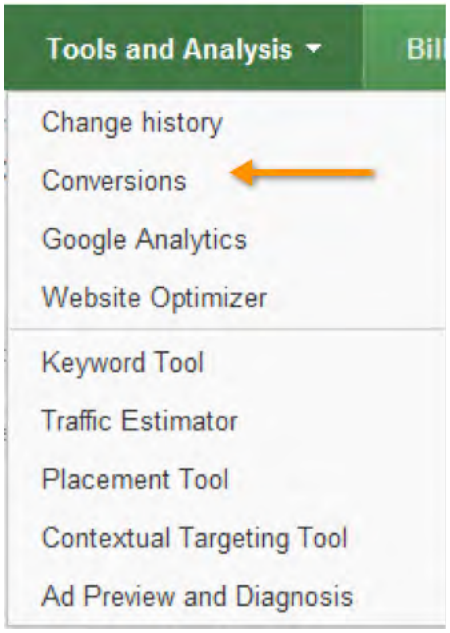
This feature can be used to track the amount of conversions your campaign generates. You yourself decide what this conversion should represent.

I will start with an explanation of how to set this up; then I will explain in more depth how conversion tracking actually works and the most frequent issues.

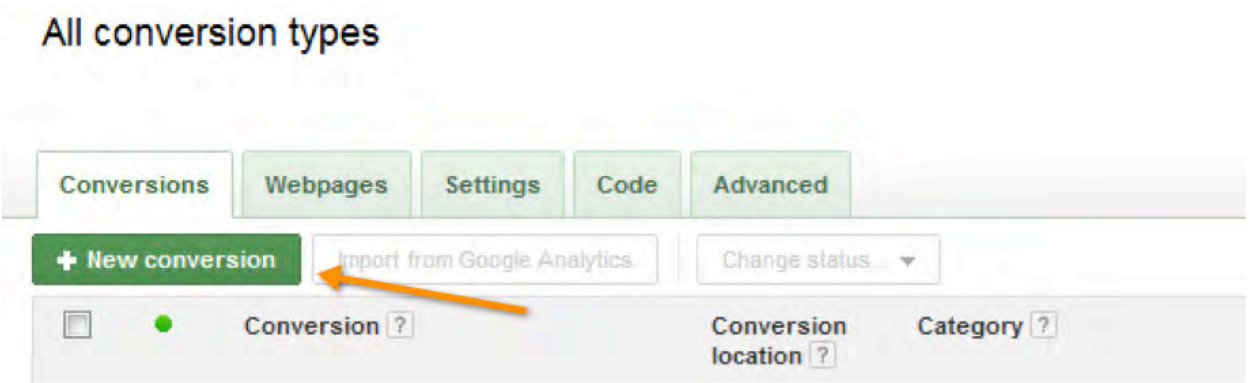
How Do You Set Up Conversion Tracking?

To set up conversion tracking, you must have a code provided by Google AdWords.

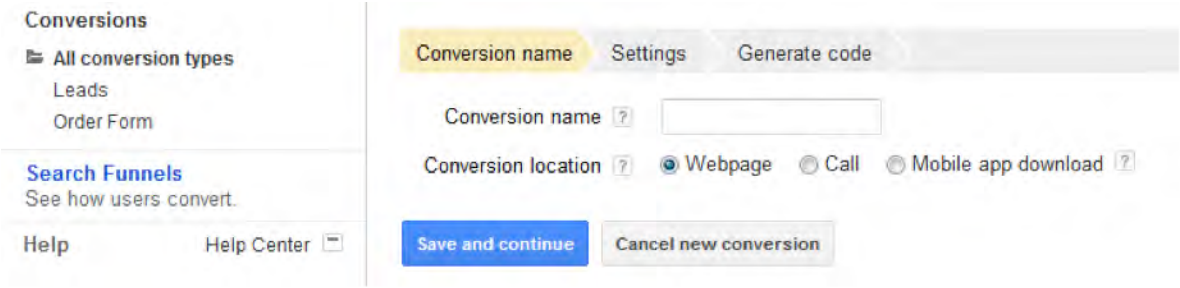
In your AdWords account, access the Conversions tab through *Reporting and Tools → Conversions:*



Then click on new conversion:



Then enter the name of the conversion (pick a descriptive name) and choose one of the descriptions in the dropdown menu:



On the following page, you'll then provide:

1. Conversion Category
2. Page Security Level
3. Mark Up Language
4. Conversion Value
5. Tracking Indicator
6. Background Color
7. Notification Language

These points might seem overwhelming, but they are basically just details. I will briefly touch point on the most important parts that you need to configure. You don't need to configure the rest of them.

Page Security Level

Simply select http. Normally this is will be the correct setting, but if you are in doubt or the conversion tracking is not working properly, ask your programmer or try https://.

Revenue for Your Conversion

If you have an e-commerce website, you can ignore this part. The AdWords Conversion Tracking code will in most cases automatically identify your revenue per sale..

If you on the other hand is generating leads, then it can be very helpful to add a numerical value to your conversions. This will increase your abilities to manage your bids properly.

Settings for Tracking Indicator

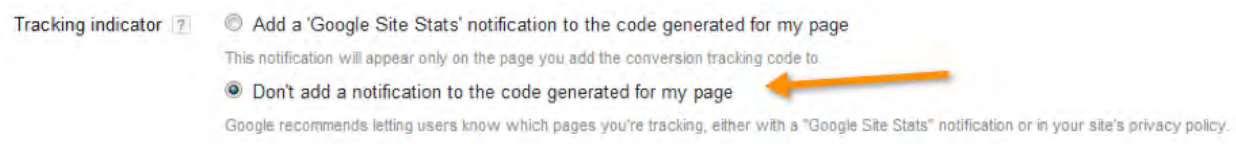
You are required by Google to tell your users that you are using Google conversion tracking to track their behavior. Therefore Google requires that you insert a code on a page of your choosing.

Because it might seem peculiar that a little box pops up on the conversion page when your customers purchase a product or otherwise have converted, I recommend that you use the alternative provided by Google. Just write on your website that you are utilizing Google conversion tracking in the same manner as 99% of all other web shops.

I recommend using this text in your policies or having your lawyer/IT manager write a statement especially for you:

"We use tracking technologies from Google AdWords. We guarantee that your personal information will never be sold or used irresponsibly at any time. We do not store your information on any of our hard drives."

If you display this information on your website, you can click *don't add* and ignore this point.



The next step is to move on to the actual conversion code. This code must be inserted at the bottom on the subpage that represents a successful conversion.

This page can be either your receipt page in the web shop (often called checkout success), contact page to your company, creating new user, successful newsletter sign-up or something completely different.

Note

Insert this code on only **one subpage** (important). It should not be included on all your pages.

How Does Conversion Tracking Work?

AdWords Conversion Tracking works by inserting a code on a given subpage of your website. Often it's the receipt page in your e-commerce store or your page with contact information.

After a user has clicked on an ad, Google AdWords will place a 30-day cookie in the user's browser. This contains information about which keywords and which ads the user has clicked.

When a user then arrives at the subpage with the conversion code, the code reports back to AdWords that there was a successful conversion and that it happened because of search X and ad X.

It's always the keyword and ad used by the last click leading up to a successful conversion that is accredited the conversion.

When you look through your AdWords interface, you'll see that AdWords has several ways to measure your conversions:

1. 1 per click
2. Many per click
3. View-Through Conversions

You'll usually use 1 per click when you're first starting out, but here's an explanation of them all:

1. **1 per click:**

Because the cookie, which is placed when clicking an AdWords ad, lasts for 30 days, you can experience additional conversions on the basis of just one click. Once you have chosen to see only conversions (1 per click), you'll see only the first conversion, which came because of a keyword.

One per click is the best way to track the performance of your Google AdWords campaign.

2. **Many per click:**

With Many per click you'll see all the sales from visitors who have your AdWords conversion tracking cookie placed on their browsers for a 30-day period. Depending on

your kind of business, product, and up- or cross-selling procedures, this will show you additional sales.

Therefore it can skew the conversion costs and rates if you use this way of monitoring your conversions.

Since you're normally interested in knowing only how many immediate conversions your ads provide, I don't recommend using Many per click as a tracking metric in your AdWords campaigns.

However, for businesses that rely on which keywords/ads are providing them with the highest amount of cross-sales and up-sales, then this metric is the best to use.

It's advanced though and if you're feeling overwhelmed with the 1 per click metric, I would advise you not to use Many per click at all.

3. View-Through Conversions

View-Through Conversions are relevant only on Display Network.

If you are running image ads on Display Network, you'll be able to track how many users have viewed **only** your banner and then converted. If the user clicks on your banner and converts, the click will be credited and will not be counted as a View-Through Conversion.

There are several benefits and disadvantages to View-Through Conversions, but since I'm not including Display Network in this AdWords eBook, I won't go any further into View-Through Conversions.

What Happens When the Customer Switches Browsers or PCs?

Here's a well-known scenario: A woman at work is surfing the web for a new pair of boots. She searches for rainbow boots and ends up on your e-commerce site, where she finds the perfect pair of boots. But she needs more time to decide.

She then sends the link to the website to her own email at home to check the website again when she comes home. Later she ends up buying the rainbow boots.

This sale will appear as if it were coming from a direct type-in, and Google AdWords will not track it.

Unfortunately, there is no way of avoiding this situation from happening. You can be pretty confident that you're actually experiencing more sales stemming from AdWords than you're seeing in the interface.

This tracking however is much better than no tracking and better than other advertising forms such as newspapers, radio, and TV ads.

Can/Should You Select Multiple Conversion Purposes for One Account?

You can, in theory, choose several different conversions for the same campaign. You might be tempted to create a conversion code for transactions, downloaded product sheets, user creations, newsletter sign-ups, and so on. I would not recommend doing this because it can be a messy affair. To give you a better picture of why, I'll give you a real-life example of how bad using different conversions for the same campaign can turn out:

One day I received a client who had a website on which he sold outdoor equipment and clothes. At first glance the campaigns ran amazingly! They were actually the best campaigns I had ever seen, and I've seen some pretty good ones.

There were consistent conversions for a couple of dollars each on very competitive keywords; it all looked too good to be true. I could not see how I could beat this because I had never produced results anywhere near his. Had he found the hidden secret to successful AdWords ads?

Unfortunately, no. When I dove into his Google Analytics, I could see that the figures did not add up. Revenues that stemmed from his AdWords efforts were incredibly low.

So I took a look in his *Conversions* tab and could see he had created three different conversions for the account:

- Transaction
- Sign-Up to Newsletter
- Brochure Download

To make matters worse he had been using CPA bidding, meaning he was bidding the same for a successful transaction as for a brochure download. Each action has a completely different value to the client and should not be treated equally.

I asked him whether this was a deliberate approach, and he asked me what I was talking about. He was interested in getting as many sales out of AdWords, and that was why he had hired us.

When I explained the situation to him, he was very humble and could see how he had made a mistake. After this experience I identified many other clients who had made the same mistake, but I'll never forget my "first time."

I therefore recommend that you stick to tracking only one conversion in AdWords. If you want to track user sign-ups, newsletter sign-ups, etc. (which you should), then do that in Google Analytics.

Tip

When selecting a conversion action to track, think of why you started to advertise on Google. Don't get overwhelmed and try to track every little aspect inside AdWords.

Linking with Google Analytics

If you have Google Analytics installed, **I recommend** that you link your Google AdWords and Google Analytics accounts.

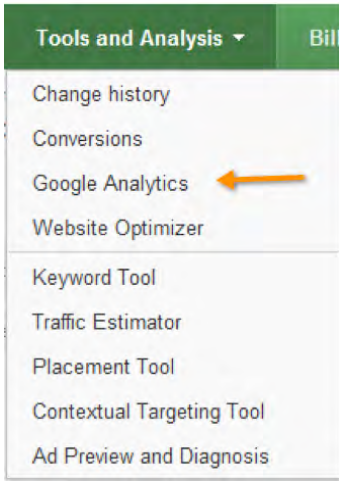
Linking the two will give you a much greater ability to track the effect of your campaigns. Some of the metrics you'll be able to see are:

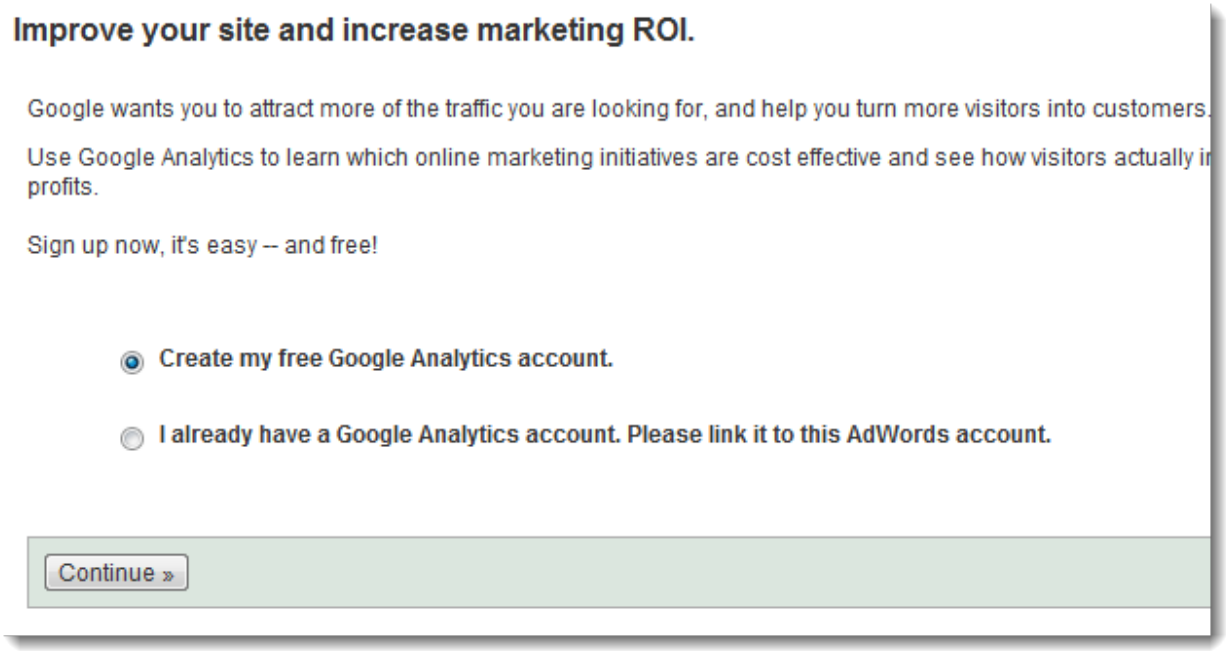
- User behavior down to the keyword level
- Actual ROI on all levels (Campaign, Ad Group, Ad, Keyword, Search)
- Option to import conversions from Analytics
- Cost data from Google AdWords campaigns

How Do You Link Your AdWords and Analytics Accounts?

Linking your AdWords and Analytics accounts is easy. The only requirement is that you be set up as administrator on your Google Analytics account.

To link Google Analytics and AdWords click *Reporting → Google Analytics:*





If you already have an Analytics account just click *I already have a Google Analytics Account* and choose this in the subsequent dropdown menu that comes up.

Voilá! Your AdWords and Analytics accounts are linked together.

Known issues when linking AdWords and Analytics

There are some known issues associated with the linkage. I'll go through some of the most frequent here:

My account is already linked with another: This is one of the most common issues. When this happens, you have to go into your Analytics account through your AdWords account and unlink your AdWords account.

As a side note, you cannot link your Analytics account with more than one AdWords account and vice versa.

I'm not the Analytics Administrator: If you are not an administrator you cannot make the link. Contact the administrator and get him or her to make you an administrator.

I've linked the accounts, but I'm not seeing any data: This often happens because you have unsubscribed Auto-Tagging of your AdWords links. You can undo this by accessing your AdWords account and then clicking *My Account → Preferences → Tracking.*

Importing Goals from Google Analytics

Once you've made the link between Google AdWords and Google Analytics you'll be able to import Goals/Transactions directly from your Analytics account.

In theory, you don't have to use the Google AdWords Conversion Tracking as long as you use Analytics for this. However, there is a 48-hour delay on data imports from Analytics to AdWords.

That means you must wait 48 hours before you see the correct data. For many businesses this will become a problem in the long run. For example if you optimize your account at scheduled times every week you'll always miss the last two days of data.

You can of course just go two days back, but I think it's somewhat annoying that I can't see what's going on the day before in AdWords.

I recommend that you stick to Conversion Tracking in AdWords and then combine the results with the ROI data from Google Analytics.

AdWords Search Funnel

Experienced AdWords advertisers have known for many years that the search terms that lead to conversions are not necessarily the search terms the searchers use, making it difficult to truly ascertain the value of a keyword and how much it actually contributes to an AdWords campaign.

Sometimes the specific keywords would never have been clicked on if the user hadn't found the website through his or her initial search, which is usually more general.

The reason for this problem is buried in the heart of the AdWords tracking methodology. The last click gets credited for the conversion, and sometimes this keyword would never had been used if not for prior searches.

That is why it has been incredibly difficult for advertisers to pause what seemed to be very relevant keywords even though they didn't provide any sales on paper.

Example of AdWords Search Funnel in Use

To better illustrate this I'll use a hypothetical situation using a well-know company, DirectTV.com.

George doesn't know what kind of broadband connection he wants. He just knows that the connection should be fast so his teenage son can play WOW online. He performs a search on Google for *fast broadband* and clicks on an ad from Direct TV, which promises fast broadband.

He reaches the landing page, which contains 20 Mbit broadband. He seems happy with the price and speed. He's curious however to see whether he can find a better price with a competitor. He then searches for *20 Mbit broadband on Google*.

He clicks on several competitors' websites as well as on the Direct TV 20 Mbit broadband ad. Now he can compare the various prices on 20 Mbit broadband.

He eventually finds out that Direct TV has the best price on 20 Mbit broadband. However, he wants to be sure about Direct TV's quality, so he does a Google search for reviews on Direct TV. He clicks on yelp.com, reads the good reviews they have, and returns to Google. He then performs a search for *Direct TV Broadband*.

Before the launch of the AdWords Search Funnel, you could not have gone more in depth with the statistics, and on paper keywords such as *fast broadband* and *20 Mbit broadband* would be money out the window. However, George would not have found Direct TV if not for these keywords.

Now you can identify the exact path leading up to a sale and therefore can truly identify the keywords that are not providing you with any results.

How Do You Use the AdWords Search Funnel Data?

The first couple of times you check the Search Funnel report in AdWords it may seem like an overwhelming task. There's a huge amount of statistics and numbers, and it can be very hard to find the statistics from which you can actually benefit. Of course you can benefit from all the statistics, but some are more valuable than others.

Due to the amount of information found in the AdWords Search Funnel tab, I recommend that you start out slowly with using the statistics.

Start out using the statistics as a small supplement to your existing Analytics and AdWords statistics:

Do you have a relevant keyword that doesn't convert? Click on *Assisted Clicks and Impressions* and filter out all other keywords. You'll then be able to find out whether the keyword has led to any conversions.

Check the path length. A good exercise for you is to utilize multiple ads with different messages. This is a good exercise for learning how many times your new customers have actually clicked your ads before they performed a purchase.

Often you'll see that 40 to 50% of your new customers needed to click on your ads twice – perform two different searches – to end up buying with you.

This is a small reminder to write different ad messages to target both the visitors who see your ads for the first time and the ones who have seen your ad before.

Bid Management and Your Daily Budget

The best bidding varies enormously from business to business, from keyword to keyword, and from advertiser to advertiser. It's impossible for me to give you the golden bid or to tell you exactly how you should be bidding. I can, however, give you the tools and knowledge for you to successfully set your bidding yourself.

One of the metrics that will change the most times in your AdWords career is your bid/click prices. Based on the data Google AdWords kicks back to you and what your gut tells you, you'll constantly change your bidding.

Just as in the saying "You only have an opinion until you find another," you truly have a bid only until you set another.

Depending on the statistics Google provides, you'll need to constantly adjust your bidding to maximize your ROI. Later in this book I'll go through the procedures in detail for optimizing Google AdWords campaigns and here's bid management explained as well.

How to Set the Right Bid the First Time

When you place your first bid, in most cases you'll need to trust your intuition. Then within the next 24 hours adjust it based on the statistics provided at that time.

If I have no idea what I should set a bid to, I'll take a look at the product I'm advertising. I will first and foremost look at the price and if possible the website's conversion rate. For instance if I'm trying to sell a $10 product, I won't start bidding at $5.

That would mean that I should convert 50% to just break even depending on the profit margins. I usually make this calculation in my head:

Click Price/Avg. Order Value x 100 = Conversion Rate

The conversion rate varies considerably from website to website, but if I have no knowledge of the website's conversion rate I tend to stick with 2%.

The calculation then looks like this:

2% × Avg. Order Value or Profit = Bid

Using this calculation can create high bidding in relation to the actual market. Pay attention to your data and make sure you're not setting some ridiculously high or low bids.

Want to set your bids fast? Between 8:00 a.m. and 10:00 p.m., place all your bids on $2, and then wait five hours. You'll now be able to look at the numbers to see whether you need to bid up or down. You can read more on this at the end of this chapter.

The AdWords Auction

It's a huge advantage to understand the auction system in AdWords when you determine your bids, especially when you have to optimize the basis of your ad position.

A Simple Explanation of Google AdWords Auction

The fact that you bid $5 per click rarely means that you pay $5 per click.

As a general rule you'll pay what the advertiser in the immediate position below you is bidding.

If you bid $3 in position 5 and the advertiser in position 6 is bidding $2, you'd end up paying $2 per click.

If your bid were lower than the advertiser's below you, you would pay exactly what you bid. This means that if you bid $4 in position 4 and the advertiser in position 5 bids $6 you would end up paying $4 per click. You can never pay more than you're bidding.

Remember that your bid weighs only half when it comes to determining your position in AdWords. The other half is Quality Score. Think back to the chapter about Quality Score and remember that you can bid less than another advertiser and still be in a higher position.

I recommend that you watch Hal Varian's video about Quality Score again. The AdWords auction is explained so perfectly in this video that you truly can't watched it too many times.

I never perform a workshop or lesson plan without including this video:

www.whitesharkmedia.com/adwords-quality-score/

Determining Your Daily Budget

Before I discuss the daily budget I would like to start with a small disclaimer. I am a **huge** fan of large AdWords budgets. I know that I can get 99% of all AdWords campaigns to work if I have the right foundation. I know that AdWords for the large majority of all businesses can be a perfect media channel and can make them a lot of money.

The only factor that can limit the progress of the campaign is how fast we receive statistical significance (enough data to make an informed decision).

That said, I fully understand that new advertisers need boundaries and don't want to worry about spending more than what they have allocated to AdWords.

However, I recommend that you take your AdWords investment seriously. You have now read almost an entire AdWords book from beginning to end and are about to build serious campaigns. It makes no sense for you to start with a daily budget of $10 to $20.

Set a budget of $30 to $50 per day, equivalent to $900 to $1,500 a month. This budget will make it possible for you to compete with the other established advertisers. Remember that they've been advertising for awhile and probably know that they're getting a decent return on their investment. Don't take a knife to a gun fight.

If you follow the guidelines laid out in this book and have an average or better website, you'll end up with great success.

Once you see the results with your own eyes you'll want to pour more money into AdWords and start seeing enormous returns on your investment.

Note

I don't recommend that you use the Keyword Tool in AdWords to estimate your budget or cost. The reason why is that it does not say anything about your CTR. If your CTR ends up being 2% instead of 1%, you'll get a 100% higher AdWords cost than calculated.

Is There a Link Between Your Daily Budget and Your Cost per Click?

If you're now thinking that "Andrew from White Shark Media is recommending a $30 budget for my AdWords campaign," then you need stop and rethink the situation.

You have to look at whether there is consistency between your budget, your click prices, and ultimately with the potential rewards.

In my early days as an AdWords consultant, I worked with businesses whose campaigns had small budgets, but what saddened me most was their often incredibly low budgets.

I fully understand that in a tight economy when starting a business, you should be conservative about your spending. But just because AdWords allows you to set budgets of less than $30 a day does not mean that it's a good idea.

For instance, if you look at your former AdWords campaigns and see that you have to pay $6 per click to achieve first page, then there's no point in setting a budget of $30.This will give you about five to eight clicks daily, which is way too little.

Five to eight clicks per day will rarely convert and the only thing that will happen is your bank account will empty little by little over time.

Remember that you have to have at least 100 clicks on a keyword or ad before you can make a solid decision about its performance, and even then, it's not certain that you have gained statistical significance. That's why it can take a very long time with 10 to 20 clicks per day before you can optimize and then start the work that eventually rewards you the most.

My advice to you is to enter AdWords advertisement with a proper investment. If you feel unsure and insist on doing it yourself, at least talk to an AdWords agency and have them

review your account. This will give you a better idea of what you're doing wrong, and they can advise you how to best achieve your goals.

But don't start out with a $5 to $15 daily budget. This is rarely a good idea and will only cause you to lose money.

Small Trick for Campaigns That Are Already Performing Well

If you've been looking through this book for some secret that AdWords experts are not telling you, here's one.

You've actually come across many of them throughout this book, but I have not put them in big star boxes because AdWords is not about quick fixes. You won't see the greatest reward until you've worked with all the different areas of AdWords.

This is however one of the most frequent areas I've seen advertisers ignore after they've started their AdWords campaigns.

If your campaigns are already providing you with a stable profit then you've obviously done something right.

Now is the time to really ramp up your advertising and maximize your profits. One of the ways to do this is through increasing your daily budget – a lot. It's important that your AdWords campaigns never stop even when your budget is spent for the day.

The amount of searches varies considerably from day to day, and even though you don't usually reach your daily budget if you don't follow these guidelines you will.

I usually set a daily budget between $500 and $1,000 higher than what I actually spend on average every day. I do this both in my own campaigns for White Shark Media and for clients who have already seen a good ROI from the campaigns I've created.

By setting the budget between $500 and $1,000 higher than what I actually spend on average every day, I can be completely sure that the campaign will never run out of budget on a day with a spike in the searches for my client's products.

Furthermore, your daily budget shouldn't be the deciding factor in how much you spend on Google. The deciding factor should be the bidding you set.

> *"Your bidding/click prices should determine your daily AdWords costs. This is not a job for your daily budget."*

If you feel you're spending too much money on AdWords, then lower your bids – not your budget. If you lower your budget to lower your consumption without adjusting your bidding, you'll have campaigns that reach their budgets too early every day.

This means that you'll end up losing impressions on a daily basis, and impressions = Clicks = Clients.

Depending on the industry and the time of year, a much of the revenue from an AdWords campaign happens between 7:00 p.m. and 11:00 p.m. If your campaigns are not active throughout this time frame, you'll miss the most purchase-oriented audience online.

Do yourself a favor. Make your campaigns profitable and then increase the budgets. It will really open your eyes when you start bidding based on a keyword's ROI and not on how it coincides with your daily budget.

Ad Group Level vs. Keyword Level Bid Management

A question I often get asked in workshops is whether you should set bids on an Ad Group or a keyword level. Is it really necessary to set the individual bidding for every single keyword in an AdWords campaign?

My reply is always that it's sufficient to set the bidding on the Ad Group level in the beginning. If you've created tight Ad Groups, it wouldn't matter much that you change the bidding on the keyword level.

I would consider changing the bidding on the keyword level based on the match types. I would recommend that you start out bidding the highest for Exact Match keywords and the lowest for Broad Match keywords. The change doesn't have large; a small difference can go a long way.

When you're starting to optimize your campaigns, it'll become necessary to adjust your bidding on the keyword level, and yes, this is necessary to do on all your keywords.

24-Hour Bid Management Optimization

I will briefly cover the topic of bid management optimization. Remember that I recommended you to set a temporary bid of $2 and that you let the campaign be active for eight hours during the midday.

If you've done this you now have a bid of $2 on all your keywords.

Depending on the competition for your keywords, you now have to increase or decrease the bidding. There's one metric that can help you do this.

Your Average Position

Your position is a number between 1 and 30, where 1 to 11 are normally located on the first page of Google. The number of clicks on the lower positions, 7+, is relatively low compared to those on positions 1 to 6.

Therefore when you now look at your statistics and see that your average position for an ad group/keyword is lower than 7, you should consider increasing the bid by $1.

If your position is lower than 11, you should look at how much profit you'd get with a conversion rate of 2% (see my formula from earlier). If you can still be profitable by increasing your bid I suggest doing so to achieve a higher position and more clicks.

If your average position is ranging from 1.0 to 2.0, you should consider lowering your bid.

Remember that you pay what the advertiser below you is bidding. If you bid $10 in position 1 and Advertiser #2 bids $9 and Advertiser #3 bids $3, you'll end up paying $9 per click.

However, if you decrease your bid to $8, you'll still be in second place (still in the top three), but you will pay $3 instead. Potentially you'll save a huge amount of money, and you'll still be among the top ads in AdWords.

Of course there are situations in which it might be a good idea to dominate the first place, but you don't know whether this is the case yet.

Landing Pages—The Google AdWords Extension

Your AdWords campaigns can be optimized to the brink of perfection with beautiful ads and an organization that will make any expert shed tears. But it doesn't matter one bit if your website isn't just as perfect. It'll all have been in vain.

Disclaimer: This is not meant to be a guide on how to do detailed landing page optimization or an entire conversion optimization. Nevertheless it's important that you build your website in such a way that it can actually convert the traffic you're going to pay good money for.

Besides having a streamlined and sales-friendly landing page, you should also think about linking your traffic to the best related landing page. Often you'll be able to try out different landing pages within the same category or product without much extra work.

Test Your Current Landing Pages

At first it's important that you find the ad that produces the highest ROI and the highest Conversion Rate/CTR combination. Once you have an ad that is doing well, you can test some of the landing pages you have available.

But don't test different landing pages with the initial setup or with the first couple of optimizations. Focus on finding that winning ad, and then you can move on to the granular optimization.

Many e-commerce platforms allow you to sort products based on the lowest/highest price, the bestselling, color, fabrics, etc.

Sorting your products is a perfect way to find out whether you are sending your visitors to the best converting landing page. Sometimes you'll be amazed at which landing page actually converts the best.

If you have a product or product category that is your bestselling or is a high-volume product, you should consider having a special landing page designed just for AdWords.

Let me give you yet another real-life example, this time from the remote control car industry. Surprisingly high numbers of people who are searching for a remote-controlled car don't know what they want at all.

A client I had a couple of years ago had just gotten their hands on a very popular remote-controlled car a month before Christmas. It started selling very well, but not well enough.

They asked me what they could do, and I suggested that they simply link people directly to this single remote-controlled car. This meant they would have to delete many of the other remote-controlled cars on the website, but they were OK with this. It was worth a try.

Once they implemented this decision, the conversion rate skyrocketed and so did their profits.

Try experimenting with your current landing pages. Sometimes it can really do wonders. This is also **a way to stand out** from all the other competitors that write the standard generic ad to a generic keyword.

Tip

Experiment with different landing pages that are already available in your e-commerce platform. You don't have to reinvent the wheel every time.

Replicate Successful Ads and Their Wording

Have you found an ad text that has a sky-high CTR and a very high conversion rate?

Consider whether you should take some of the words that are in the ad and implement them on your landing page.

Doing this will not only let the visitors know they've come to the place that the ad promised, but you'll automatically emphasize the benefits that appear to be more compelling than your competitors'.

With this in mind, it's vital to remember to be congruent with your landing page and your AdWords ad. Don't write *cheap lamps* in your ad text and then link your visitors to the overall lamps page in the shop.

Try selecting a cheap brand and link directly to this. It will often be a better approach.

General Landing Page Advice

There are some very general landing page guidelines that everyone should follow:

- Can visitors get a clear picture of the website's main purpose wherever they land?
- Can they quickly reach the front page?
- Can they identify where on the website they are within the first seconds of coming there?
- Is there a clear call to action above the fold (first picture on screen without scrolling)?
- Is there a clear opportunity to continue the sales process (add to cart, contact info, etc.)?
- No clutter. Keep your landing pages clean and with important calls-to-action in contrasting colors so they stand out.

I'm not by any means classified as a conversion optimization expert at the moment, but these are some of the guidelines I've found to be working well when experimenting with my own projects and a few clients'.

However it's not a complete guide or a "golden way" to a killer landing page.

When Should You Link to Your Home Page and When Should You Deep Link?

I had the pleasure of creating campaigns for a skilled sales coaching company in early 2010. I had an interesting conversation with their owner Martin Mouritzen, who asked whether it was necessary to deep link all the time?

The company previously had another agency engaged that had deep linked all their keywords. This was not producing as good results as Martin's own campaigns and that made him curious to say the least.

What further increased his curiosity was that in the campaign I had created for them I didn't deep link nearly as much as the previous agency. I'd chosen only a few keywords to deep link.

One day he asked me why I didn't deep link all of their keywords. I explained that with a business such as his that focuses on only one service, often more harm than good results from deep linking. This kind of business usually has streamlined their front page to sell their core business: sales coaching.

The front page was clearly the best place to send traffic because the front page is where visitors get the best sense of the company and the most unique selling points (USPs).

Returning to the saying about *working smarter, not harder*, I'm sure you could get a decent conversion rate increase from creating a specific landing page for each keyword for a company like Martin Mouritzen's. But the company sells only one core service, and this one core service we had covered with AdWords through different keywords.

It would simply not be profitable to start creating a bunch of extra landing pages and designing them from scratch.

Think about this when you decide where to link your keywords. If you're selling one service or your service is very specific, consider whether you should just send all your traffic to the front page.

Don't just deep link for the sake of deep linking. Find the best part of your website for that particular phrase. Especially for small businesses, this will be the front page.

But once you start having several products, categories, and services, of course you should deep link your ads.

When Do You Need to Create Specially Designed Landing Pages?

What the heck, let's keep with the real-life examples. They're so nicely vivid.

In the beginning of a relationship with a new client, I'm often asked whether they should start creating a separate landing page for all the different keywords they have. The following is an example from a lawyer broker whom I started working with in late 2009:

He asked me the usual question, but he thought that creating landing pages for each keyword variation seemed like a lot of work, and I of course agreed with him. With over 100 different keywords (not including variations, zip codes, and cities), the task would turn into a huge project of creating different landing pages, writing content, and setting the pages up.

My advice to him was to start with his 5 to 10 most important keywords/Ad Groups and to create specific landing pages just for AdWords. The task then became manageable, and the changes resulted in a good increase in the amount of conversions from AdWords.

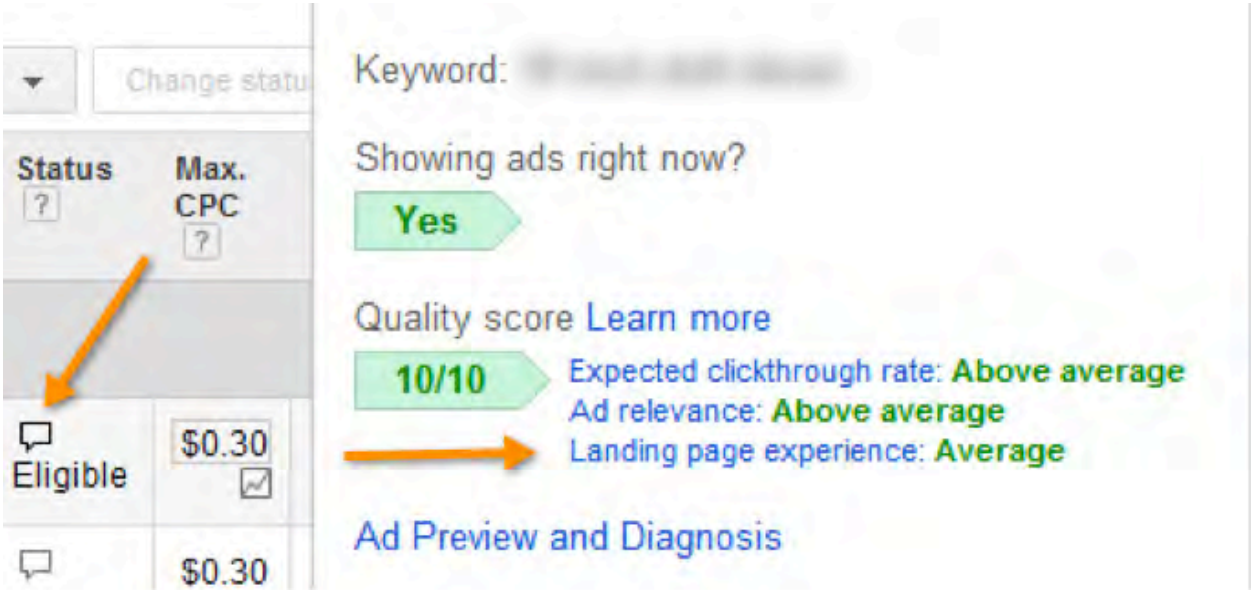
Watch Out for Slow Loading Websites!

One of the things I think is often overlooked is a slow-loading website.

Not long ago I was working with a client's campaign that had run well in the beginning but suddenly stopped being profitable.

After some digging I discovered that the only change in the campaign and on the website was a slow load time label. Google had also reduced the Quality Scores on their best keywords from 10/10 to 6/10, which resulted in a large loss of traffic. They had to increase their bidding to regain some of the positions they had before.

Their slow-loading website greatly damaged the campaign (and the conversion rate in general). Therefore, always keep an eye on whether you have a bad load time. You do this by holding the mouse on the diagnostic tool next to a keyword:



Remember Your Quality Score

With the chapter about Quality Score in mind it's important that you link your primary keywords to a part of your website that contains the keywords somewhere on the page. Doing this will not only give your visitors the feeling that they've reached the correct part of the website, but it will also raise your Quality Score.

Don't add those keywords at random places on the page. Doing so will do more harm than good. If you can't get the keywords incorporated naturally into your text, then don't do it.

Other elements that are bad for landing page Quality Score are:

- Pop-ups (advertising as well as internal pages)
- Copied text
- No outgoing links on the landing page (poor structure/difficult to navigate)
- No content (for example, photos only)
- No links to landing page from other pages on the website

Want to Know More about Landing Pages and Landing Page Optimization?

I've read several books about website design and landing page optimization through my years working with AdWords, but there's been especially two that stand out and that you should read:

- *Landing Page Optimization,* by Tim Ash
- *Don't Make Me Think! A Common Sense Approach to Web Usability,* by Steve Krug

Steve Krug's book is simple and guides you through the basic points regarding good landing pages.

The Tim Ash book however goes considerably more in depth about how to perform actual landing page optimizations and especially how to test them.

Optimizing Your AdWords Campaigns

The true value of your AdWords campaigns will appear once you start optimizing them. Nobody can set up an AdWords campaign that is running perfectly from day one. I'll explain some of the aspects of optimizing AdWords campaigns that I use for everyone, from the big e-commerce website to the small brick and mortar business on the corner.

Once you start getting more familiar with AdWords advertising, you'll experience how the whole platform opens up and is even more advanced than you'd ever imagined.

I could write an entire book solely on optimizing AdWords campaigns, but for the purposes of this book, I've limited myself to the most basic areas of AdWords optimization.

The following principles and approaches are mainly for advertisers who make use of Conversion Tracking for either AdWords or Analytics. Even if you don't use Conversion Tracking, you can still learn something about the various principles by reading this chapter. I have written a more specific section at the end of this chapter on optimizing AdWords campaigns that do not use Conversion Tracking.

Basically an AdWords campaign optimization consists of the following:

- Pausing the less effective ads and creating new ones to take their place.
- Adjusting bidding depending on the conversion data for the specific keyword.
- Pausing keywords that do not convert (see AdWords Search Funnel above).
- Adding existing keywords in additional match types.
- Adding additional negative keywords.
- Expanding the current keyword list.

It's All One Big A/B Test

In many ways, Google AdWords is the world's largest A/B testing system. With AdWords you're always split testing ads and landing pages to find the best performing ones. It's a never-ending process.

At times you will have active ads that are not as effective as the previous best performers; therefore you'll lose money because of the split testing.

However, you'll end up with these two primary benefits when you keep testing new ads:

Constantly vary your ads on AdWords, which means that you'll attract different users throughout the year and that you'll automatically be seasonally specific in your ads since you won't forget to create new ads for the specific season.

Try out odd ad variations and you might find them beating your previous best ad by miles. This is one of the more peculiar parts of AdWords. Sometimes you'll experience ads that perform much better than expected.

How Much Time Do You Need?

Before you begin optimizing your campaigns, you must have a certain amount of data to be able to judge its effectiveness. I'm often asked how long that will take. It's not the amount of time that 's important but rather the amount of clicks/impressions.

If you make decisions based on too small an amount of data, you'll find that the ad, which at first appeared very good, is not effective in the long run. Additionally you can end up pausing the winning ad just because it hasn't converted within the first 15 clicks.

My own guidelines for allowing me to make a decision follow:

- A full week must have passed
- 100 Minimum clicks
- The keyword has reached my limit for being unprofitable

A full week must have passed: If you make decisions based on data from for instance Monday to Tuesday you risk making big mistakes. There are different buying patterns on different days of the week (and days of the month) so if you don't let your ads/keywords run for a minimum of seven days, it will be hard to make an informed decision.

100 Minimum clicks: Some would say that this number is too low, but often you'll be able to make decisions based on 100 clicks. I do however recommend that you get at least 200 to 300 clicks on a given keyword or ad before you make any changes.

In larger campaigns this is not a problem.

The keyword has reached my limit for being unprofitable: If a keyword has reached my limit for what equals a profitable conversion, then I will pause it before I reach 100 clicks or before an entire week has passed.

Just be careful the keyword hasn't reached this limit too early due to too a high bidding. If your keyword reaches this limit and has a position higher than four, then you should lower the bidding and wait a bit longer before pausing it.

Ad Optimization

When I start working with AdWords campaigns I like to begin with rather generic ad texts that I'm confident in will convert at an acceptable leve.

The generic ads won't be the top performers once the optimization process starts, but I'm confident that I'll have created a new revenue stream from AdWords, which at least covers the costs of AdWords and my fee.

I can then start creating more experimental ads that have the potential to rake in a lot more revenue, but they also will have the potential to fail miserably.

The procedure for optimizing AdWords ads follows:

If you have three ads, pause the two that produced the worse results over a given time period. You then end up with the most successful ad. Remember to compare during the same time frame; otherwise you'll end up with skewed data.

The ad that is running now is your base. This ad has created a record in terms of performance, and this is the record you now have to try to beat.

As my first sales manager told me:

> *"We set a record, and then we come in the next day and try to beat that record."*

This is exactly what you do when you optimize Google AdWords ads.

Now create two new ads. One of them will be inspired by the current ad and offer only a small change. The second ad will however be something completely different to see whether you can find a new winning formula.

Never delete or overwrite ads. When you delete or overwrite ads the data will disappear, and this is bad for two reasons.

In about three to four months when you've tried 20 to 50 different ads, it's nice to be able to look back on what you have tried because you will not be able to remember it. I guarantee it.

The second reason is that when you overwrite an ad you delete its data and data is very convenient to have. Your account, campaign, and Ad Group Quality Score is based on the data you have in your entire account. Once you have a vast amount of great CTRs, then you can "get away" with much more than before, and new keywords will reach high Quality Scores a lot faster.

Performance is calculated by a combination of CTR, conversion rate, and the average transaction value.

You'll often find that ads with the highest CTRs do not convert very well. At the same time you'll see ads with high conversion rates that have low CTRs.

You have to decide what is acceptable for you. You won't get the greatest value when you select the ad that gives the highest conversion rate but produces only one sale a week because of its very poor CTR. Be sure to make a compromise and choose the ad that gives you the most sales over a given period for an acceptable price.

Ideas for Optimizing AdWords Ads

There are endless varieties of tests you can do with AdWords ads. Here are some of the most common, which I recommend you try out:

- $ vs. dollar
- Buy vs. Order vs. Purchase vs. Get
- Delivery vs. Shipping
- Split test of different benefits
- Different "starting from" prices
- Use different words
- Synonyms
- Read More vs. See More vs. Find Out More
- www vs. non-www
- Keywords in the display URL
- Remove highlighted keywords
- Switch description lines 1 and 2

There are endless ways to optimize your ads. I've also seen ads in which the only changes among them were the words *nostalgic* and *classic*, which in the end made a difference of 50% in conversion rates.

My point is that no change is too small and sometimes you can improve a seemingly perfect ad with trivial changes.

I usually use my best ad and build on it. I might change just one line, a word, the call to action (CTA), or the price.

By doing this I keep tailoring my ad by using only the best components. Once I've tried this a couple of times I might try to create a totally different ad, just to try something new and to keep being in front of my competition.

Bid Management

Adjusting the bidding according to the statistics that Google provides is critical to having profitable AdWords campaigns.

The basic principle is as follows:

If your keywords have a **high** cost per conversion, you **decrease** your bid. If they have a **low** conversion price you **increase** your bid (depending on the keyword's average position).

If you have an average position of 1.0 to 2.0, of course you should not increase your bidding further.

Before you start to increase or decrease the bidding on your keywords, you should check Google Analytics to find out how high an average transaction value the keywords bring in.

If a particular keyword has a higher than average transaction value, you can accept a higher cost per conversion than for your other keywords.

The following guidelines apply when you adjust your bidding:

> *High Positions = many clicks and high click prices = high volume of conversion at high costs*
>
> *Low Positions = fewer clicks and low click prices = fewer conversions at low costs*

Remember that everything is a balance and that the goal is to achieve the lowest conversion rate and the highest amount of sales.

Take a look at the lifetime value of your visitors. If your customers buy an average of three times a year, you can afford to pay more for your sales than if the customers buy only once.

Your AdWords Campaigns Are Not Profitable

Do you have keywords that don't give you a profit on the first sale? Don't lower the bidding just yet. Lowering the bidding often means fewer sales at lower prices.

A good example is when you sell a product with a somewhat stable value per transaction. You have a lot of keywords that convert at the same price as your profits. This means that at first glance you earn nothing on your AdWords advertising.

But wait a minute . . .

How many customers do you really have that bring in only a single sale in their entire lifetimes? Personally, I would rather have 10 clients from whom I don't profit on the first sale rather than have three clients from whom I have a profit of $100 on the first sale.

The 10 clients from whom I initially did not profit will buy from me again and refer others to my shop.

Through determining the lifetime value of a customer, I can calculate that my overall earnings will be higher if I just bring in many more customers and don't make a profit on the first sale. The true profits will appear once the 10 customers buy from me the second time, and the third time, and when they each bring someone else to my shop. See where I'm going?

Are Your Ads Consistently in the Top One or Two Positions?

If you're consistently in an average position of 1.0 or 1.9, my recommendation is that you lower your bid. The AdWords auction works by advertisers paying what the advertiser in the position below them are bidding. As in my example earlier you can sometimes achieve big savings by simply dropping one position in AdWords.

See Search Terms

The feature See Search Terms is a great tool for the eager AdWords advertiser. If you often use Broad Match, or even Broad Match Modifier and Phrase Match, you'll find See Search Terms invaluable.

With See Search Terms you're able to find the exact search phrases that have triggered your keywords and for which you've received a click.

Make sure to check See Search Terms before you increase or decrease your bidding for any keyword except the ones in Exact Match.

Another great tip is to add the variations of your keywords to your campaign that appear and have a high volume of clicks in See Search Terms as Exact Match keywords. Doing this will allow you to better track its position, click price, ROI, and actual cost.

Don't do this with every single search phrase. do it only with search phrases that are providing you with a good amount of clicks/impressions or that have converted a couple of times.

Expanding Your Keyword List

It's very rare that an AdWords advertiser manages to include all the relevant keywords in the initial campaign setup.

Therefore you need to include expansion of your keyword list as part of your optimization process. It's not enough to optimize your current campaigns; you also need to make them bigger, so your overall return increases.

Expanding your keyword list is partially done by using the See Search Terms feature, but I also recommend that you take a closer look at your current keyword list. I guarantee you that some keywords will spring to mind just by looking at your current list. A good "trick" is to check your website again.

Go through the initialprocedure for keyword research again to find new keywords or keyword variations. You're sure to find new keywords that you previously omitted. The main reason that advertisers often omit obvious keywords is that they can get overwhelmed with their keyword lists.

Negative Keywords

Once you've started your campaign it'll start getting data that is filled with negative keywords you have to process.

Again, I recommend that you turn to the See Search Terms feature, which will show you all the searches from which you're getting clicks. In See Search Terms you're more likely than not to find a bunch of new negative keywords to add to your list.

However, be aware that searches that do not result in a click on your ad will not appear in See Search Terms. You'll therefore still have to do the hard work by manually coming up with new negative keywords to increase your CTR.

Include Current Offers and Promotions

Have you ever thought about creating specific offers or promotions to use only in your Google AdWords ads?

Searches on Google have reached such volumes that Google AdWords simply cannot be ignored. Doing well in Google AdWords likely means that you have a successful business. Google AdWords can truly turn a business around if it is used properly.

For instance if you're selling *Kenwood Kitchen Appliances* and you notice that not one advertiser has a promotion at the moment, create a 10% discount!

You'll not only experience a spike in CTR but also a spike in conversion rate. You'll more often than not find that you're profiting more from doing this one-week promotion than if you were not.

Small Tip for Coming Up with Specials or Promotions

When you need to come up with new ideas for promotions or ways to differentiate yourself from the other advertisers on Google, try this:

Without any limitations or judgments, allow yourself to brainstorm all the strange ideas and brainless benefits you can come up with for why visitors should buy from you.

You might come up with anything from buying your product will prolong their lives to making it possible for them to walk on the moon. Anything!

But, **don't actually put these ideas in your ads**. This exercise is meant to stimulate your thinking so that when you are done you can read through your new ideas to find some ideas that might actually work well.

Once you've identified the ideas that actually make sense and might work in your ads, take a closer look at them. Might it be possible to implement these ideas into your business?

I've seen this exercise produce unique selling points for some businesses that truly turned their businesses around. And all this coming from one seemingly ridiculous exercise to create AdWords ads that stand out. Not bad, huh?

Quality Score Optimization

An important factor when optimizing AdWords campaigns is to know what your Quality Score is on the various keywords.

I've seen many advertisers, and professionals for that matter, who just close their eyes to bad Quality Scores and don't try to improve them. Realizing that your campaign isn't doing well and that you have to improve your Quality Score can be hard to accept, but necessary.

Identify the keywords that don't have a proper Quality Score (7/10 or higher) and take action to improve these.

Tips to Improve the Quality Score of Keywords

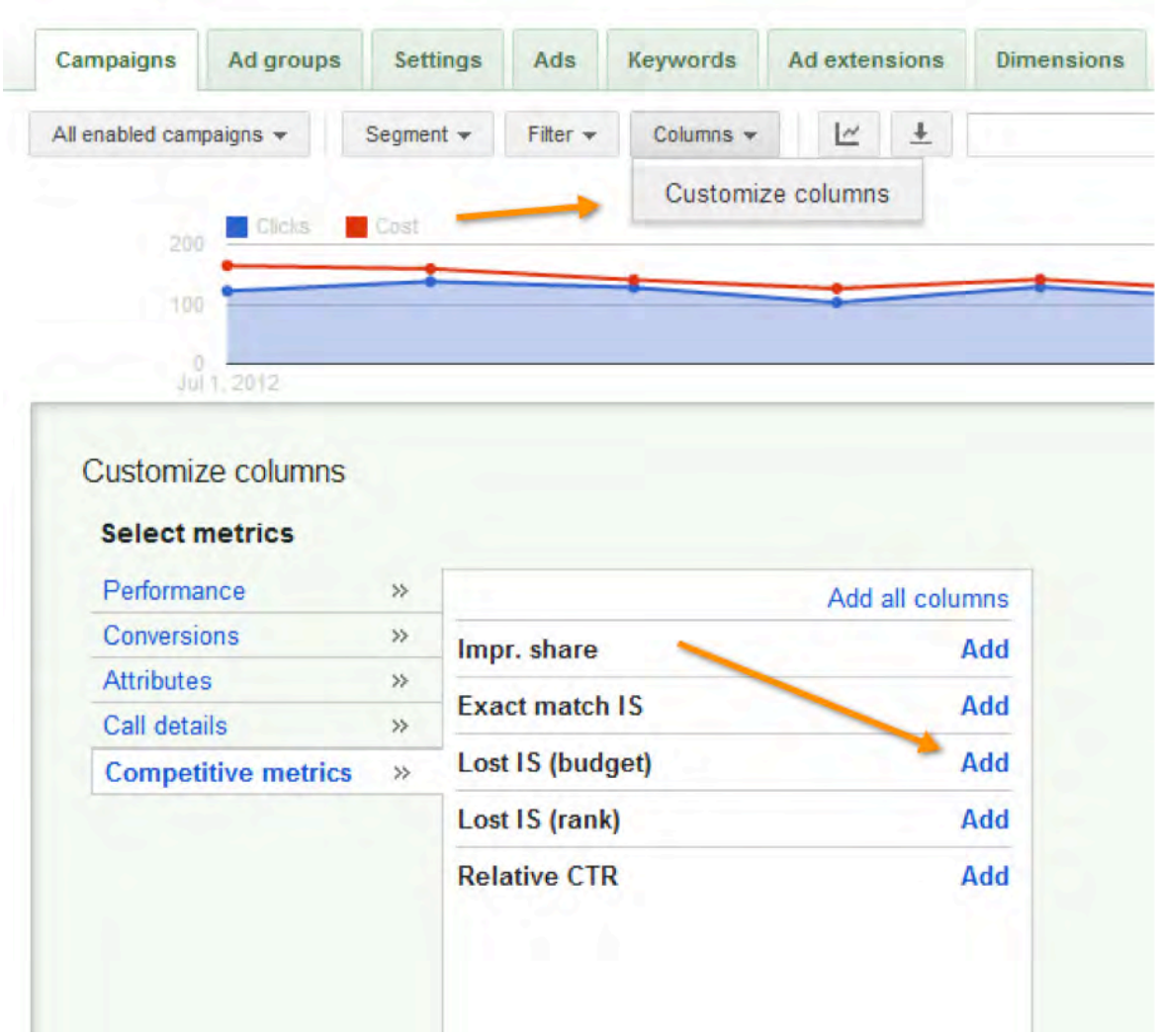
- Increase ad relevance by putting the keywords in their own Ad Groups
- Review whether the link goes to the right landing page
- Optimize your landing page
- Add negative keywords to increase CTRs

All in all, Quality Score optimization is nothing more than repetition and improvement of the factors that I mentioned in the chapter titled Quality Score Defines Your Success. Every time I have a campaign with a bad Quality Score, I can identify it by simply going through the different factors to find the reason.

Profitable AdWords Campaigns? Add 10% to Your Daily Budget

If your campaigns are doing well and are profitable you should consider increasing your daily budget to ensure your ads are never limited due to your budget.

Google recently launched a metric to identify how many impressions a campaign is actually losing because of a budget that is too low:



Lost IS (budget) ?
1.93%
22.88%
33.30%
8.99%
8.99%
0.00%
8.99%

AdWords Campaign Experiment (ACE)

One of the newer features in Google AdWords is AdWords Campaign Experiment, or ACE. This feature was released in early September 2010 and can be used to split test new campaign settings, bidding, keywords, etc.

The feature was previously addressed in the Settings chapter, but I will briefly summarize here:

With ACE you're able to divide your traffic and apply changes to only 10 to 90% of your traffic, leaving some traffic as a control against which to compare how large an impact your changes have actually had or whether the increase or decrease in performance would have happened anyway.

When optimizing your campaigns, use ACE to:

- Add new keywords
- Experiment with different kinds of bidding
- Organize your keywords differently
- Add negative keywords
- Try out new budgets

Be aware that this is a new feature since this book was written. Always search for the latest information about ACE. You can get more information about ACE from www.WhiteSharkMedia.com/blog/ or through the AdWords Help Center.

Without Using AdWords Conversion Tracking, How Do You Optimize Your Campaigns?

Oh boy, this is one of the worst questions I get because you should be tracking your Google AdWords campaigns as well as your other online efforts.

But let's say it's impossible for you to set up tracking on your website; there's still some statistics you can use to optimize your Google AdWords campaigns.

1. Measure the CTR on your ads. A high CTR means a high relevance. This should be the key metric to track.
2. Use Google Analytics. Make sure you continually look at your ad and keyword data. Often you can use the following data to track your campaign performance:
    - Average time spent on site
    - Pages per visit
    - Bounce rate

With some effort these metrics can be set up as goals in Google Analytics, making it possible for you to import the goals as a conversion in Google AdWords.

Setting up these goals in Google Analytics will make it possible for you, for instance, to identify all the keywords that have a bounce rate of less than 30% and to pause all other keywords.

Be sure to set the target metrics a bit higher than if you were checking the metrics yourself in Analytics.

3. Stay away from 1.0 to 2.0 in average position. Sometimes this can be good business, but if you don't have specific data to prove this you should lower your bids.

Remember the part about reducing your costs by lowering your average position below 1.0 to 2.0? The same is true here.

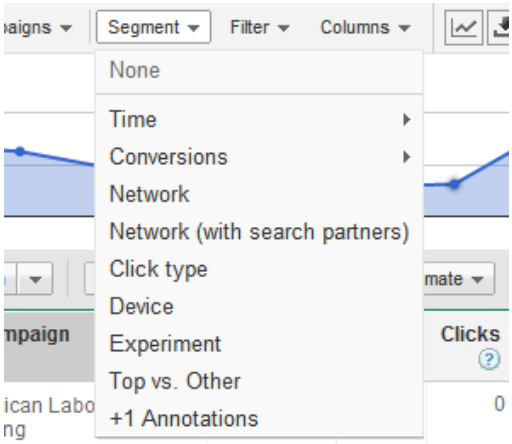
The Segment Feature

The Segment feature was very quietly (in other words without a big press release) added to the AdWords interface.

It's a great tool though and allows you to organize your statistics into segments, making it much easier to implement ad scheduling or gain insight to how you can optimize your bidding.

You can use the Segment tool for these metrics:

- Weekdays
- Weekends
- Weeks
- Months
- Click Type
- Network
- Devices

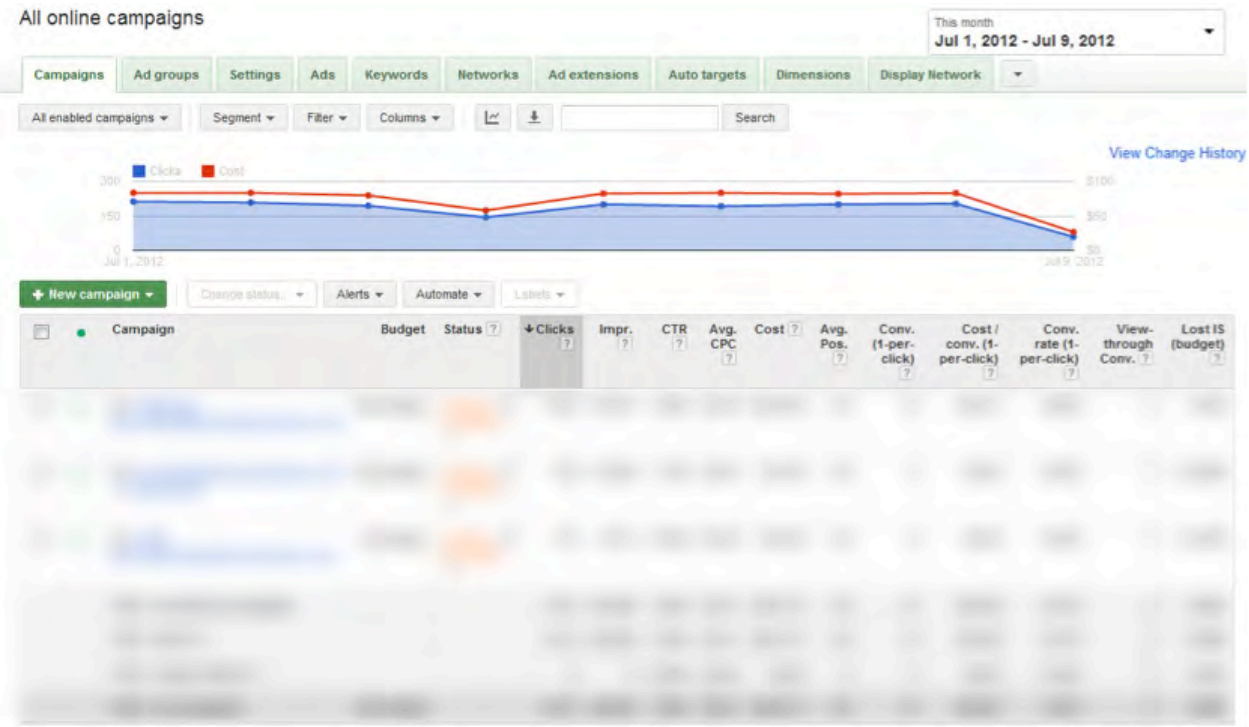


I especially find weekdays very effective for identifying days where I should lower my bid or consider another strategy.

The weeks and months segments are great ways to analyze your progress and to identify whether this week's apparently low performance was due to changes made by you or simply by chance.

The AdWords Interface

When creating and especially when optimizing your Google AdWords campaigns, it's necessary to have quick access to the most relevant data. In this chapter, you'll become much more knowledgeable about the features of the AdWords interface, and I'll show you exactly how a real AdWords interface should be designed to give you the best vantage point to optimize your campaigns.



It's easy to change the active columns; Just click the dropdown menu at the end of the tabs. Here you can opt in to additional tabs such as Ad Extensions and Dimensions. I recommend that you do opt in from the beginning.

Most of the tabs are self-explanatory, but the Networks, Ad Extensions, and Dimensions tabs can be tricky if you haven't experimented much with AdWords.

Networks

Here you'll find information about the various Google networks your campaigns are opted in to. This is the tab you go to if you want to find out how your campaign is doing in the Search Partners Network or if you want to identify the different websites your Display Network campaign is appearing on.

Ad Extensions

Here you can find the different advertising extensions available for your account.

You can add and edit the various extensions that are available to you. Also, this is the area in which you can see how your ads perform when an expansion is triggered. However you can see only basic numbers such as CPC, CTR, and impressions.

Dimensions

Dimensions are a nice place to find additional data for your campaigns. Basically the Dimensions tab is a more advanced version of the Segment feature previously covered in this book.

In this tab you can split your data into segments. Here is just a selection:

- Time
- Conversions
- Reach and Frequency
- Destination URL
- Demographic
- User Locations
- Search Terms
- Automatic Placements
- Free Clicks

The time feature can be especially helpful when you need to analyze how your campaign performance varies by hour of the day, day of the week, or month.

Additionally it's a good way to look at your weeks and months for an overall campaign performance. It allows you to see how your campaigns improve from week to week or month to month.

Furthermore the Hour of the Day metric is a great way to find out whether your budget is being met too early in the day. Sometimes you'll be really surprised to see that your ads are never receiving clicks or impressions after 8:00 p.m.

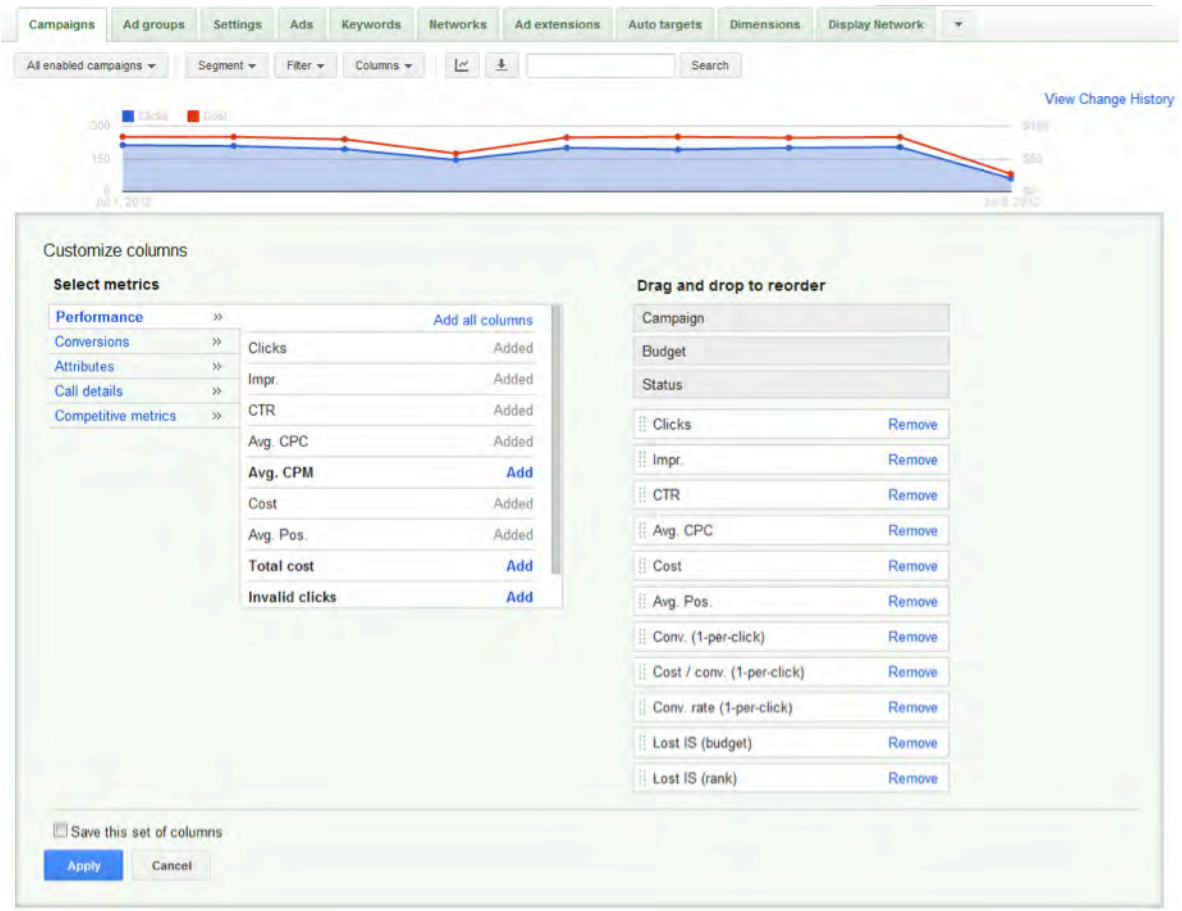
Some campaigns are even reaching their budgets in the nighttime! Be wary of this and make sure to check this metric when you optimize your campaigns.

Which Metrics Do You Need in Your AdWords Interface?

When you analyze your campaigns, it's important that you have easy access to the most relevant data, allowing you to quickly make decisions, which makes the optimization process much more efficient.

In Google AdWords, you can easily modify the data you want to see in the interface. You can see below which columns I recommend you have easy access to in your Google AdWords interface:

You change your interface by clicking columns:

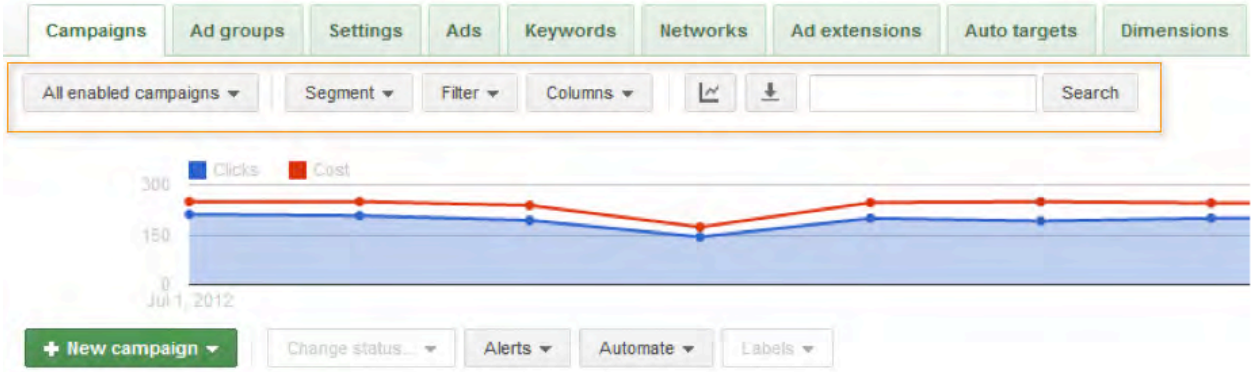


Depending on whether you are on the tab Ad Groups or Keywords you will be able to select different columns. It's important that you add the following columns to your interface:

- Quality Score (can only be added at the keyword level)
- Conv. (1-per-click)
- Cost/conv. (1-per-click)
- Conv. Rate (1-per-click)
- Total Conv. Value
- Value/Conv.
- Lost IS (Budget)
- Lost IS (Rank)

Additionally, the column *Dest. URL* can be beneficial to add if you use deep linking on the keyword level.

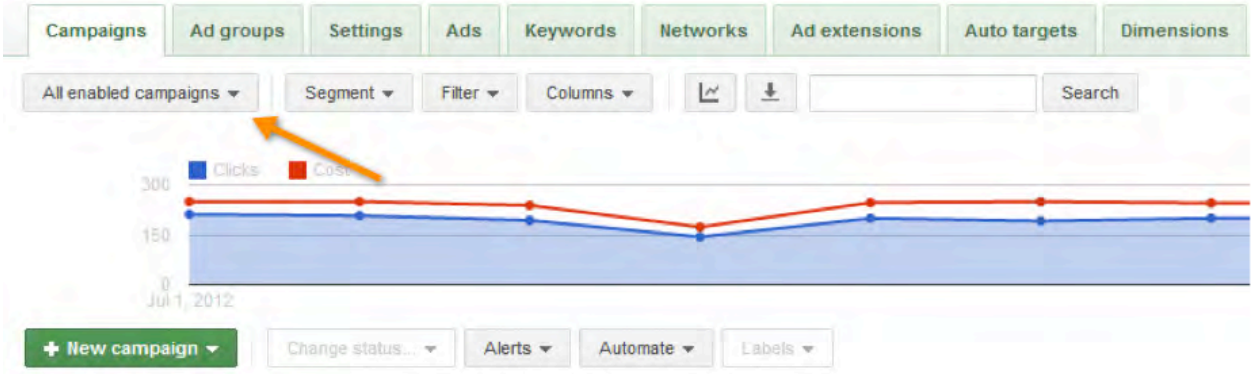
Features in the AdWords Interface



There are features in AdWords that you can easily miss, but they are beneficial to know and you'll quickly become accustomed to using them.

I'll introduce you to each of the features below and how you can take advantage of them. These features will be consistent throughout your AdWords interface no matter which level you're on (Account, Campaign, Ad Group, or Ad and Keyword level).

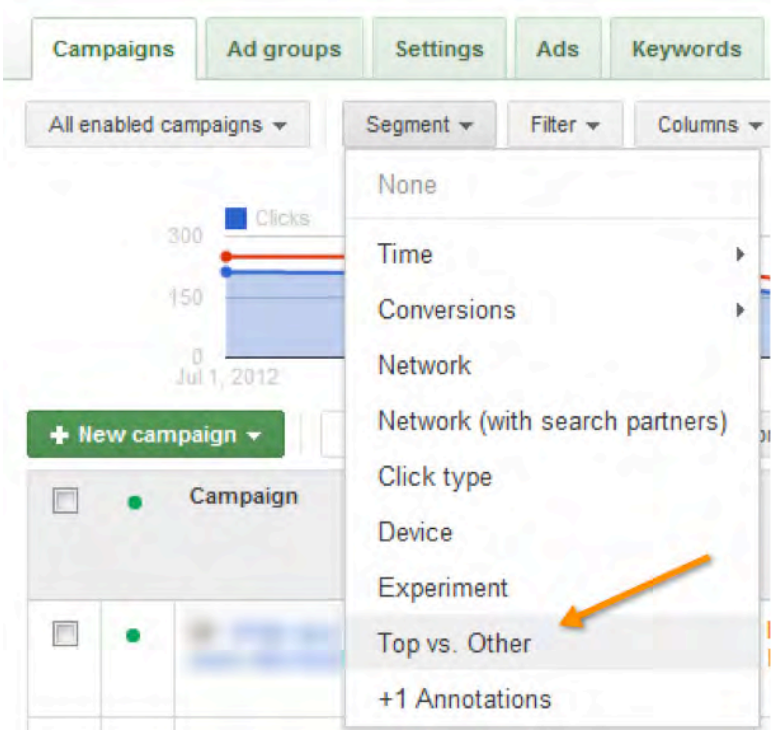
All but deleted campaigns:



With this feature you can choose whether you want to see deleted or paused keywords, ads, ad groups, or campaigns.

I recommend that you choose All Enabled because this setting will give you the most relevant overview, but try to change it around a couple of times when you optimize. Sometimes you find old Ad Groups or campaigns that could be worth a try again.

Segments feature:

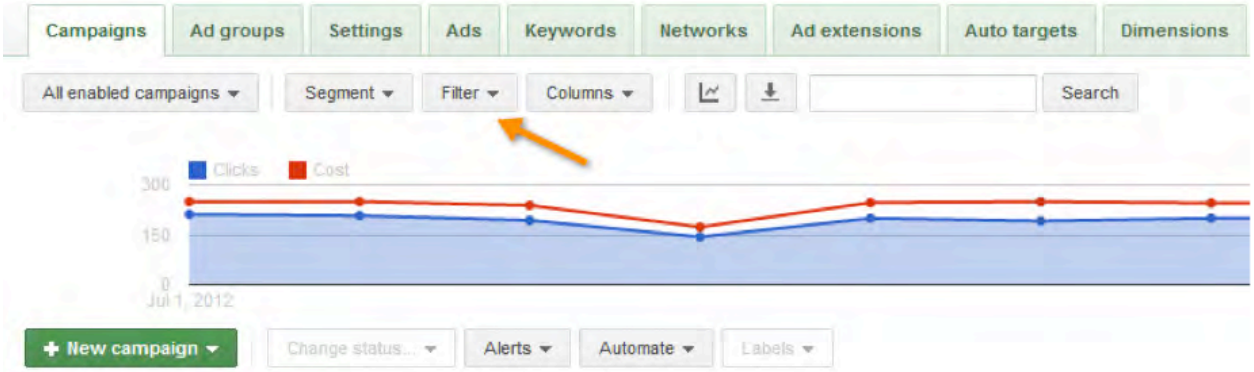


I've mentioned the Segments feature before. This is the place you can find the feature.

You can segment your data in different areas such as Network, Click type, Device, and so on.

For more information read the Segments section in the chapter titled Optimizing Your Adwords Campaigns.

Filter function



Here you can filter which keywords you would like to view. Here's a good example of when the filter function comes in handy.

If you have large campaigns, you might have some keywords that produce 80 to 90% of your total revenue.

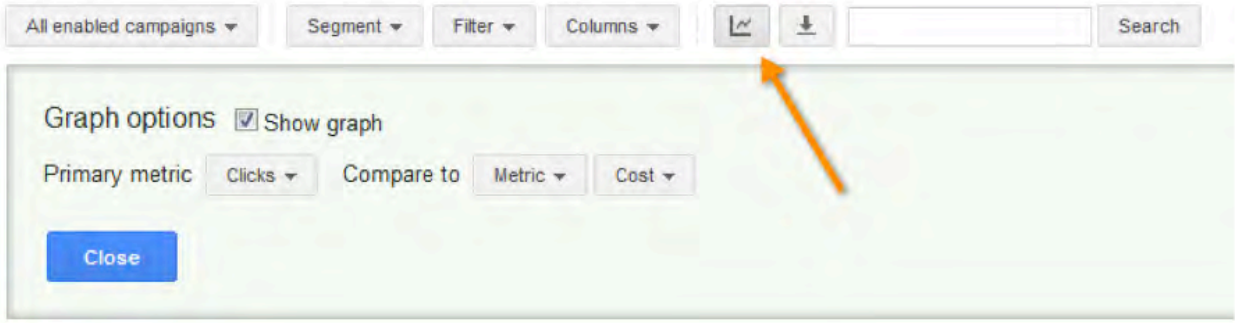
Depending on how large your campaign is, you'll often have trouble keeping track of all the keywords in the campaign, not to mention with optimizing all of them.

A good filter for a case like this might be:

- Keywords that have converted fewer than 10 times over the past month
- Keywords that have an avg. position lower than 4.0

By using this filter you'll identify several keywords that have converted well for you in a low position. Some of these keywords are more likely to have very low costs per conversion, and are perfect candidates for an increased bid. An increased bid will increase the CTR, clicks and in the end; conversions.

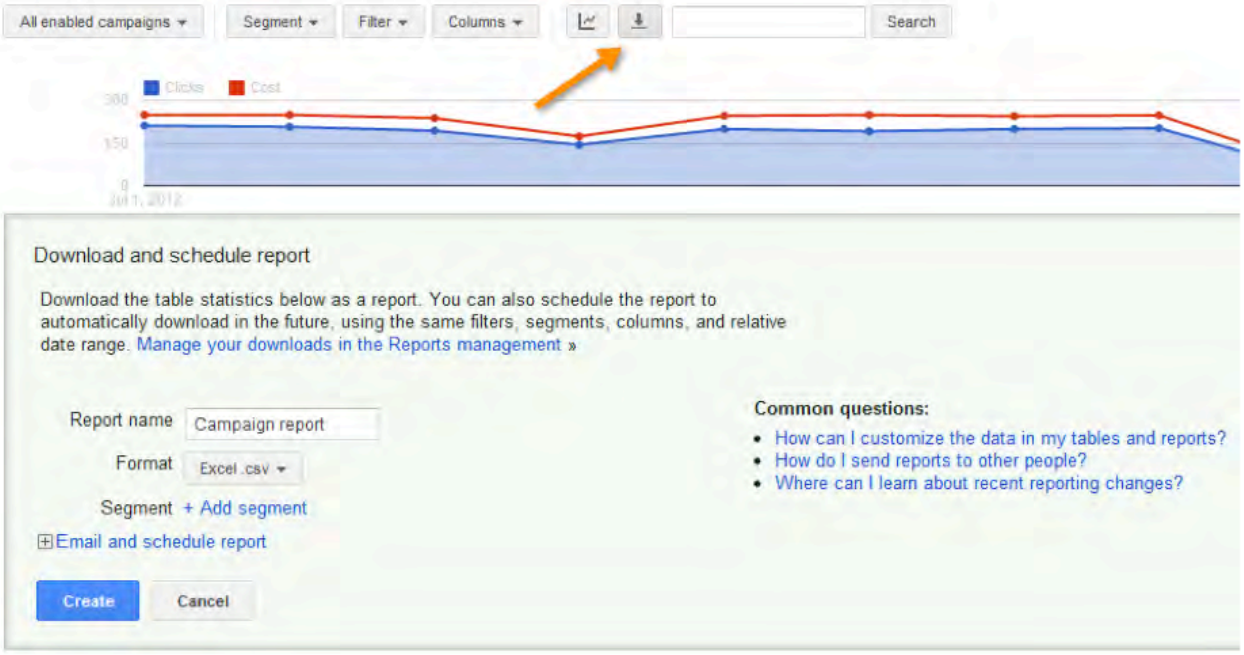
Toggle graph options



By clicking graphic settings, you can choose different graphs that you'd like to see and compare. It's an effective method to see development in such things as clicks vs. the number of sales or CTR vs. number of clicks.

Play around with it and see how the numbers interact.

Download report



Here you can easily configure and download reports.

Tools in Google AdWords

Google AdWords offers a variety of tools and features that can sometimes be very useful. What binds them all together is that they're not necessary at all and that you can create perfect AdWords campaigns without ever glancing at the different tools.

I rarely use the tools in AdWords. I either use my own tools or tools provided by a third party. AdWords tools might however be very useful in certain situations.

People who start out with AdWords tend to accept some of these tools with open arms, especially regarding bids or when adding new keywords.

I don't recommend it. You'll never achieve the best results by blindly following Google's recommendations in AdWords. Of course it's better to take Google's advice if you truly have no idea what you're doing, but you'll get a much better feel for your AdWords campaigns when you do the work yourself.

To find the different tools, click the Reporting and Tools tab and then click the More Tools link at the bottom.

Now you're able to see all the different tools that are accessible to you. Note that not all advertisers have access to the same tools, but the following tools are universal in all AdWords accounts:

- Keyword Tool
- Edit Campaign Negative Keywords
- Site and Category Exclusion
- IP Exclusion
- Traffic Estimator
- Insights for Search
- Ads Diagnostics Tool

- Ads Preview Tool
- My Change History

That's a lot of tools, and they're not all equally important. I'll go through the tools that I believe are of value for your AdWords endeavors:

Keyword Tool

This tool was previously mentioned, but I'll cover it here as well. This tool allows you to enter keywords and then view an estimate of the number of searches in a given area.

If you want to be sure to get the most accurate picture of the number of searches, then choose Exact Match or Phrase Match. Otherwise, the keyword tool tends to show an inflated number of searches.

Don't take it too seriously if there are no searches for a given keyword. When the number of searches is less than 1,000 per month, the keyword tool will be incredibly imprecise.

I've seen it over and over again that keywords that draw in more than 10 sales a month show no searches in the Google AdWords Keyword Tool.

I recommend using the tool with care for determining the number of searches. The tool can however be a great resource when trying to find new keywords and keyword variations.

IP Exclusion

IP Exclusion works by adding a given IP address. Your ads will not be shown to anyone who has this IP address.

If you know your competitors' IPs or you can log in through your site to see certain IPs that often visit your website via AdWords but do not buy, you might want to exclude them.

Depending on the size of your campaign and the budget, this little tool can save you several hundreds of dollars every month.

Additionally, I recommend that you exclude your own IP and your employees' IP addresses.

Your employees might have a tendency to click on ads to more quickly reach your website even though you instruct them not to. Do yourself a favor and exclude your own traffic.

Traffic Estimator

In this tool you can enter keywords + max CPC and budgets to see how much traffic you can achieve from various keywords.

Again, don't blindly follow the numbers you're shown here. The numbers are a good indication for a beginner to see how much traffic a keyword is generating, but if it's an important keyword for you, you might as well add it to your campaign and see how it performs in reality.

You shouldn't add an important keyword just because it doesn't have any searches in the Traffic Estimator Tool.

Insights for Search

This tool allows you to see fluctuations on various keywords depending on the calendar month. It's a fantastic opportunity to explore new keywords in your industry.

If you are really proactive at this point you can find some keywords that have very little competition. Then when your competitors find these keywords, you will already be enjoying the benefits of a perfect Quality Score and sitting in first place for much less money than those just beginning.

Ads Diagnostics Tool

Read more about this tool in the section titled Tools in the AdWords Interface below.

Ads Preview Tool

This tool is invaluable for checking your positions and comparing how your ad is holding up to your competitors'.

The Ads Preview Tool allows you to check your position without raking up impressions and lowering your CTR. It also allows you to check how your ad is positioned in other areas of the country of whether you're not located in the targeted area.

The Ads Preview Tool is also a great way to find out why your ads are not being shown in any given area. While the Ads Diagnostics Tool can help you discover why your ads are not being shown , it sometimes won't tell you exactly why your ads are not showing. The Ads Diagnostics Tool won't help you particularly if you've chosen a radius in which your ads will show.

The Ads Preview Tool will however show you exactly why your keyword is not triggering any ads in the chosen area.

My Change History

If you're associated with an agency or in any other way you rely on somebody else to update and optimize your Google AdWords account, this tool will be invaluable to you.

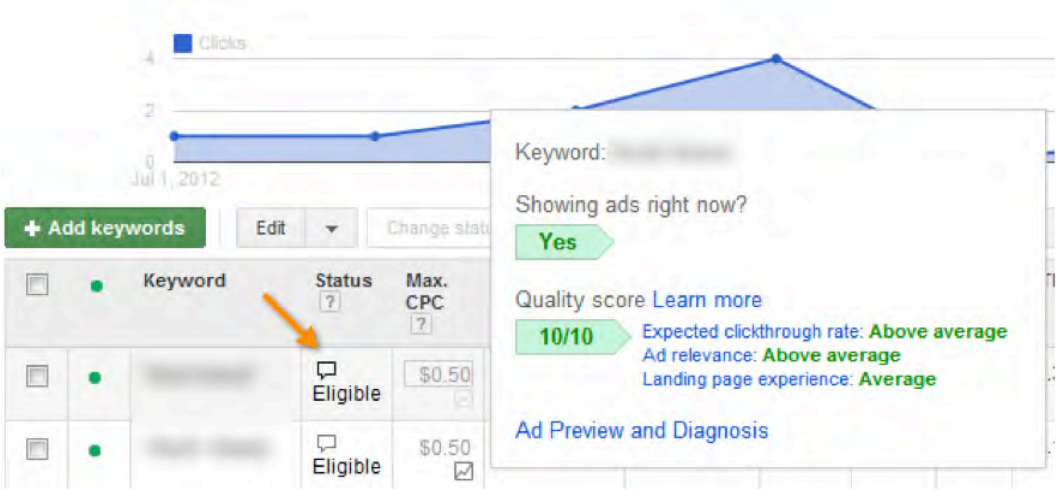
With this tool you're able to see **all the changes ever** made on your account and exactly which user performed the change.

This tool effectively puts an end to all discussions about who did what or whether an optimization was performed in a timely fashion.

Tools in the AdWords Interface

Some tools can be accessed directly through the AdWords Interface. One of them is very good to use and should be known at all times.

Ad Diagnostics Tool

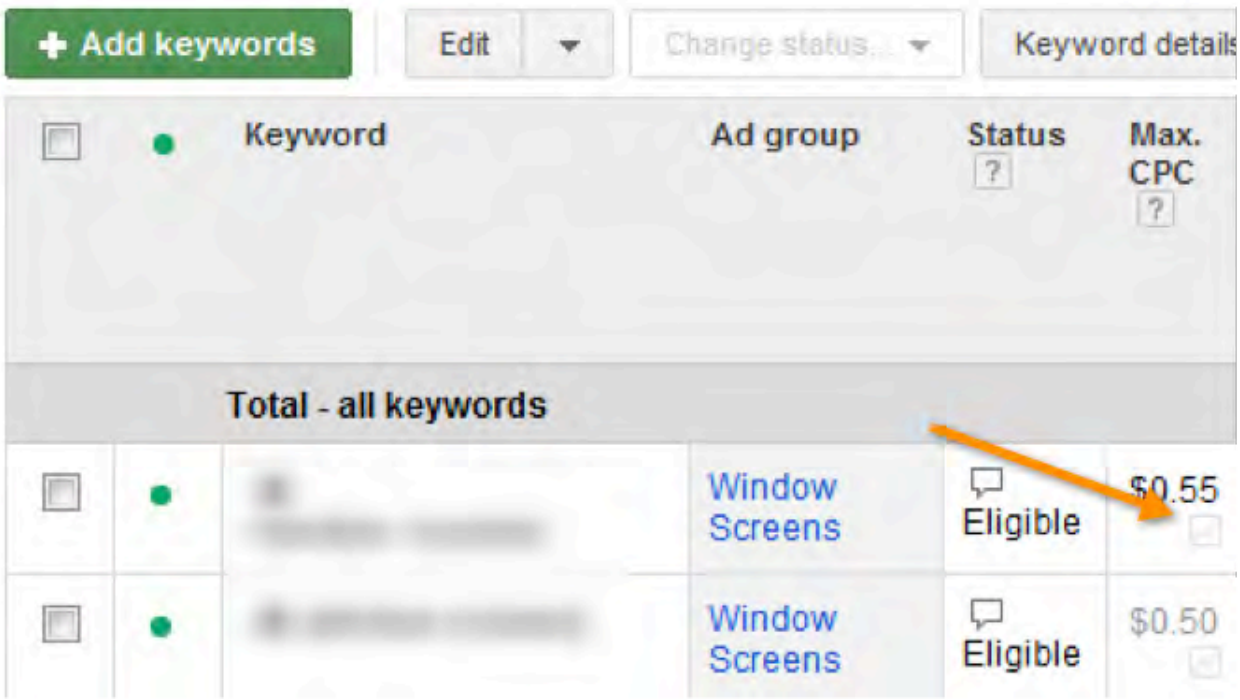


Keep your mouse above the small speech bubble and you can see the keyword's Quality Score and an explanation of why that keyword might not trigger any ads.

I use this tool occasionally when I want to dig further into a specific AdWords campaign. This tool might provide some aha moments or give you a better feel for why your Quality Score is low.

Even though the page says "*Landing Page Quality: No problems,*" you can't be too careful. Sometimes a low landing page quality will hit you on all your keywords after your landing pages have been bad for awhile. Once the landing page quality has dropped, it can take a couple of months to get a good landing page quality again.

Bid Simulator



The Bid Simulator allows you to examine what happens if you increase or decrease your cost per click. This tool is meant mainly for advertisers who base their results on how many clicks and impressions they receive.

Personally, I never use it.

AdWords Billing

Figuring out the billing area of AdWords can be messy if you're not familiar with the way Google sets up its billing options. There are two primary ways to pay for your Google AdWords advertising, and then there's an invoicing option, which I'll tell you precisely how to achieve.

Disclaimer: *Google has announced a new version of its billing interface on Google AdWords. This new version will undoubtedly render most of this chapter irrelevant, but since the new version is not available at the time of writing, I'm including it.*

For a long time Google's billing processes have been a source of irritation for many advertisers, and confusing for new advertisers.

There are two ways to pay for your Google AdWords clicks:

- Prepay
- Postpay

You can chose to pay a deposit to your Google account, which is continuously drawn, or you can choose to pay after a certain amount has been collected on AdWords.

At the current time you can't switch back and forth between the two billing methods. That is why you have to choose wisely the very first time.

However, Google has announced that with the new billing interface, it will become possible to switch between pre- and post-pay, as well as have several payment methods on file.

Prepay

Prepay in AdWords can be done through bank transfer or credit card. There is no minimum or maximum payments that need to be made for your Google AdWords campaigns to start running.

When people click on your campaigns, the amount will be withdrawn from your AdWords account.

If for any reason, you stop advertising before you have spent all your deposited funds, you can ask for a refund of the remaining money in your account.

With prepay, you must be sure to deposit money on time and that your balance does not go to zero. If your balance goes to zero, your campaigns will be stopped until a new deposit has been made.

Post-pay

Post payment can be done only by credit card. When your balance due reaches a certain level, the amount will be deducted from this credit card.

You will pay first at $50 and then at the following amounts:

- $200
- $350
- $500 and this remains the limit. Every time your account reaches this amount you will be billed.

Sometimes you might experience a higher limit if your costs are accrued faster than Google had anticipated.

Recommendation regarding Choice of Billing Method

I must admit that in my early days as an AdWords consultant, I had no experience with the billing component of AdWords. I knew the rules, but I was not aware of the practicalities.

I always recommended post payment by credit card because this was easier for the customers in my opinion. They only had to enter the information for two credit cards (one main, and one backup) one time and that was it.

On my own accounts that are using six-figure amounts on AdWords each month, I must admit this method of payment is not practical because the dollar amount of the charges will overwhelm you each month, and you'll end up with a very mad accountant by the end of the year because of the unnecessary large amount of receipts.

Therefore, I recommend that you choose prepay if you plan on spending more than $3,000 a month on AdWords. If you spend less than $3,000 per month, then it's up to you, but I think it's easier to do a bank transfer of the anticipated AdWords costs once a month. It's easier to manage and a heck of a lot easier for your accountant.

Monthly Invoicing

I usually mention monthly invoicing as one of the hidden gems of Google AdWords advertising. It's one of the first things I recommend to new clients when I see that they can meet the requirements to apply.

Monthly invoicing is a way to actually get out of the pre- and post-pay drama of Google AdWords advertising. Instead of having to pay every time your account reaches $500, you can apply for monthly invoicing and, if approved, receive an invoice for the past month's accrued costs in your AdWords account(s).

This will of course help tremendously on the liquidity of your business but will also give your accountant a break from the many charges.

This is the official requirement from Google:

> *"To be considered for monthly invoicing, you must be a legally registered business. Credit decisions are based on information provided by commercial credit reports or audited company financial statements, or both. Security deposits, UCC filings and other securities might also be required.*
>
> *If Google approves your application, you'll receive an email with a monthly invoicing offer, including payment terms and a credit line. You can accept the terms by responding to the email. Once you accept the payment terms and confirm your billing address, your AdWords account will be switched to monthly invoicing. You'll also be notified if your application is denied."*

I would like to mention that you need a monthly spend surpassing $7,000 to $8,000 to qualify as well.

AdWords Editor

AdWords Editor is a free piece of software from Google that you can use offline to create and maintain your AdWords account. It's absolutely fantastic and can be a huge time saver. Here are some good ideas on how to use AdWords Editor as well as a link to where you can download it.

If you have experience creating and maintaining Google AdWords campaigns, you're probably familiar with the annoyingly slow load times of the AdWords interface and the time-consuming tasks of creating numerous Ad Groups and moving keywords around.

It can be (read: is) very time consuming to perform these tasks in the web interface. I can honestly say that I would probably double my fee for setting up new AdWords campaigns if I didn't have access to this tool. It's **that** time saving.

Here are some of the things you can do with AdWords Editor:

- Copy and paste keywords
- Bulk change of match type
- Easily navigate from Ad Group to Ad Group and campaign to campaign
- Excellent overview
- Quick response times compared to the web interface
- Search and replace function (Priceless!)
- Move keywords, ads, Ad Groups and campaigns around on the account or to another account

You can do so much with AdWords Editor, and I really recommend that you try it, especially when creating large campaigns.

Make Time for Familiarization

In my time as senior consultant in various AdWords agencies and workshops, I've learned that success with AdWords Editor is not overnight, not by a long shot.

It might take time to learn, but make sure you take the time to get to know the software. You'll recognize features from Excel or various HTML editors, so if you worked with these in the past you'll have an easier time of getting to know the different features.

But take the time to familiarize yourself with the software. Becoming proficient with using AdWords Editor will more than make up for the time you spend in the beginning as you start to learn the various features within the software.

My Client Center (MCC) Account in Google AdWords

A My Client Center (MCC) account is not just for AdWords agencies but also for major AdWords advertisers who need to spread out.

An MCC account is basically an umbrella account. From an MCC account you can access other Google AdWords accounts through a single dashboard and login.

This makes it incredible easy to maintain multiple Google AdWords accounts without having to remember several logins.

Typically AdWords agencies make use of MCC accounts to gain easy access to their clients' accounts.

An MCC account also provides you with an easy dashboard where you can see the primary statistics from the accounts linked with the MCC, making it much easier to recognize low-performing AdWords accounts.

However not only AdWords agencies can benefit from an MCC account.

An example of when an MCC account might be beneficial is when a company has several different websites/businesses, making management more efficient by dividing them into their separate accounts.

Dividing the websites/businesses into separate accounts makes tracking the ROI of the various campaigns easier as well as separating the payments received from different departments/companies into their appropriate accounts based on the pertinent campaign.

Starting an AdWords campaign in a new country is another good example of the beneficial use of an MCC account. Instead of having several different campaigns scattered in a single AdWords account, you can easily divide them into different AdWords accounts and continue to have a good overview with an MCC account.

How Do You Get an MCC Account?

It's easy to get an MCC account. Visit the link below and apply for an MCC account. After you create your MCC account, just follow the instructions.

http://www.google.com/intl/da/AdWords/myclientcenter/.

Be aware that you can assign only one MCC account per AdWords account. So if you use an agency, you cannot take advantage of an MCC account immediately.

However, you can link your MCC account under their MCC account.

Frequently Asked Questions about Google AdWords

You're about to reach the end of this book about AdWords. I hope you've enjoyed it so far. I'm guessing that you probably have several questions that you would like answered. To answer some of your questions I've gathered several of the most frequently asked questions from clients.

Should You Be Using Google AdWords If You Have High Organic Rankings?

This is one of the questions I am often asked. There are two primary reasons, in my opinion, you shouldn't stop your AdWords advertisement just because you've reached your SEO goals.

Reason number one:

$$1 + 1 = 3$$

It has been proven over and over that you get more traffic by combining a first page position on AdWords with a top five position in the organic rankings.

You'll achieve a higher credibility when you're found in both places. When a user sees your AdWords ad but doesn't click it and then continues down to the free rankings, he'll see a familiar domain name, which he's now more likely to click.

Maybe you've even taken a different approach in your title and description line in the organic rankings that is more appealing to the user.

Furthermore, some individuals search only on AdWords if they intend to buy something. This is due to the fact that advertisers on AdWords often have a product of a high standard/quality because it costs money to be ranked here. However, there are numerous information sources and reviews in the organic rankings that are often not found on AdWords.

The second reason is that when you're using Broad Match, Phrase Match, and Broad Match Modifier, you'll be found on many "one-time" searches. You can't optimize your organic rankings for these one-time searches, and you'll often miss out on sales when you count on only your organic rankings for traffic.

I usually run tests on whether AdWords runs profitably or whether it just pulls conversions away from organic traffic.

In my experience, it's often well worth buying AdWords traffic to support a keyword that you have a high organic ranking for. You can attract considerable increases in traffic when you are both shown in the ads and in the organic search results.

Can you show two different domains on the same keywords on the same account?

No, this is impossible. It's only possible to show one ad per keyword in an AdWords account.

If you add the same keyword to your account twice, the keyword with the highest Ad Rank will be the one triggered.

Should you create a new domain with an Iframe of your main site to get two ads on page 1?

This is actually done more often than you might think. It's more prevalent in some industries than others, but I don't recommend it.

It's a violation of Google's guidelines, and unless you have a serious budget, you cannot get away with such a violation.

You risk a permanent ban from opening an AdWords account and conducting business through AdWords.

Your ads are not showing and you have checked EVERYTHING!

You have not checked everything. It's the shortest answer I can give. I have received so many calls from friends and clients regarding this issue.

I always give the same answer: The reason your ads are not showing is because you **haven't** checked everything.

One thing that tends to be missed by many is that if you are using prepay billing and your AdWords account has run out of money, Google might not tell you.

In theory you might still have enough money left for one click, just enough to keep any error messages from posting. Go to the Billing tab and see how much money you actually have left.

You're the only advertiser on a keyword. Why do you have to bid higher than the minimum bid to get shown?

Even if you are the only advertiser on a particular keyword, you still have to comply with Google's rules about Quality Score.

Remember what I wrote in the Introduction: Don't make Google look stupid. Let's say that you add keywords such as CNN, USATODAY, and The Economist in your pet store campaign. When people search for CNN they expect to see the CNN search results, not a search results page cluttered with ads.

Furthermore, Google does not like to show irrelevant search results on AdWords as well as on ads in the organic rankings.

If your ad does not get a high enough CTR on a given search or if there is not enough landing page relevance, you won't be able to achieve a high Quality Score regardless of how few advertisers there are.

Depending on how high your quality score is, there are various first page bids that you must bid higher than in order to be shown.

What are the restrictions on the number of campaigns, ads, and keywords?

The official restrictions are:

- 25 campaigns
- 2,000 Ad Groups per campaign
- 2,000 keywords per Ad Group
- 300 ads for Display Network (including image ads) per Ad Group
- 50 text ads per Ad Group
- Approximately 50,000 keywords per account

If you need more options than those listed, refer to the chapter titled My Client Center (MCC) Account in Google AdWords.

Will AdWords have any effect on your organic rankings?

AdWords has no effect whatsoever on how your free positions behave.

There is of course a positive effect to gain from the fact that you're getting more traffic to your website. This can be through links on the web to your website from happy users and more interaction from users on the site, which generates extra content.

What is the best way to test your ad position and see your ads in action?

Because Google uses mainly CTR to assess your campaigns, you shouldn't be searching for your own ads in the regular Google search.

In addition, your ad position varies considerably. This is due to the fact that if you don't click on the 10 ads that appear with the first few searches, Google will grade them as not relevant for you. Google then rotates other ads to see whether they have more relevance for you.

This means that the ads you'll see will differ depending on how you interact with the ads. Because you never click your own ads Google will take this into account.

The best way to check your ad position is in the position column in the AdWords interface. This gives you the average position over the time frame you select.

If you want to to see your ad in action, you should use the Ad Preview Tool: www.google.com/adpreview.

Why do you have a Quality Score of 1 / 10?

If you have a quality score of 1/10 on all your keywords in your account/campaign, you can be pretty confident that you've been Google slapped.

Google has not openly acknowledged the Google penalty, or Google slap, as it's better known. However accounts that consistently go against Google's guidelines might receive a penalty from Google in the form of a 1/10 Quality Score.

In reality a 1/10 Quality Score prevents your being able to advertise through Google AdWords. Google might as well have closed your account.

There may be several reasons you've been Google slapped:

- Redirects on your website
- Pop-ups
- Malware
- Virus on the website
- Thin affiliate site

. . . or if you've violated Google's AdWords guidelines in any other way.

A 1/10 Quality Score may be hard to fix. Contact Google to find out why you received this penalty.

Once you get the answer, you need to change whatever you have been doing wrong; then you can kindly request a review of your new website.

Be aware that you need to be absolutely sure that the reason for the Google slap is fixed. If it's not and you get Google to review your website again, there's no coming back.

Often such punishment will happen on the domain level, which means you get nothing out of creating a new account.

Should you allow free search engine marketing (SEM) in your affiliate/loyalty program?

If you don't use AdWords at all you, might want to allow free SEM (remember to restrict brand searches) in your affiliate program.

But if you use SEM in the form of AdWords or something similar, you should never allow SEM as a traffic source for your affiliate partners, based on the fact that you cannot view the two ads for the same domain on a given search.

This means that if one of your affiliate partners starts a direct linking AdWords campaign using your domain name and you share keywords, then the advertiser with the highest Ad Rank will be shown.

This will for sure skew your statistics and keywords, which were previously high performers, and suddenly turn them into dead weight.

Additionally, please be aware that you let everyone from 18 to 80 years old describe your brand in front of millions of people every day. Therefore, it might be tempting to allow free SEM, but by doing so you open your company to complete strangers who don't know your business goals or strategies.

Should you start with AdWords or SEO?

Although I'm an AdWords man, I actually recommend that you start with SEO on your own website, also known as on-site SEO.

A website that is built well from an SEO standpoint will often find it easier to achieve good Quality Scores in AdWords.

Many of the same rules and guidelines are in fact shared by SEO and AdWords, which makes it easier for you to be successful with AdWords once your site is SE optimized.

Additionally, SEO is often cheaper than AdWords to start with if you have mastered the basic points.

Some industries in the United States are however very competitive, and SEO can therefore be very hard to get anything out of in the short term.

Should you use AdWords or SEO?

This is a classic question. I covered it a little earlier, but unfortunately this question has to be in any book about AdWords.

I would like to start by mentioning that this is not an either/or type of question.

By far you achieve optimal results by combining the best of both worlds. I see it again and again on my own projects and my clients' advertising.

The true profits from a website will not start coming until both the AdWords and SEO rankings are working together.

Make sure to get a good start in both areas of Google and rake in the benefits in the future.

Typical Errors Made by New AdWords Advertisers

Through the years of doing AdWords advertising, I've found some clear errors that many advertisers use and that I personally take advantage of. Get to know these errors to ensure you're not one of the advertisers falling behind by default.

Too Few Ads per Ad Group

Do you have an Ad Group that attracts many clicks/searches? Then you can afford to test more than two ads per Ad Group.

A general rule is that if your Ad Group has more than 50 clicks a day, you can add an extra ad to the group.

I like to have enough statistics within one or two week(s) in order to optimize the ads in an ad group.

When I have the option to add four ads at the same time, I can suddenly test out twice as many ads than I could before. This means that I can find the most profitable ads twice as fast.

This is a true moneymaker!

Wrong Campaign Settings

Previously I reviewed the best campaign settings, but this subject really deserves its own section as being one of the typical AdWords errors. Indeed, it's rare that I take over campaigns from in-house advertisers who have the proper campaign settings.

Make sure to at least rotate your ads!

If you are unsure whether you have the proper settings, you should take a look at the chapter titled The Best Settings for Any Google AdWords Search Campaign!

Too Many Keywords per Ad Group

Many advertisers have too many keywords in the same Ad Group. A general rule/guideline is to have from 5 to 20 keywords per Ad Group.

There are situations for which you can easily have hundreds of keywords in the same Ad Group without affecting their effectiveness.

The most important factor is how the keywords relate to each other and how this relevance coincides with the Quality Score factors previously addressed in this book.

Revisit the chapter titled Account and Campaign Structure.

Choosing the Wrong Landing Page

This element has two aspects:

1. More often than not you shouldn't send all your traffic to your front page.
2. You should test your landing pages to find the most effective page for the keywords in that particular Ad Group.

Tracking Only Through AdWords Conversion Tracking

If you use only Google AdWords Conversion Tracking, you'll miss important data. In addition to Google AdWords Conversion Tracking, you should also use Google Analytics with the eCommerce module set up correctly.

Only then can you see the actual revenue and ROI data from your AdWords campaigns.

One example of when you need more detailed tracking is when your boss says that she does not believe the AdWords advertisement is actually providing any sales or that you're losing money on the investment.

An example from real life goes like this:

> A client, the head of marketing in a decent sized e-commerce business, called me up and told me she had to terminate our partnership because the CEO had read an article about AdWords not being profitable for most businesses.
>
> Luckily we had set up the campaigns with Google Analytics e-commerce so I could show her how much of her monthly revenue was actually stemming from AdWords.
>
> I showed her all the statistics and where she could see Revenue per click, Avg. Transaction value, and so on.
>
> Once she showed these figures to her CEO, he personally called me up and asked me how quickly we could ramp up their AdWords advertising because he thought the numbers looked amazing.

Use Google Analytics. It truly pays off to know how much money you're getting out of your AdWords campaigns.

Not Using All Four Match Types

If you haven't already tested a keyword in all four match types, you can't truly deactivate it in your AdWords campaign.

Each keyword converts very differently, and some keywords perform best in Broad Match, whereas others will give you the best results in Exact Match.

Having Search and Display Networks in the Same Campaign

If I could get all the money back that my clients have wasted on Display Network before I started managing their campaigns, I would donate half my fortune to fight poverty.

Display Network can attract so many clicks and completely devour a budget, which means there's very little budget left for the actual search part of the campaign.

Make sure you split your search and display campaigns! If you don't, you can be 99% sure that you're losing money on a daily basis.

No doubt that money is there to be made in Display Network, but Display Network often requires different ads and a completely different approach from the one you have for search campaigns.

Not Placing Keywords in the Appropriate Ad Groups

This point is very sad to be honest. Often I see advertisers that have done a great job of creating the initial setup, only to add a few hundred keywords randomly throughout the campaign during the optimization process.

If you do not continue the great work from the initial setup, you'll end up with very disorganized campaigns that can actually destroy the results you have achieved from the initial setup.

Not Enough Ad Groups

This is without a doubt associated with the above issue. Do yourself a favor and create the amount of Ad Groups that are required to divide your keywords according to best practices.

Finish the job. Don't let your own laziness keep you from realizing success with AdWords.

Don't Check See Search Terms

If you didn't take advantage of the feature See Search Terms when you optimized your campaigns, you should really look at it NOW!

There may be important keywords hidden that are responsible for all your conversions, but there also may very well be many searches that are just adding to your costs without bringing in conversions.

These irrelevant, costly keyword should be excluded or moved into other Ad Groups to keep better track of them and to enable us to write specifics ads for these keywords.

Not Using Google Analytics

If you haven't linked your Analytics to your AdWords account, you're missing valuable data.

If you don't use Google Analytics or a similar analytical tool, you should immediately do so. If properly used, this tool can be as valuable as it's cheap (it's free!).

Not Using Location Targeting

If you are a physical store or your products/services are limited to a certain geographic area, you should always limit (or divide) your campaigns geographically.

Make sure to target the users in different cities with different keywords and different ad texts to reach the highest relevance. For instance this can be as simple as writing the city name in the ad or by addressing the local football team.

At least you should divide the keywords concerning your own local area/city into an Ad Group, and put other city keywords in another Ad Group. You need to address each differently.

Of course, both campaigns need to be tracked so you can see whether you actually get something out of advertising outside your local area. If you don't get business outside your local area you can turn this campaign off and focus on your local area.

Not Optimally Using Ad Extensions

If you're not using some of the four Ad Extensions available to you, you'll end up losing a lot of traffic and sales.

At the bare minimum you should add the Ad Site Links extension to all your AdWords campaigns.

Having to Be in the Top Three Position

In my early days as an AdWords consultant, I had a lot of these requests (read: demands). They typically came from small advertisers who wanted to be in the top three position with all of their keywords but who did not have the budget to be up there.

When you bid your keywords up to be in the top three position at all times, you'll end up paying a high cost per click until your campaign budget is reached. After your budget has been consistently reached too early in the day, Google will start showing your ads only every third, fourth, fifth, etc., impression. (This depends on your Ad Delivery settings.) You'll still pay the high cost per click, but you'll not be shown every single time.

Let's do an example to better show the problem with being in too a high position for the assigned budget. Let's say you pay $3 per click to be top three on a $100 daily budget, which gives you 33 clicks a day.

Now let's say that your budget has been reached at 5:00 p.m. the past 14 days in a row. Then you'll start being shown only every third to fifth time a search is made. Now if you just bring your click price down by half or a third, you'll end up receiving two to three times more clicks on the same budget.

You'll obviously get a lower position, say five or six, but in return you'll pay a lower click price and appear every time a search is made. You'll get a lower CTR, but a higher number of impressions will considerably compensate, and you'll end up getting more clicks a day without increasing your daily budget.

Be sure to adjust your expectations to your budget and keep your focus on the ultimate goal, to get visitors to convert to your website.

The main reason for this mindset is that advertisers think about Google AdWords in the same way they think about newspaper or banner advertising, where you pay per contact (contact being impression).

Start thinking about what actually provides you with sales and lower that bid!

Ads Are Too Generic

A lot of advertisers out there are not nearly targeted enough with their ads. They could often greatly benefit from just narrowing down their keyword lists, dividing them better, and writing ads focused on a single service/product.

Focus your ads on single brands, and you'll experience much greater success.

Round Up

Easy to do, but very hard to master.

First of all I thank you for reading this entire book about AdWords. Google AdWords is an immensely complicated subject, and even though you have been through this book, you will still need to work on your skills every week.

Google has probably changed the layout of several features in the time that it took me to write this book, and I'm sure they will have changed several more by the time you finish reading it.

Keep seeking valid advice about AdWords by sticking with a couple of proven resources that you select. Be open to new suggestions, but avoid jumping from website to website and expert to expert.

I have listed a few resources that I personally trust and that I advise my PPC consultants to use:

- PPCHero.com
- Adwords.blogspot.com
- ppcassociates.com/blog
- portent.com/blog
- searchengineland.com
- whitesharkmedia.com/blog

With the latest in AdWords news, you will be ready to keep sharpening your marketing skills and increasing your business.

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